BK GROUP PLC

Our Vision for **Inclusive Finance**

ANNUAL INTEGRATED REPORT

2022

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2022

BK GROUP PLC

TABLE OF CONTENTS

BK GROUP
AN INTRODUCTION

ABOUT US

Rwanda's leading banking and financial institution

Overview

BK Group is an award-winning Rwandan institution with deep roots in the African financial space since its founding in 1966. Over the years, BK Group has transformed into a premier one-stop shop, with a full range of financial services offered under a single roof. Today, its subsidiary, Bank of Kigali, stands as the largest commercial bank in Rwanda by total assets, and it has strategically positioned itself as the leading commercial financial institution in Rwanda, boasting a diversified portfolio of services that allow it to seamlessly serve a wide breadth of clients, including individuals, SMEs, large corporations, as well as other financial institutions in the region.

The Group's activities span from retail and corporate banking to asset management and investment banking, in addition to offering an extensive range of non-life insurance products and innovative enterprise solutions that stimulate growth in the Rwandan digital space. BK Group is currently listed on the Rwandan Stock Exchange (RSE) and cross listed on the Nairobi Securities Exchange (NSE) in 2018, with 60% floating shares. The Group has a representative office in Kenya since 2013.

1,134.5 FRw Tr

Loan Portfolio

480,321

Total Clients

1,075.2 FRw Tr

Total Deposits and Client Balances

319.1 FRw Bn

Shareholders' Equity

Business and Retail Banking – Bank of Kigali Plc

BK Group's commercial banking services are offered through Bank of Kigali Plc to corporates, SMEs, individuals, micro enterprises, and non-profit organizations. Corporate banking's key products are long-term CAPEX loans that are target investment and expansion, commercial mortgage loans with a typical tenor of up to 15 years and working capital loans to finance short-term business needs. On the retail side, the Group's key products include consumer, vehicle and mortgage loans, overdrafts, credit cards, and asset-based financing. The Group is continuously pursuing avenues of growth through new services and products with the aim of bolstering and consolidating market share, as well as tackling the power of digitalization to both streamline operations and enhance the customer experience.

Insurance – BK General Insurance Company

In 2016, BK Group launched the BK General Insurance Company (BKGI) to offer a wide range of non-life insurance products for its clients, including coverage for motor, money, bonds, transport, engineering and technological, and personal and group accidents.

Fintech – BK TecHouse

BK Group founded BK TecHouse in 2016 to develop digital ecosystems for varying types of clients, from large and medium enterprises, schools and personal homes to commercial buildings and constructions sites. The company provides comprehensive smart solutions ranging from security for homes and SMEs, and smart school solutions that include innovative education management software and cashless payment channels. In addition, BK TecHouse provides enterprise security products that boasts a wide breadth of superior remote access and highly scalable solutions that offer best-in-class protection for users. The company aims to expand its tech-driven offering across more sectors to grow BK Group's consumer base by leveraging connectivity, automation, advanced analytics, and innovative digital solutions.

Advisory and Wealth Management – BK Capital

Initially launched purely as a securities brokerage company in 2015, BK Group expanded BK Capital's service offering to include investment and wealth management, corporate and advisory services, bonds and equities brokerage, and pension fund administration. BK Capital leverages its regional and international network of development finance institutions, funds and high-net-worth investment companies to raise funding at the local and global level. The company builds strategic partnerships with investment and advisory companies to invest alongside BK Capital's partners on select transactions.

Vision

Transform the lives of our **stakeholders** by offering **state-of-the-art, customer-centric** financial services.

Mission

Delight our customers via **deep knowledge** of our **region**, cultivating **engaged talent**, and **ground-breaking innovation**.

Values

We're making innovation and execution everyone's job, by embodying our Ubudasa DRIVE values in all we do

D	R	I	V	E
Devoted to nurturing our people	Redefining the status quo	Inspired by our customers	Viewing success through the lens of the organisation	Empowered and responsible for our role in our shared purpose

BK Group's future culture is guided by its "DRIVE" values, which are crucial to the organization's success. The first value, "D," emphasizes the importance of being "Devoted to the Group's talent". This means fostering a supportive work environment where employees can develop their skills. The second value, "R," stresses the need to "Redefine the status quo" by continuously learning and experimenting to improve the organization. This requires a willingness to challenge traditional methods and explore new ideas.

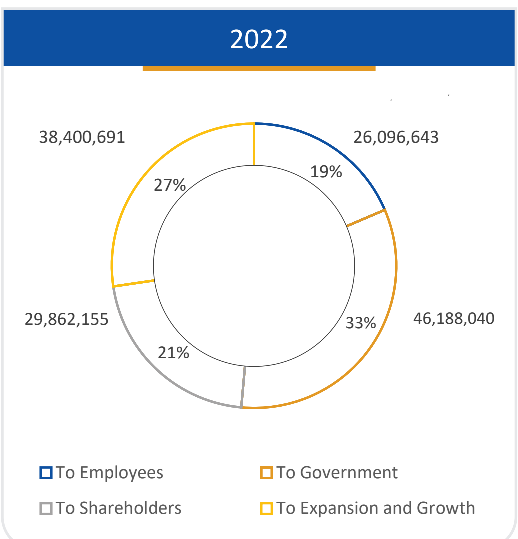
The third value, "I," highlights the importance of being "Inspired by customers". By placing customer needs at the forefront, the Group can better understand their requirements and provide tailored solutions for their needs. The fourth value, "V," emphasizes the need to "View success as an organization". This requires a collaborative approach to work, where teamwork and cooperation are valued over individual achievements.

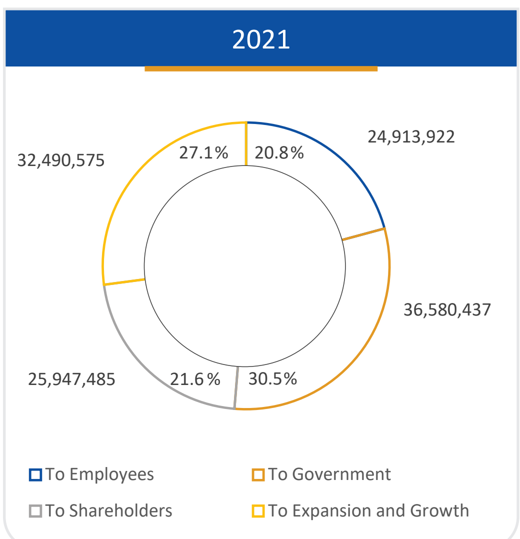
Finally, the fifth value, "E," highlights the importance of being "Empowered and accountable". BK Group believes that employees should be given the autonomy and resources necessary to achieve their goals, while also being accountable for their actions. Together, these "DRIVE" values form the foundation of BK Group's culture, guiding the organization's actions, decisions, and interactions with employees and customers.

Value-Added Statement

For the Year ended 31 December 2022

Value Added Statement	2022	%	2021	%
Interest, commissions, and other revenues	240,921,133		220,522,440	
Interest paid to depositors and costs of services	(90,366,724)		(66,521,268)	
Net impairment loss on financial assets	(10,006,879)		(34,068,753)	
Total value added	**140,547,530**		**119,932,419**	
Distribution of Value Added To Employees				
Salaries, wages, and other benefits	26,096,643	18.6%	24,913,922	20.8%
To Government				
Corporation Tax	28,730,466	20.4%	24,985,698	20.8%
VAT	5,459,683	3.9%	2,419,146	2.0%
Withholding Tax	2,992,084	2.1%	2,725,898	2.3%
District Taxes	63,034	0.0%	30,599	0.0%
PAYE Tax	8,942,773	6.4%	6,419,097	5.4%
	46,188,040	**32.9%**	**36,580,437**	**30.5%**
To Shareholders				
Dividends paid to shareholders	29,862,155	21.2%	25,947,485	21.6%
To Expansion and Growth				
Retained income	29,862,155	21.2%	25,947,485	21.6%
Depreciation and amortization	8,538,536	6.1%	6,543,090	5.5%
	38,400,691	27.3%	32,490,575	27.1%
Total wealth distributed	**140,547,530**	**100.0%**	**119,932,419**	**100.0%**





TIMELINE AND AWARDS

A legacy of excellence across the African banking and financial spaces

1966
BK established through a 50/50 JV between the government of Rwanda and Belgolaise

2007
The Rwandan government buys out Belgolaise's stake in BK

2010
BK receives an A+ credit rating from GCR

2011
BK officially listing on the Rwandan Stock Exchange in an IPO worth USD 62.5 million, A 45% stake in BK is floated in the IPO

2013
BK establishes BK Securities and BK Nominees

2017
BK Group Plc is created, increasing its authorized share capital by FRw 3.5 billion

2015
BK establishes BK Registrars

2018
- BK Nominees and BK Securities are consolidated under BK Capital
- BK Group cross lists on the NSE
- BK Raises FRw 60 billion via rights issue and rump offer

2016
BK establishes BK General Insurance and BK TecHouse

Awards

2020
- **Global Finance Award** – Best Investment Bank 2020
- **EMEA Finance Award** – Best Bank in Rwanda 2020
- **Asian Banker Leadership Achievement Award** – Best CEO Response to COVID-19 in Rwanda

2021
- **Euromoney Awards for Excellence** – Best Bank in Rwanda 2021
- **Global Finance** – Best Bank in Rwanda 2021

2022
- **Global Finance Award** – Best Bank in Rwanda
- **Euromoney Awards for Excellence** – Best Bank in Rwanda 2021
- **Gender Equality Seal** – Gold Category (pioneered by UNDP)

OUR STRATEGY

BK Group endeavors to become a leader in innovation across the region. By offering new and cutting-edge financial products and services, it intends to stay ahead of the curve and serve its customers better. This vision reflects the Group's commitment to innovation, which is crucial in today's ever-changing business landscape. BK Group believes that innovation is key to staying competitive and meeting the evolving needs of customers.

BK Group's mission is to create value for its stakeholders by providing the best financial services to businesses and individual customers. With motivated and professional staff, the Group intends to provide a personalized and customer-centric experience to all its clients. It recognizes that its stakeholders are key to its success, and it is committed to serving them with the utmost professionalism and dedication. BK Group's reputation and the trust it has cultivated sets it apart from other financial institutions, as it continues to deliver value to all its stakeholders.

To achieve its vision and mission, the Group has set strategic objectives that guide its operations:

- Become the universal financial services provider of choice, offering a wide range of financial products and services to its customers.
- Strengthen systems and control risk to enhance service delivery.
- Revolutionize the customer experience by providing a seamless and convenient digital platform for its customers.
- Develop its people to ensure a motivated and professional workforce that is equipped with the skills and knowledge to deliver exceptional financial services.

With these strategic objectives, BK Group is well-positioned to achieve its vision and mission to become the leading financial services provider in the region.

Transforming Through Growth and Innovation

BK Group has set its sights on transforming into two business models over the next few years. In the short-term, it aims to become a product specialist. To achieve this, BK Group intends to deepen its understanding of customer needs and leverage data to develop tailored financial products and services that meet the unique needs of its customers. The Group recognizes that customers have different financial needs, and it aims to offer personalized financial solutions that delight its customers.

In the long-term, BK Group aims to transform into an ecosystem that creates a one-stop-shop for financial and offerings and adjacent services. Through participating in ecosystems within specific customer segments, BK Group can provide a more holistic approach to financial solutions. It recognizes that customers have multiple financial needs, and intends to provide a comprehensive range of financial and non-financial services under one roof.

Strategic Objectives

BK Group has a clear set of five strategic objectives to guide its operations and stay ahead of the competition in the rapidly evolving financial services industry.

Establish an innovative culture and become an employer of choice

- Enable an organization-wide culture shift to promote internal innovation and attract the best talent.

Maintain an assertive customer-oriented sales force

- Implement a more diversified sales plan in new geographies and product groups to tap into a wider customer base.
- Address specific customer segments digitally to strengthen client relationships.

Base every decision on customer data

- Utilize advanced analytics to retain a larger market share and ensuring customer satisfaction.

Automate processes for internal and external efficiency

- Achieve higher general efficiency, reduced costs, and a more seamless customer journey.
- Establish automated processes before product development to prevent re-architecture initiatives and complexities.

Anticipate user-driven demand for innovative and customized offerings

- Become integral to the developing ecosystem.
- Satisfy customers through a single/integrated approach and remain competitive in an increasingly crowded market.

BK Group has set out to achieve five cultural ambitions that guide the way it operates.

1

Nurture, respect, and support its people, making the Group a talent factory and the employer of choice in the financial sector. The Group believes that its employees are its greatest asset, and by providing them with a favorable work environment, it can attract and retain the best talent in the industry.

2

Challenge the status quo by continuously learning and experimenting to improve itself, what it offers, and how it operates. BK Group acknowledges that innovation and creativity are essential to remain competitive in the financial industry. By being open to new ideas and adapting to changes in the market, the Group can stay ahead of the curve.

3

Place customers at the heart of everything it does and strive to provide the best possible service to its clients. At BK Group, customer experience is a top priority. By prioritizing customer satisfaction, the Group can establish long-term relationships with its customers and build a loyal customer base.

4

Act as a united team that views success through the lens of the organization and not the individual. BK Group recognizes that teamwork is essential to achieving its goals and aims to foster a culture of collaboration.

5

Remain accountable for its role in creating shared purpose, and aim to be courageous when embracing challenging tasks. The Group understands that its actions have an impact on society and is committed to conducting its operations in a socially responsible manner.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I
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I
Inspired by the custome
BANK OF KIGALI
BK

OUR MARKET

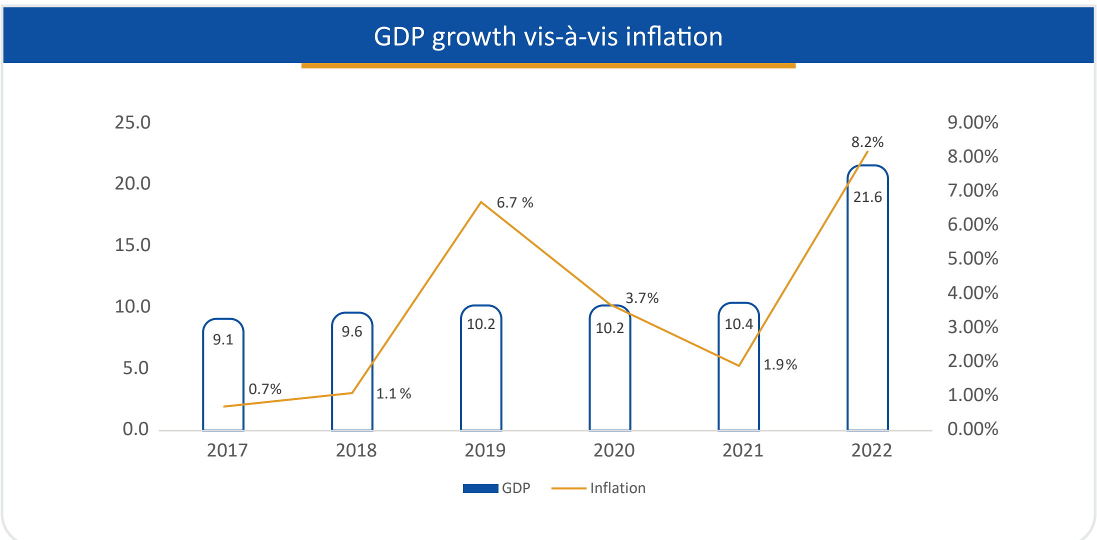
Economic Overview

Rwanda's GDP at current market prices for 2022 rose significantly to FRw 13.7 billion, up from FRw 10.9 billion in 2021. Services continued to be the leading contributor to the GDP, accounting for 47% of the total GDP. Agriculture was the second-highest contributor, accounting for 25%, while the industry sector accounted for 21% of the GDP. Net direct taxes accounted for 7% of total GDP. This robust growth in the GDP emphasizes the country's potential for economic expansion, with the services sector playing a pivotal role in driving the growth, followed by agriculture and industry.

The overall growth in the service sector was 12%, contributing 5.7 percentage points to overall growth. Within services, activities performed as follows: wholesale and retail trade activities increased by 14%, hotels and restaurants increased by 87%, transport activities increased by 22%, financial services increased by 10%, and information and communication increased by 20%. Public administration services increased by 10%, education services increased by 17%, while human health activities increased by 8%.

Agricultural activities saw a growth of 2% and contributed 0.4 percentage points to the overall GDP growth. While the production of food crops decreased by 1%, the production of export crops increased 4%, indicating the country's focus on export-oriented agricultural practices. This increase in export crop production is a promising sign, as it can boost the country's export earnings and reduce its dependence on imports. However, the decrease in food crop production could pose a challenge to the country's food security, and it is essential to address the factors contributing to the decline in food crop production to ensure sustainable agriculture practices.

The industry sector recorded a growth rate of 5%, contributing significantly to the overall GDP growth by 0.9 percentage points. The growth in the industry sector was primarily driven by the expansion in manufacturing activities, which increased by 11%, and mining and quarrying activities, which grew by 15%. However, this growth was offset by a decline of 6% in construction activities. The growth in manufacturing activities can be attributed to a surge of 21% in textiles, clothing, and leather goods, 13% in food processing, 9% in the manufacturing of beverages and tobacco products, 14% in the production of chemicals, rubber, and plastic products, 7% in the production of metal products, machinery, and equipment.



Inflation

Rwanda's urban consumer price index (CPI) increased by 21.6% y-o-y as of year-end 2022 and was stable on a monthly basis from November 2022 to December 2022. The annual average inflation rate between December 2022 and December 2021 was 13.9%.

Inflation in the economy showed an upward trend, with both y-o-y and q-o-q headline inflation increasing. This rise in inflation was observed in the core, fresh food, and energy CPI components. Core inflation (y-o-y) increased to 14.9% in Q42022 from 12.9% in the previous quarter, while fresh food inflation accelerated to 48.2% from 29.7% in Q32022. Energy inflation also witnessed an increase, rising to 21.3% in Q42022 from 18.9% in the previous quarter. The average annual inflation for 2022 stood at 13.9%, indicating that the economy experienced high levels of inflationary pressure during the year. The rise in inflationary pressures may have been due to various factors, such as supply chain disruptions, rising energy costs, and a surge in demand, among others.

The increase in core inflation was largely driven by upticks in core food inflation, core alcoholic beverages and tobacco inflation, and core housing inflation. Core food inflation increased from 27.0% to 32.2%, reflecting the rise in international food prices due to high demand for cereals and flours, adverse weather in some key food producers, and increased input costs. Similarly, core alcoholic beverages and tobacco inflation rose due to the increases in the costs of production. The increase in core housing inflation, from 5.7% to 6.2%, is attributed to the rise in the cost of services for the maintenance and repair of dwellings. The recent upward trend in core inflation is consistent with high imports and domestic costs of production. The increase in imported costs continued to come from high inflation in trading partner countries, high shipment costs, and the depreciation of the local currency, while elevated domestic costs reflected the strong economic growth in 2022.

Digitization

Initiatives

Rwanda's commitment to promoting Information and Communication Technologies (ICT) and digital solutions has been evident in the country's recent efforts to advance its digital infrastructure. In 2022, Rwanda collaborated with the World Economic Forum to establish a Centre for the Fourth Industrial Revolution (C4IR), which aims to promote emerging technologies like AI, machine learning, blockchain, and the Internet of Things. This initiative positions Rwanda as a leading hub for digital innovation in Africa.

During 2022, Rwanda hosted the Commonwealth Heads of Government Meeting (CHOGM) 2022, which brought over six thousand delegates to Kigali. Under the theme of 'Delivering a Common Future: Connecting, Innovating, and Transforming', Commonwealth leaders travelled to Rwanda to reaffirm their common values and agree actions and policies to improve the lives of all their citizens. Additionally, the country hosted the ITU World Telecommunication Development Conference, which saw the participation of two thousand delegates from 153 countries. The conference included the Generation Connect Global Youth Summit, aimed at engaging the next generation of digital leaders. These developments highlight Rwanda's growing digital ecosystem and its commitment to leveraging technology to drive economic growth and achieve national outcomes.

Highlights

Rwanda is experiencing significant digital growth, with the number of internet users increasing by 3.7% y-o-y, bringing the total to 3.5 million users, which is 26.3% of the population. This growth in internet usage has been accompanied by a 4.1% y-o-y growth in cellular mobile connections with 415 thousand additional users. This rapid expansion of digital infrastructure is helping to increase access to information, communication, and financial services across the country.

In recent years, there has been an increase in the adoption of digital financial services among the population. As of now, 31.1% of the population have a mobile money account. Additionally, 38.9% of the population made or received digital payments in the past year. The use of digital banking services has also increased, with 28.8% of the population having used digital banking in the past year. While there are gender disparities, with more males than females using these services, overall, there has been a notable rise in the use of digital financial services among the population. These statistics demonstrate the increasing adoption of digital financial services in Rwanda, indicating a shift towards a more digital economy that is more accessible to a greater number of people.

gitalDay
uqudo
BANK OF KIGALI
Financially transforming lives
#BKDigitalDay
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Financially transforming lives
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Strong Market Fundamentals in Rwanda:

13.2 mn
Population

c.60%
Population Under the Age of 24

B+
Credit Rating by S&P Global

BK Group Maintained its Leading Market Position in the Rwandan Banking Sector

30.9%
Total Assets

36.3%
Net Loans

29.9%
Customer Deposits

31.7%
Shareholder's Equity

CAGR 2017-2022

	BK Group	Banking Sector
Total Assets	17.4%	20.6%
Net Loans	14.6%	19.2%
Client Deposits	15.9%	18.8%
Shareholder's Equity	17.0%	21.1%

Selected Indicators - 2022

	BK Group	Banking Sector
NPLs/Gross Loans	2.6%	2.8%
Return on Average Assets	3.5%	2.6%
Return on Average Equity	19.8%	11.3%

Outlook

Looking ahead, the financial sector is expected to remain stable in the medium-term, despite some potential impact from inflationary pressures. Nonetheless, regulated financial institutions have the necessary capital and liquidity to continue providing financial services and to withstand external shocks. Overall, the financial sector in Rwanda is well-positioned to continue contributing to the country's economic growth and development, supported by innovation and the adoption of new technologies.

CHAIRMAN'S NOTE

Dear shareholders,

It is a great pleasure to present the 2022 BK Group annual report. It is a source of pride that we continue to deliver strong results demonstrating resilience, agility, and adaptability in the face of global market volatility.

BK Group maintained its strategic priorities throughout the year, focusing on providing excellent client service while sustainably expanding our business. To make sure that we are able to take advantage of emerging opportunities and successfully manage the quickly changing financial landscape, we remain committed to investing in our people, systems and technology.

We delivered commendable performances across our subsidiaries, enhancing our profitability and growing our assets. The Group's total assets stood at FRw 1.9 trillion at year-end, up 16.6% y-o-y, supported by strong liquidity from customer deposit growth. Furthermore, ROAA and ROAE improved to 3.5% and 19.8%, respectively.

As a responsible financial institution, we recognize the importance of providing underserved communities and individuals with access to tailored financial services. We are committed to designing and offering products and services that cater to the diverse needs of our customers. Over the past few years, we have invested heavily in our technology and infrastructure to make our services more accessible and user-friendly. We have also expanded our outreach efforts to ensure that our services reach a wider audience including those in rural and remote areas.

“

We are committed to designing and offering products and services that cater to the diverse needs of our customers.

Our focus on financial inclusivity is reflected in our loan offerings, which include tailored products for SMEs. We have also launched initiatives to support the growth of the agriculture and education sectors, which are critical for the development of our economy, as well as for women-owned businesses. The SME Center was launched by the Bank of Kigali in July 2022, and has been instrumental in providing a range of tailored financial and advisory services to entrepreneurs seeking to expand their businesses.

Bank of Kigali experienced a 14.6% increase in its loan portfolio from December 2021 to December 2022, reflecting its ability to attract new customers and effectively manage credit risk. Notably, the Bank's SME loans, which made up 8.6% of the loan portfolio in 2021, saw a significant increase of 48.8% in loan value, now accounting for 11.3% of the gross loan portfolio in 2022. This growth is indicative of the Bank's dedication to fostering the growth and development of smaller businesses.

The Group's subsidiaries made strides in their digitalization efforts introducing new technologies and streamlining processes. The Bank focused on migrating customers to online/digital banking through various initiatives, mainly the launch of the new BK digital application, as well as the use of a chatbot and the IKAZE platform, which provides real-time feedback from customers. BK Techouse was able to take advantage of the various initiatives by the Rwandan government aimed at promoting financial inclusion in 2022 by fostering collaboration between banks and fintech companies. The company created fresh advancements and offerings for its clientele while also updating its operations in line with current e-Money and Big Data regulations, both domestically and globally.

We believe that financial inclusion is a key driver of economic growth and social progress, and we are proud to play our part as champions of Rwanda's journey towards inclusivity. We remain committed to our mission of providing innovative and accessible financial solutions to all our customers, and we look forward to continuing this journey with your support.

As of 31 December 2022, the Board of Directors is comprised of six directors. Our Board's diversity gives us a competitive advantage and additional strength, effectively steering the administration of the Group and providing guidance on operational performance, business strategy, financial management, and governance.

As Rwanda's business environment continues to change and adapt to the global world, BK will work to provide the finest quality products. We will continue to innovate to maintain our well-earned position as the nation's top provider of universal financial services for all Rwandans.

I would like to take this opportunity to express my gratitude to our customers, employees and shareholders for your continued support and confidence. A special thanks our Board of Directors and our amazing management team for their leadership and dedication to our success.

Marc Holtzman

MARC HOLTZMAN

BK GROUP PLC
2022 IN REVIEW

BK Group successfully delivered sustained growth over the course of the year.

CEO'S NOTE

I am pleased to share with you our financial and operational successes for the year 2022. Despite facing a challenging economic landscape, I am proud to report that our Group has continued to deliver strong performance and sustained growth.

Over the past year, we have made significant progress in our efforts to expand our reach and cater to a wider audience. We have developed mobile banking solutions to reach customers in remote locations, launched new branches in new areas, and implemented financial education programs to help individuals and small businesses build financial literacy and resilience.

In addition to our commitment to inclusive finance and expansion, we have also made significant efforts to better serve our clients over the past year. We have invested in cutting-edge technology that enables us to better understand our customers' financial behaviors and preferences. We have also implemented customer feedback programs that allow us to gather insights into their experiences with our products and services. This feedback has helped us to identify areas where we can improve and develop new solutions that better meet our customers' needs.

> *Our growth has been robust and sustainable, with positive results seen consistently throughout the year.*

An Inclusive Approach

This past year, we partnered with MTN Rwanda for a Device Financing Program to offer customers the opportunity to purchase smartphones and tablets on credit from various MTN distribution centers at affordable prices. This program aims to increase smartphone penetration in the country, expand the Bank's loan book in the retail segment, and create new opportunities for customers to access digital financial services while continuously serving the community.

We also collaborated with several universities and higher learning institutions to recognize the achievements of their best-performing students during graduation ceremonies held throughout the year. This initiative is part of the Bank's strategy to build lasting relationships with the younger generation and establish itself as a leading financial institution in Rwanda. By contributing to the development of the education sector in Rwanda, promoting financial awareness among the youth, and increasing the adoption and usage of BK's products and services, the Bank aims to strengthen its brand positioning and reinforce its commitment to the community.

Bank of Kigali has set an ambitious goal to increase the proportion of its SME portfolio to 13%, with retail at 10% and corporate customers at 77% by the end of 2023. The Bank plans to achieve this by increasing the wallet share for existing customers and onboarding new ones, while also prioritizing quick response times to customer queries. In addition, Bank of Kigali is committed to promoting gender equality in the business community through its Women in Business initiative. Thanks to a grant from the "EIB East Africa COVID-19 Rapid Response Facility," the Bank will allocate 30% of the grant to female-led companies and firms that advocate for gender equality. The Africa Women Rising Initiative (AWRI) will provide capacity-building support and financial access to women-led micro- to medium-sized enterprises in Rwanda, contributing to the overall economic growth and development of the country.

Delivering Growth on All Fronts

Our growth has been robust and sustainable, with positive results seen consistently throughout the year. This growth is a result of our continued focus on expanding our product offerings and improving customer experiences, as well as our commitment to innovation and technology. We have been able to capture new opportunities, while also strengthening our presence in our core businesses.

Bank of Kigali Plc served 457,763 retail customers and over 22,558 corporate clients by the end of 2022. The bank now has 67 branches, 101 ATMs, and 2,731 POS terminals that accept most international cards, including VISA and MasterCard. Retail clients' total deposits reached FRw 306.6 billion, and corporate banking's total loan portfolio reached FRw 999.3 billion.

Throughout 2022, BK Insurance delivered impressive results, with a 1% year-on-year increase in net profit to FRw 2.7 billion, and positive underwriting results of up to FRw 2.8 billion. The company's total assets also increased by 11% year-on-year to FRw 24.0 billion, reflecting strong performance and growth, especially with agriculture insurance products. Furthermore, investment revenue increased by 27% during the year, with equity growth of 30%.

BK Techouse successfully reached 3.3 million digital users in 2022, largely exceeding its target for the year of 2.5 million. The company's recently acquired payment gateway, UrubutoPay, began to bear fruit in 2022, venturing into new markets, especially the retail business, along with the entertainment industry.

BK Capital had an impressive year in 2022, as evidenced by its significant growth. The company's assets under management (AUM) surged by 58% year-on-year to reach FRw 33.3 billion. Moreover, BK Capital achieved a profit before tax of FRw 306.2 million in 2022, representing a 198% increase over the previous year, driven by a robust 70% growth in operating income. The company's success in 2022 can be attributed to its ability to execute a wide range of projects, including company valuation services, bond issuance, buy-side advisory, as well as equity and debt advisory.

Outlook

As we look ahead, we are optimistic about the future of BK Group. We are beginning to see the fruits of our investments in elevating our customers' experience and digitalizing our services, and we plan to continue on this trajectory in the coming years. To provide our customers with more convenience, security, and accessibility, we will concentrate on improving and expanding our digital capabilities, particularly in the areas of mobile and online banking.

In the coming year, we intend to further strengthen our brand recognition and market position by leveraging our existing strengths to explore new opportunities for growth. We will continue to focus on innovation and digitalization as key drivers of its success, as well as strengthening our partnerships with various institutions across the country.

BK Group also recognizes the importance of environmental, social, and governance (ESG) factors in shaping our business practices and reputation. In this regard, the Group will continue to promote sustainability and responsible business practices throughout its operations and in undertaking initiatives and partnerships that leave long-lasting positive impacts on our surrounding communities.

I would like to express my utmost gratitude to the customers and business partners who have supported BK Group in achieving robust results in 2022. I also extend my appreciation for the guidance, direction, and support of the Chairman, Marc Holtzman, and the entire Board of Directors. Their commitment to growth and excellence has been instrumental in leading the organization toward success.

BÉATA U. HABYARIMANA

Financial Highlights

The Group delivered a strong performance during the year, significantly enhancing its asset quality and profitability

1,854.0 FRw Tr

(▲16.6% y-o-y)

Total Assets

1,134.5 FRw Tr

(▲14.6% y-o-y)

Net Loans

BK Group's total interest income rose to FRw 137.8 billion as at FY 2022, while the net loan book grew by 14.6% to FRw 1,134.5 billion y-o-y. Total interest expenses increased by 23.2% y-o-y to FRw 49.7 billion, in line with the growth in customer deposits of 10.3% to FRw 1,075.2 billion. Overall, the net interest margin decreased to 9.7% from 10.9% in 2021. Non-interest income totaled FRw 46.5 billion, reflecting an increase of 22.8% y-o-y. Total operating income grew by 5.8% to FRw 184.3 billion, while total operating expenses rose by 35.7% to FRw 85.8 billion. Loan loss provision decreased to FRw 13.1 billion from FRw 37.7 billion in 2021.

The Group's asset quality has significantly improved, with NPLs ratio and cost of risk at 2.6% and 0.9%, respectively, compared to 5.3% and 3.4% in 2021. The percentage of COVID-19 related loans on moratorium reduced to 0.5% of the gross loans from 1.7% restructured facilities. The cost to income ratio stood at 46.6% from 36.3% in 2021. Profit after tax increased by 15.1% y-o-y to FRw 59.7 billion.

As at December 31st, 2022, BK Group is adequately capitalized, with total capital to risk weighted assets at 24.4%. The Group's total assets stood at FRw 1.9 trillion at year-end, up 16.6% y-o-y, supported by strong liquidity from customer deposits growth. The net loans to total assets ratio stood at 61.2%, down from 62.3% in the same period last year. The dividend payable balance stood at FRw 30.7 billion, as per an approved pay-out ratio of 50%. Shareholders' equity increased to FRw 319.1 billion, up 11.8% y-o-y. Liquid assets divided by total deposits rose to 47.3% as at December 31st, 2022, from 44.5% in December 2021.

The Group's key profitability ratios, ROAA and ROAE, improved to 3.5% and 19.8%, respectively, from 3.6% and 19.1% in 2021.

1,075.2 FRw Tr

(▲ 10.3% y-o-y)

Client Balances and Deposits

184.3 FRw bn

(▲ 5.8% y-o-y)

Total Operating Income

59.7 FRw bn

(▲ 15.1% y-o-y)

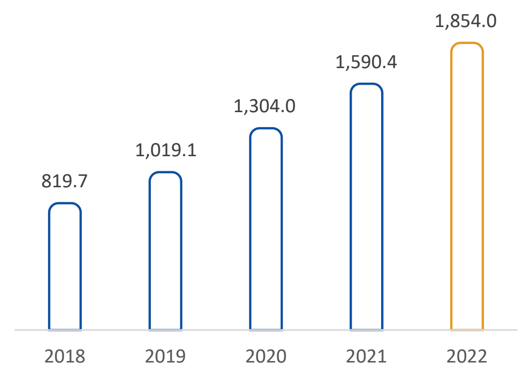
Net Profit After Tax

319.1 FRw bn

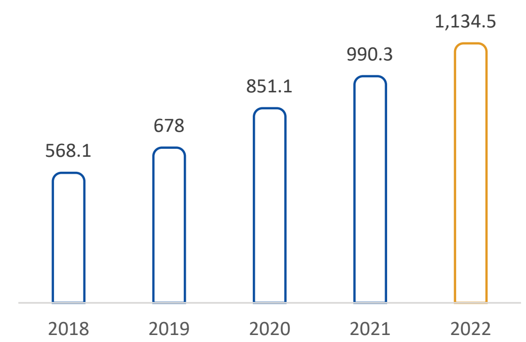
(▲ 11.8% y-o-y)

Shareholders' Equity

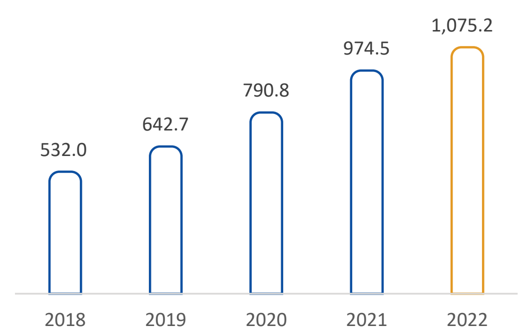
Total Assets (FRw bn)



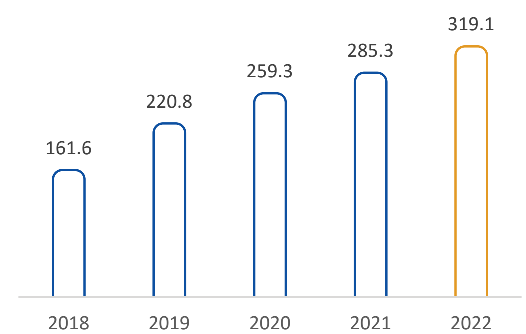
Net Loans and Advances (FRw bn)



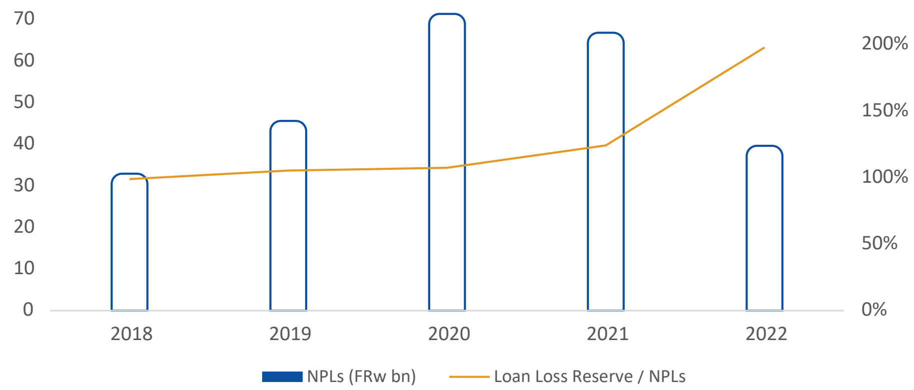
Client Balances and Deposits (FRw bn)



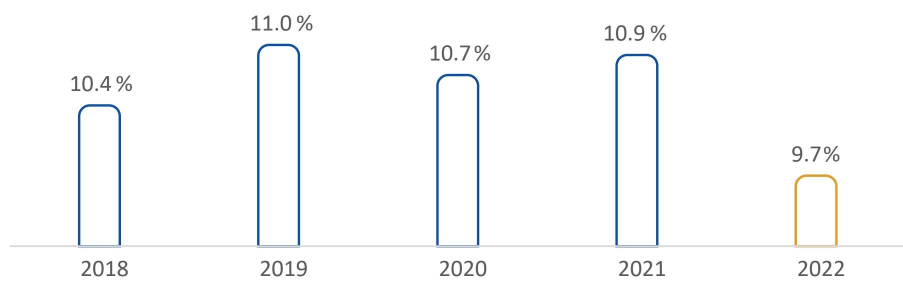
Shareholder's Equity (FRw bn)



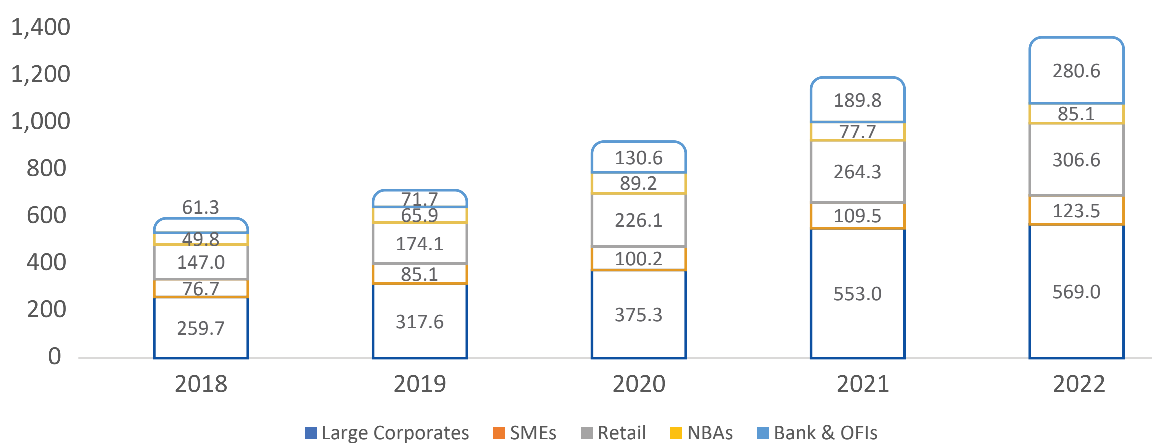
Coverage Ratio

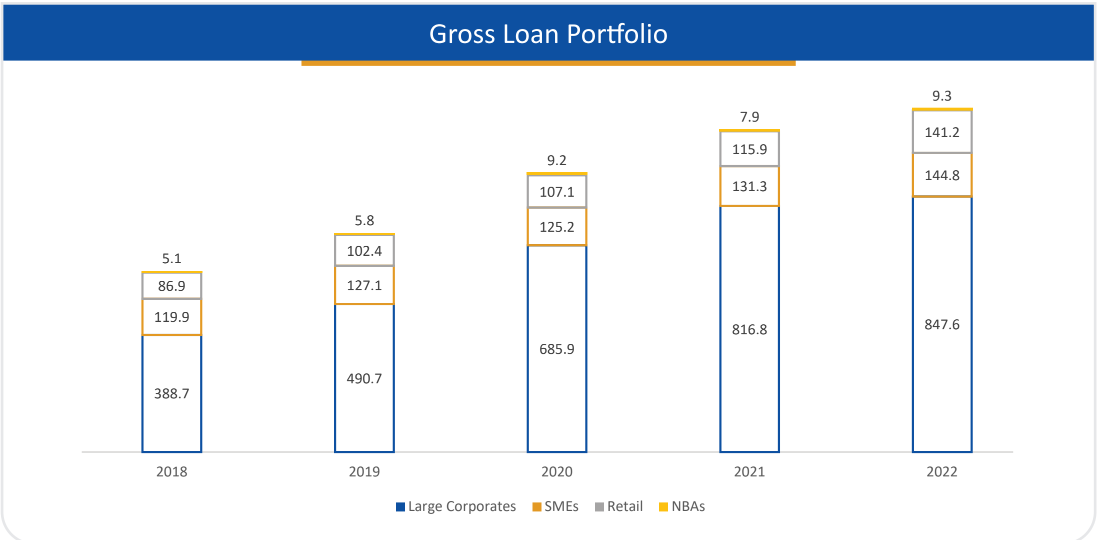


Net Interest Margin



Total Deposits




Gross Loan Portfolio
5.1
86.9
119.9
388.7
5.8
102.4
127.1
490.7
9.2
107.1
125.2
685.9
7.9
115.9
131.3
816.8
9.3
141.2
144.8
847.6
2018
2019
2020
2021
2022
Large Corporates
SMEs
Retail
NBAs


JDR Inc.

Financial Highlights from Key Lines of Business

BK Group's subsidiaries delivered robust performances throughout the year, driving growth across business lines through expansions and innovative product offerings.

Bank of Kigali Plc

1.2 FRw tr (▲ 13.1% y-o-y)
Loan Book

1.1 FRw tr (▲ 10.6% y-o-y)
Total Deposits

135.0 FRw mn (▲ 0.9% y-o-y)
Net Interest Income

BK General Insurance

11.1 FRw bn (▼ 16.0% y-o-y)
Gross Premium

2.8 FRw bn (▲ 1.0% y-o-y)
Net Profit

24.0 FRw bn (▲ 11.0% y-o-y)
Total Assets

332.8%
Solvency Margin

39%
Claims Ratio

215%
Liquidity Ratio

24%	12%
ROAE	ROAA

BK TecHouse

1.2 FRw bn (▲ 2% y-o-y)	183 FRw bn (▲ 10.6% y-o-y)
Revenues	Total Deposits

BK Capital

306.2 FRw mn (▲ 198% y-o-y)	33.3 FRw bn (▲ 58% y-o-y)
Profit Before Tax	Assets Under Management

BK GROUP PLC
VALUE-DRIVEN BANKING

Rwanda's growing sustainability landscape has encouraged the Group to improve on its value creation framework in line with its goal to create shared value for stakeholders through its financial services offerings.

VALUE DRIVEN BANKING

BK Group recognizes the importance of sustainability in its operations and has made significant efforts to align with local and global sustainability benchmarks. The Group's commitment to creating shared value for stakeholders through its financial services offerings is guided by the African Union Agenda 2063, the UNGC's 10 principles, and the United Nations' SDGs. To consolidate relevant objectives and strategically guide its growing sustainable development efforts, the Group's management has taken on the responsibility of overseeing the creation of appropriate frameworks. As a leading institution in Rwanda, the BK Group recognizes its duty to lead by example and create models that members of the Rwandan community can follow to improve returns across the country's established and growing sectors.

The Group's social responsibility and financial inclusion plans involve leveraging synergies and cross-selling capabilities across its portfolio to improve reach within current and underserved community segments. Moreover, it places significant importance on its environmental impact, implementing various initiatives that range from direct operational upgrades to green community initiatives, setting an example for private operations across the country to keep ahead of their emissions, decrease them, and implement green solutions that heighten environmental consciousness.

Stakeholder Mapping

BK Group is dedicated to promoting accessibility and tailoring our products, services, programs, and initiatives to meet the needs of our diverse client base. We are committed to serving all our stakeholders, including beneficiaries, business partners, governmental entities, and anyone directly or indirectly tied to the Group's financial and non-financial operations. To achieve this, we leverage our extensive network and draw on our long-standing experiences and expertise to find the best means of serving each group and improving the value presented to them through our operations.

One of the ways we foster strong relationships with our stakeholders is through regular interactions and gathering insight into their interests and expectations. Highly trained teams are in regular communication with different groups to identify avenues for improvement, growth, and development. By acknowledging and monitoring our stakeholders' concerns and collaborating with varied partners to minimize their exposure to risks and mitigate any harmful events, we are able to build trust with them year after year.

Our dedication to transparency, clear communication, and seeking optimum returns for each group has helped to inspire confidence among our stakeholders. As a people-centric institution, we are committed to continuing to find ways to improve, grow, and develop in a manner that meets the needs of all our stakeholders. By remaining focused on our mission, the Group is well-positioned to continue providing value to our clients and beneficiaries.

Stakeholder	Viewpoint	Relevant topics	Communication Channels	Frequency
Customers	The largest source of our deposits and a main source of revenue growth	Sustainable banking practices and lending activities, exceptional customer experience, world-class governance, risk management	Regular written and digital communication	As needed
Employees	A core pillar of the Group's operation and a key group within the national community that we work to serve	Empowered and well-compensated workforce, material contributors to respective communities, efficient groups and integral facilitators of value creation solutions	Regular digital and written communication	As needed
Investors	Initial providers of financial capital and reviewers of the Group's financial performance and evolving strategy	Transparent and timely financial and operational disclosures, robust governance frameworks and applications	Investor calls	Quarterly
			Investor conferences	Minimum 5/year
			Regular digital and written communication	As needed
			Investor relations section on the Group's website	Regularly updated as needed
Regulators and policy makers	Determined by our listing on the Rwanda Stock Exchange (RSE) and the Nairobi Securities Exchange (NSE)	Transparent and timely financial and operational disclosures and other mandates as required by each authority, public policy implementation	Financial Earnings	Quarterly

Capitals

Financial Capital

With its strong financial capital, the Group is able to sustain its business operations and continuously enhance its service offerings. This financial stability also allows the Group to expand its reach and invest in sustainable value creation, while simultaneously identifying areas for cost-efficiencies to improve shareholder returns.

Inputs	Outcomes	Stakeholders implicated
The Group's solid financial capital is continually invested back into its activities as a means of driving value for both shareholders and customers.	• FRw 59.7 billion in consolidated net income • FRw 1,854.0 trillion total assets • FRw 1,075.2 trillion total client balances and deposits • FRw 319.1 billion shareholders' equity • ROAE – 19.8% • ROAA – 3.5% • NPLs – 2.6% • Cost/income ratio – 46.6%	Shareholders Customers

Human Capital

As BK Group strives to become the universal financial services provider of choice for Rwandans, it recognizes the crucial role of its workforce in achieving this goal. The Group is committed to empowering its employees by providing them with complete labor rights and opportunities to expand their technical and professional knowledge and capabilities. This investment in human capital not only benefits the employees themselves but also translates into better service offerings and an overall enhanced customer experience.

Inputs	Outcomes	Stakeholders implicated
The Group's 1,227 employees play a critical role in its success and are the driving force behind its client-centric business approach. These employees are in tune with the needs of Rwandans and are ideal contributors to the provision of suitable financial services for their communities. In order to foster a culture that as focused on people as its external strategies, the Group works to cultivate an innovative and diverse workplace that prioritizes employee satisfaction, fair compensation and benefits, and capacity building for the creation of a strong, flexible, and expertly trained workforce. The Group's leading position in the market as an employer of choice remains solid as it continues to build its numbers and invest in its employees for the realization of its expansion goals.	BK Group also strives to drive equal opportunity within its workforce, with 46% of its workforce comprised of women of varying age groups and 34% in management and governance positions. The Group has also worked to contribute to youth job creation, with nearly half the workforce 35 years old and under. The employee retention rate was at around 19.1%. The total turnover rate was at 7.5%, with 8% being male and 7% female. By age group, the turnover rate for employees under 30 was at 9%, for 30-50 at 7.8%, and for 50+ at 6%. In terms of parental leave, 59 employees took maternity leave and 48 took paternity leave. The Group places great emphasis on learning and development, offering career progression support to bridge competency gaps and make employees eligible for higher roles. The Group provides a variety of learning opportunities, including classroom training, professional courses, seminars, and workshops both locally and internationally, to help its employees expand their knowledge and skillset.	Shareholders Customers

Manufactured Capital

BK Group takes pride in the efficiency, security, and ease of use of its channels, equipment, and systems through which it offers its products and services. These channels, equipment, and systems are benchmarked against international best practices to ensure that they meet the highest standards. As the Group's operational footprint expands, it is committed to increasing the availability of its channels across the country to facilitate client interactions. The Group is also focused on improving the efficacy of its information technology infrastructure to support volume increases and provide seamless services through both physical and digital facilities.

Inputs	Outcomes	Stakeholders implicated
BK Group's four-sided retail strategy is a comprehensive approach that prioritizes the growth and diversification of its business operations. The Group's expansion efforts are focused on self-service products, an expanded distribution network, retail product offerings, and new lines of business. This approach has enabled the Group to increase its channels and capacities, while also reaching out to previously underserved segments of the population who have had little or no involvement in the formal financial system.	As of 2022, the Group was home to: • 67 branches • 101 ATMs • 2,731 points of sale • 3,735 operational agents • Over 185,744 visa cards and 31,674 master cards currently in circulation • The financial solution IKOFI wallet (over 265,080 farmers registered so far)	Customers


BANK OF KIGALI
Financially transforming lives

Social and Relationship Capital

At BK Group, we recognize that our success is dependent on the support and cooperation of our stakeholders, and as such, we make sure that our communication with them is open, transparent, and supportive. We aim to create value not only for our organization but for all our stakeholders, and we actively seek out opportunities that would lead to mutually beneficial outcomes. One of the ways we do this is through our social responsibility programs that aim to empower various segments of the Rwandan community. These programs are diverse in nature and cover areas such as education, healthcare, poverty reduction, and more.

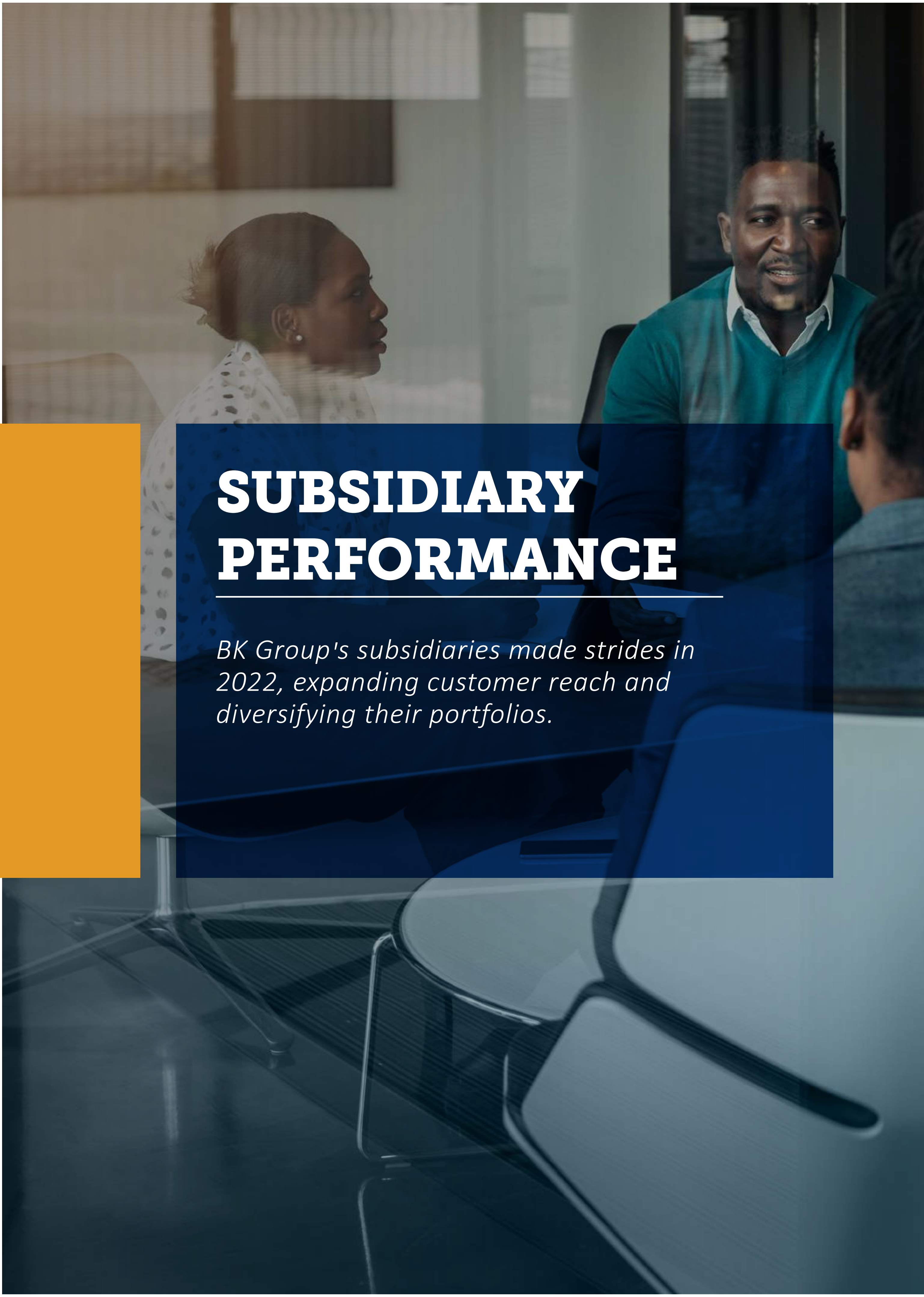
Inputs	Outcomes	Stakeholders implicated
Our education support programs collaborate with local and international partners to enhance employees' skills and facilitate their career advancement, while also promoting basic and vocational education among community members.	Partnership with Agahozo Shalom Youth Village: • Donation of USD 288 thousand each year from BK to Agahozo Shalom Youth Village to support its mission of transforming the lives of orphaned and vulnerable Rwandan youth through healing, education, and care. PIASS University: • The Group awarded the two best performing graduates from the Protestant Institute of Arts and Social Sciences (PIASS) FRw 1 million each post-graduation. INES-Ruhengeri Graduation: • The Group awarded the three top students who graduated this year from the Institute of Applied Sciences FRw 1 million each. Catholic Institute of Kabgayi: • The Group awarded the two best performing students who graduated this year from the Catholic Institute of Applied Kabgayi with FRw 1 million each.	Customers

Inputs	Outcomes	Stakeholders implicated
	Adventist University of Central Africa (AUCA): • Bank of Kigali has awarded the two most outstanding students at the Adventist University of Central Africa with an award of FRw 1 million each. BHC Chevening Scholarship program: • Bank of Kigali committed to paying for one student every three years at GBP 36,000 each. Collaboration with Association des Métis au Rwanda: • The Group partnered with AMERWA, an association of Metis or biracial people in Rwanda, to support groups of women whose children were left by their foreign fathers to secure better futures. Urumuri 6th Edition: • A group of twenty-five entrepreneurs benefited from the Acceletor program and competed for interest-free loans in an intensified business pitch under the sixth BK Urumuri Initiative. City of Kigali Partnership: • BK Group has donated FRw 150 million into an urban rehousing and neighbor-hood upgrade project in the Gitega sector of the Nyarugenge district.	

Natural Capital

As an environmentally conscious organization, we are committed to reducing our carbon footprint and efficiently using our resources. Our efforts are aligned with SDG 13 (Climate Action) and we are actively working towards a digitized future to minimize our impact on the environment. In addition to our internal efforts, we also participate in nationwide initiatives that promote environmental sustainability and protect ecosystems from the adverse effects of climate change.

Inputs	Outcomes	Stakeholders implicated
To minimize our environmental impact and reduce greenhouse gas emissions, we have implemented measures such as energy conservation, smart utilization of resources, and efficient waste disposal throughout our operations.	• Switched to LED lighting across several areas of operation. • Reduced paper usage due to increased digitization. • Set up systems to lower our electricity use across our head office and branches. • Disposed of all e-waste in line with local regulations. • Parnership with Enviroserve Rwanda Green Park (ERGP), to develop a circular economy approach and sustainable collection system of e-waste.	Governmental and non-governmental entities
Our organization provides funding to official programs that promote agroforestry, biodiversity, and improving the livelihoods of farmers. In addition, we actively support and empower green initiatives across the country.	• We pledged donations to the Agroforestry and Fruit Tree Planting project implemented by Enterprise Multiservices (EMS) in the Rulindo district. • FRw 25 million donated to the project. • 800 trees have been planted on eight hectares so far. • Project aims to plant over 105,000 agroforestry and fruit trees on 250 hectares for 200 households by its end. • Partnership with Living Water International – Rwanda, an INGO whose focus is providing communities with accessibility to improved WASH services-water access, sanitation and hygiene.	Governmental and non-governmental entities



SUBSIDIARY PERFORMANCE

BK Group's subsidiaries made strides in 2022, expanding customer reach and diversifying their portfolios.

BANK OF KIGALI PLC

Retail Banking

Bank of Kigali caters to the diverse needs of its clients in Rwanda and other areas with a range of essential banking services that are personalized. These services include consumer and vehicle loans, credit cards, overdrafts, mortgage loans, and asset-based financing, among others. As a testament to its outstanding service offerings, Bank of Kigali has garnered the largest retail customer base among banks in the country.

Bank of Kigali has established itself as a top provider of retail banking services and a crucial catalyst for the expanding bankable population in Rwanda. It has achieved this by utilizing its extensive network of branches, ATMs, and POS across the country, as well as innovative mobile banking platforms and channels.

306.6 FRw bn

Total Retail Deposits

457,763

Retail Clients

51,436

Number of Credit Cards Issued

101

ATMs

141.2 FRw bn

Retail Loan Portfolio

67

Branches

3,735

Agents

2,731

POS

Expanding Our Portfolio

This year, the Bank launched a new offering called the Home Equity product, which provides an array of flexible financing options with a variety of repayment plans to retail customers. This product offers customers an innovative solution to meet their personal financial needs and obligations, including purchasing land or a home, renovating a house, starting a new business, or paying for school fees, among others. Home Equity has rapidly gained popularity since its launch and has been the best-performing product for the previous six months. An easily tailored product, its loan tenor of up to 20 years has attracted many customers, in addition to the versatility of the use of funds. Through posting proprietary real estate as collateral, customers can receive financing of up to 70% of the fair market value of the property. The source of repayment can come from the customer's salary or rental income, which can be discounted at 70% if it is additional income, and at 50% if it is the only source of repayment. Overall, the launch of the Home Equity product has been a successful move for the Bank in meeting the diverse financial needs of its customer base.

The Diaspora division of the bank offers a range of banking services to Rwandans living abroad. The Diaspora Banking Offering is designed to help Rwandans who are living outside of their home country with savings, investments, and remittances. With this service, clients can open personalized interest-yield accounts denominated in USD or FRw. Additionally, the Diaspora division offers investment services such as assistance with investing in the stock market and purchasing treasury bonds through BK Capital, a subsidiary of BK Group. Diaspora clients also have access to discounted mortgage loans in both USD and FRw. Overall, the Diaspora Banking Offering is designed to provide Rwandans living abroad with tailored banking solutions that meet their unique financial needs.

In 2022, the Diaspora Banking Business attracted approximately 4,000 diaspora customers, which included 1,200 new accounts. These customers contributed solid growth to both deposit and loan portfolios, increasing by the value of FRw 6 billion to the retail banking deposit portfolio and FRw 5 billion to the loan portfolio respectively.

As part of the Bank's strategy to boost investments from the diaspora communities and bolster its customer base, Bank of Kigali launched the Diaspora Banking Promo in February 2022, which ran through June 2022. The campaign aimed to strengthen business relationships with diaspora communities and encourage them to invest in Rwanda. By the end of the four-month period, the Bank had successfully opened 302 new accounts, exceeding its target. The promo also helped to boost deposits, which grew by FRw 8.1 billion in the same period.

In March 2022, Bank of Kigali established a Mortgage Center with the objective of enhancing its customer experience and reducing the time it takes to process mortgage applications. The Center also offers specialized advisory services to customers seeking housing solutions. Since its launch, the Mortgage Center has facilitated partnerships between the Bank and real estate developers. At present, there are ten Memoranda of Understanding in place to expedite access to residential real estate for customers in need of mortgages or housing solutions. Additionally, Bank of Kigali Plc has collaborated closely with BRD to design affordable housing products that are customized to assist low-income households in realizing their aspirations of home ownership.

Building our Brand

Bank of Kigali took steps to strengthen its brand recognition and expand its market reach in the second quarter of the year by entering into a naming rights partnership with QA Venue Solutions. As part of the partnership, the Kigali Arena was renamed the 'BK Arena' for the next six years, and the 'BK Arena prepaid card' was introduced as a flagship product to facilitate payments within and outside the arena. This campaign served to raise awareness and increase uptake of BK Arena prepaid card sales. The campaign successfully enhanced the Bank's brand equity at the local, regional, and international levels, strategically targeting the youth demographic, providing banking solutions to the unbanked, and encouraging the adoption and usage of BK Payment tools. In turn, the move helped Bank of Kigali solidify its position as a leading financial institution in Rwanda and expand its global presence.

The Bank also partnered with MTN Rwanda for a Device Financing Program aimed at enabling customers to purchase smartphones and tablets on credit from various MTN distribution centers, including franchise shops and other retail distribution points, at affordable prices as low as FRw 200 per day. In an effort to continuously serve the community, the program aimed to increase smartphone penetration in the country and provide banking services to the informal sector, while expanding the Bank's loan book in the retail segment. The initiative enabled Bank of Kigali to reach out to the unbanked and underbanked segments of the population and create new opportunities for customers to access digital financial services, simultaneously boosting the Bank's growth and expansion plans.

As a customer-centric brand that meets the needs and expectations of its clients,Bank of Kigali continues to take strides in prioritizing customer loyalty and retention as a main driver of business growth. To improve customer satisfaction and foster long-term relationships, the Bank implemented a customer outreach and engagement program throughout the year. Members of the senior leadership team visited various parts of the country to thank customers for their business, gather feedback, and address pain points in the brand's service delivery. As a result, the Bank also witnessed an improvement in its Net Promoter Score (NPS), strengthened brand presence, enhanced cus-

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As a customer-centric brand that meets the needs and expectations of its clients, BK Group continues to take strides in prioritizing customer loyalty and retention as a main driver of business growth.

tomer relationships, and encouraged adoption and usage of BK's product portfolio.

Bank of Kigali partnered with various universities and higher learning institutions, including AUCA, INES Ruhengeri, East African University Rwanda, and Protestant University in Huye, among others, to recognize their best performing students during graduation ceremonies throughout the year. This initiative was part of Bank of Kigali's strategy to establish long-term relationships with the younger generation and solidify its position as a leading financial institution in Rwanda. The goal of these projects is to actively contribute to the development of the education sector in Rwanda, promote a culture of financial awareness among the youth, increase adoption and usage of BK products and services, and strengthen brand positioning.

Ensuring Positive Customer Experiences

Bank of Kigali is committed to providing customer-centric services through both traditional and digital channels. With at least one BK branch in all strategic locations across Rwanda, and an expansive ATM network of 101 ATMs across the country, the Bank offers convenient access to its services. The Bank has also embarked on an extensive digital transformation journey, with a new business unit dedicated to this effort. The approach primarily targets migrating customers to online/digital banking, measuring customer satisfaction, and automating processes.

Migrating customers to online/digital banking has been implemented through various initiatives. These include the use of a chatbot and the IKAZE platform, which provides real-time feedback from customers. The IKAZE platform is installed in all branches, and weekly results are shared with Management. Soon, this platform will be launched on mobile, enabling customers to share their satisfaction without visiting the office.

To measure customer satisfaction, the Bank has installed service rating and feedback systems in all branches, and an independent company conducts an ongoing Customer Satisfaction Survey. Management also receives weekly updates on resolved and pending CRM cases, helping them understand the issues

that affect their customers the most. The Bank's Net Promoter Score (NPS) is currently at 40%, and its Customer Satisfaction (CSAT) rate is 76%.

Bank of Kigali has taken various steps to automate processes, including the upgrade of its customer relationship management tools. A new unit called "Business Processes" has been formed to review and re-engineer key processes for better efficiency and a positive customer experience. The Bank has reduced the time it takes to open a bank account, execute loans, and other services, with account opening time being reduced from one hour to 30 minutes. The Bank has also implemented a call center initiative, which includes cross-selling of the IKAZE product package, developing FAQs and communication templates, enforcing quality assurance standards, and developing guidelines for agents to enforce etiquette.

In 2022, the Bank upgraded its CRM in line with the second phase of planning, implementing EDMS which includes e-filing and mailroom automation, and educating customers on using digital channels frequently instead of visiting the bank. Bank of Kigali also implemented the Consumer Protection Law (FSCP Law), standardized all bank forms, and set up a Quality Assurance Unit to ensure interdepartmental service level agreements and escalation matrixes. These measures ensure that the Bank can continually assess and improve customer satisfaction levels.

Outlook

The Bank has a CEM Strategic Plan in place, and for the year ahead, there are several key goals to achieve. The first is to reduce the turnaround time (TAT) for all branch services to 15 minutes. Secondly, comprehensive training will be provided to improve the quality standards in the call center and branches. Thirdly, efforts will be made to improve the digital experience and increase usage of channels such as self-onboarding to boost transaction volume. Fourthly, key processes will be automated to enhance efficiency. Finally, the Bank is prioritizing the implementation of the Consumer Protection Regulation. By working towards these goals, Bank of Kigali aims to upgrade its customer service and brand positioning to effectively grow its portfolio based on clients' needs through innovative offerings.

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The Bank has built a successful loan portfolio, amounting to FRw 993.3 billion in 2022, thanks to its exceptional service offerings.

Corporate Banking

Bank of Kigali Plc has positioned itself as the preferred financial institution catering to the diverse banking requirements of large corporations, Small and Medium Enterprises (SMEs), and Non-Profit Organizations (NGOs) in Rwanda. The Corporate Banking division has been delivering exceptional services to businesses for decades and boasts a comprehensive corporate portfolio of 22,558 clients across multiple industries. The division provides a range of services, including loans for CAPEX needs, commercial mortgages, overdrafts, and working capital financing. The Bank has built a successful loan portfolio, amounting to FRw 993.3 billion in 2022, thanks to its exceptional service offerings.

Gross Loan Portfolio Breakdown

Gross Loans	Dec 22	Dec 21
	FRw '000	FRw '000
Large Corporates	911,274,882	819,387,628
SMEs	137,272,914	131,345,475
Non-Business Activities	15,384,918	5,958,896
Retail Banking	150,204,369	116,418,192
Total	**1,214,137,082**	**1,073,110,191**

Bank of Kigali's loan portfolio grew by 14.6% from December 2021 to December 2022, indicating the Bank's success in attracting new customers and managing credit risk. In 2021, SME loans accounted for 8.6% of the loan portfolio, but by 2022, their loan value had increased by 48.8%, accounting for 11.3% of the gross loan portfolio. This growth demonstrates the Bank's commitment to supporting the growth and development of smaller businesses.

Total Deposit Portfolio Breakdown

Total Deposits	Dec 22	Dec 21
	FRw mn	FRw mn
Large Corporates	540,659	552,993
SMEs	358,379	264,327
Retail Banking	185,283	163,191
Banks & Interco'	280,588	204,570
Total	1,364,910	1,185,081

The Bank experienced a 12.3% increase in its deposit portfolio from December 2021 to December 2022, which, combined with the growth of its loan portfolio during the same period, demonstrates the Bank's ability to attract new customers, retain existing ones, and maintain a balance between its lending and borrowing activities. This growth in both portfolios indicates that the Bank is effectively managing its liquidity and funding its loan portfolio through its deposit base.

Outlook

Corporate Banking will continue to prudently manage its loan portfolio and leverage its superior lending capacity and experienced team of talented professionals to diversify its financial solutions and introduce new products. The Corporate Banking division targets attracting new clients and growing its market share by expanding its loan book, especially in trade finance, increasing its deposits, and growing its range of services in transactional banking, institutional banking, and financial institutions in the upcoming years.

SME Banking

The SME Center launched by the Bank of Kigali in July 2022 has been instrumental in providing a range of tailored financial and advisory services to entrepreneurs seeking to expand their businesses. As part of its efforts to cater to the evolving needs of SME customers, the Bank's product development team has approved seven SME loan products and three SME liability products and is currently working on developing more solutions for their customers. These offerings will not only facilitate better access to finance but also help entrepreneurs manage their funds more effectively and efficiently.

Segment	Number of Customers
Large SME	268
Medium SME	4,696
Small SME	2,563
Micro SME	25,012

To further enhance its support of SMEs, the Bank of Kigali has scheduled a training program and calendar for SME staff in 2023. This initiative aims to equip staff with a deeper understanding of the financial requirements of SMEs, enabling them to better serve the needs of these customers. The Bank also leverages government facilities to attract new SME customers and provide loans at favorable rates. It has previously administered the Renewable Energy Fund and is currently participating in disbursing the Economic Recovery Fund (Hatana 2) and Export Growth Fund. These efforts highlight the Bank of Kigali's commitment to promoting the growth of SMEs in Rwanda and supporting the country's broader economic development goals.

The Bank of Kigali has devised a plan to offer non-financial services to SMEs, which encompasses initiatives such as financial literacy and taxation. Additionally, the Bank will introduce Business Clubs and Supply Chain linkages as part of its non-financial services. The Bank has expanded its SME staff from 11 to 34 to leverage its branch network and assist SMEs in their specific areas. Presently, the Bank has six Relationship Officers in upcountry branches, six in Kigali branches, and six at the Head Office. Furthermore, it has 16 staff at the SME Center. The department also hosted an event for SME customers in the Eastern Province, which was attended by the Bank's Executive Management.

The Bank aims to drive the growth of its SME portfolio. This increase will be facilitated by the value chain of large corporate and public institutions. To achieve this goal, the Bank will focus on increasing the wallet share for existing clients and onboarding new customers who are not currently enrolled with the Bank of Kigali. The department will also prioritize providing quick turnaround times for customer queries. The target for the end of 2023 is to have 13% of the portfolio dedicated to SMEs, 10% to retail, and 77% to corporate customers. The bank anticipates achieving the target within the next three years.

Women in Business

Bank of Kigali is focused on promoting gender equality in the business community through its recent initiative targeting Women in Business. With the support of the "EIB East Africa COVID-19 Rapid Response Facility" grant, which provides EUR 40 million to the Bank, the department will allocate 30% of the grant to female-led companies and firms that advocate for gender equality. This initiative will enhance access to finance for women entrepreneurs and contribute to their economic empowerment. The Technical Assistance Facility provided by the grant, known as the "Africa Women Rising Initiative" (AWRI), will provide capacity-building support and financial access to women-led micro- to medium-sized enterprises in Rwanda. This program seeks to realize the potential and positive impact of women entrepreneurs, ultimately contributing to the overall economic growth and development of the country.

Outlook

The Bank of Kigali's SME department has made significant strides towards growth and success. With increased staff strength, the department is poised to generate more deals and attract new customers, ultimately leading to greater customer satisfaction. Moreover, the department is committed to developing specialized products tailored to meet the specific needs and requirements of its customers. As part of its growth strategy, a heightened focus is placed on the value chain of corporate and public institutions, which will serve as a key growth driver. The Bank's efforts to continually improve and innovate its SME offerings indicate that it is well-positioned to remain a leader in the SME banking sector and contribute to the economic development of Rwanda.

BK GENERAL INSURANCE

An innovative insurance provider in Rwanda

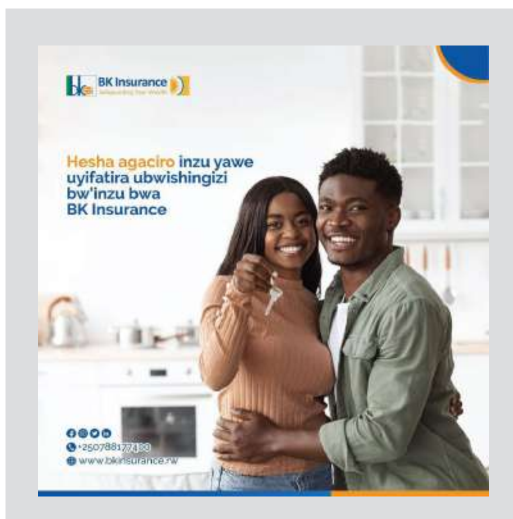
BK Insurance was founded in 2015 to provide a comprehensive array of high-quality insurance services and products that meet the ever-changing needs of the company's stakeholders in Rwanda and beyond. The company offers a wide range of non-life insurance products for its clients, including coverage for automotive assets, agriculture, property, aviation, transport, bonds, engineering, technological assets, personal assets, as well as group accident coverage.

In line with BK Group's objective of financially transforming people's lives, BK Insurance introduced crop and livestock insurance to protect formers investments and enable them to access financing from financial institutions. The agriculture class now makes up 11% of the portfolio. We ensured BK Insurance's proximity to farmers by creating and strengthening agency network across the country, thus increasing the number of agencies from 66 to 112 agents, among them 27 agents for agriculture (crop & livestock) products.

BK Insurance also embarked on insuring helicopters participating in tourism and leisure activities and this was achieved through partnering with the most globally recognized reinsurance companies. This innovation in product redesigning, along with exceptional customer service positioned BK Insurance as one of the most customer centric insurance companies in Rwanda.

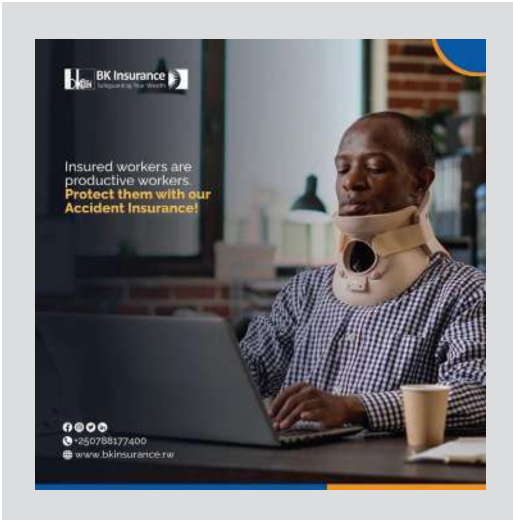
2022 Highlights

BK Insurance achieved commendable performance throughout 2022 and recorded a net profit increase of 1% y-o-y to FRw 2.8 billion, while keeping underwriting results positive up to FRw 2.3 billion. The company also recorded an increase in total assets of 11% y-o-y to FRw 24.0 billion. Additionally, investment revenue grew by 27% during the year and equity growth of 28%.



Key Prudential Ratios 2022

#	Item	Ratio %
1	Solvency Margin	333%
2	Claims Ratio	39%
3	Liquidity Ratio	215%
4	ROAE	24%
5	ROAA	12%
6	Asset growth y-o-y	11%
7	Equity growth y-o-y	28%



Additionally, BK Insurance maintained its competitive advantage in terms of paying off claims in the shortest time and trained its clients and intermediaries on insurance products. It also participated in Road Safety awareness campaigns organized by Rwanda National Police to reduce death and damage to peoples' property. The initiatives along with other claims management strategies were implemented and positively impacted to BK Insurance claims register with claims ratio decreasing by 1%.

BK Insurance balanced the 2022 products portfolio in such a way that motor class weighs 58%, fire insurance 13%, agriculture 11%, and the remaining products weigh 18%. The decrease in motor class dominance ensures the decline in single product concentration risk and underpins the sustainability of the company.

As a result of its performance throughout the year as depicted above, the company was awarded the Best Annual Integrated Reporting in the Non-Banking Sector by Institute of Certified Public Accountants of Rwanda (ICPAR) for the second time.

BK Insurance started IFRS 17 implementation roadmap and the year 2022 ended having completed significant components of its implementation, such as IFRS 17 financial gap analysis. Equally, financial statements simulations were done on different reporting periods to grasp any potential impact on retained earnings. IFRS 17 policies manual was prepared and its related effects on financial reporting were considered for the design of the IFRS 17 engine and the new chart of accounts.

Business Continuity and Relationship Building

In its efforts to adopt efficient processes and execute effective business continuity schemes, BK Insurance embarked on digital insurance services and payment systems to ensure its flexibility and adaptability to market demands. The company successfully launched an online self-service portal where customers can apply for insurance offers with instantaneous feedback. In line with digitalization, various projects were launched among other more robust insurance core system, as well as Oracle Enterprise Resource Planning (ERP) to handle company operations ally digitally.

BK Insurance strengthened its relationship throughout the year with insurance intermediaries to enhance its retail insurance portfolio. The company contracted 27 different underwriting agencies across the country, particularly those handling agriculture insurance (crop and livestock).

In alignment with its policy of corporate social responsibility (CSR), BK Insurance engaged and established partnerships with sports and recreational associations in Rwanda through sponsoring a number of tournaments, including cycling. It also partners with BK Arena to ensure that BK Insurance is known to all conventions taking place at BK Arena while providing relevant insurance to BK Arena and the meeting participants. These collaborations worked to increase its visibility in the insurance sector and with varied communities of people.

Forward-Looking Strategy

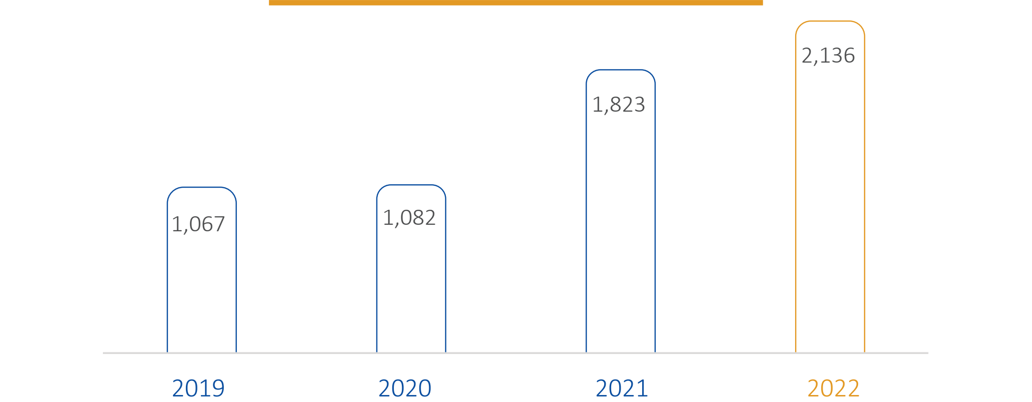
BK Insurance enters into 2023 with the strategy necessary to achieve its goal of remaining the leading provider of innovative and high-quality insurance services in Rwanda. The company plans to focus on identifying further potential target markets to unlock value, advancing its banc-assurance services for SME and retail clients, constantly tailoring relevant products that meet the evolving needs of the company's stakeholders, and enhancing BK Insurance's overall customer retention rate through a mix of effective marketing and an enhanced self-service products and service offering.

BK TECHOUSE

Overview

BK TecHouse, a Tech-Subsidiary under BK Group Plc. founded in 2016, is one of Rwanda's leading providers of innovative technology platforms that implement digital products and services to promote financial inclusion for commercial benefits with a specific focus on edutech, agritech, retail, and fintech. BK TecHouse also provides IoT services and broadband connectivity to homes and businesses using fiber optic and 4G LTE technology.

Revenue Progression (FRw million)



BK TecHouse enjoyed a fruitful year, gradually recovering from the economic effects of the pandemic. In spite of the challenges posed by global inflationary pressures that have led to an inevitable decline in consumer demand, the company managed to make significant progress in its efficiency and productivity throughout the year. It developed new innovations and services for its customer base and continued to modernize according to the latest local and international e-Money and Big Data regulations in order to ensure compliance and risk aversion.

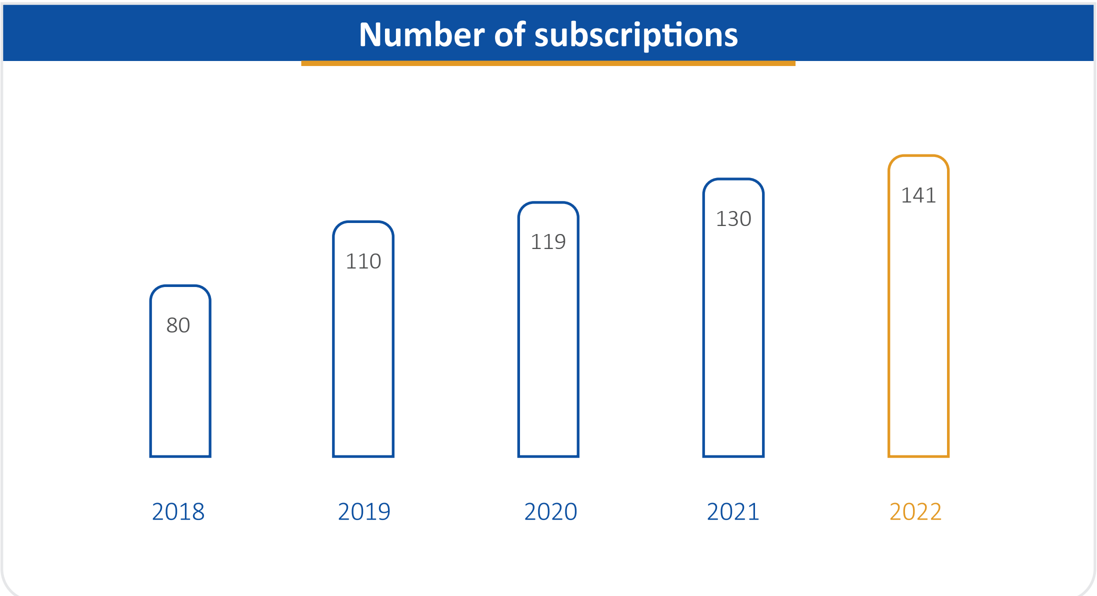
BK Techouse's sales mix for the year was mainly dominated by broadband, representing 72% of total sales, while digital services contributed 26% and IoT contributed 2% of the total sales. The company successfully reached to 3.2 million digital users in 2022, largely exceeding its target for the year of 2.5 million.

Throughout 2022, the company benefited from the many efforts of the Rwandan government to promote financial inclusion through encouraging collaboration among banks and fintech firms. The company has worked to improve its digital infrastructure, with steps forward such as the National Broadband Policy and Strategy, the National Digital Talent Policy, the Fintech Strategy, and the establishment of the Kigali International Finance Center (KIFC).

To achieve its goal of securing the ISO-27001 and ISO-9001 in 2023, the company carried out several risk assessments and analyses of its systems, identified areas for improvement, and developed policies, processes, and procedures accordingly to ensure compliance with quality and security standards. It also conducted internal audits to verify its readiness for compliance ahead of the external audits for ISO Certification to take place in early 2023.

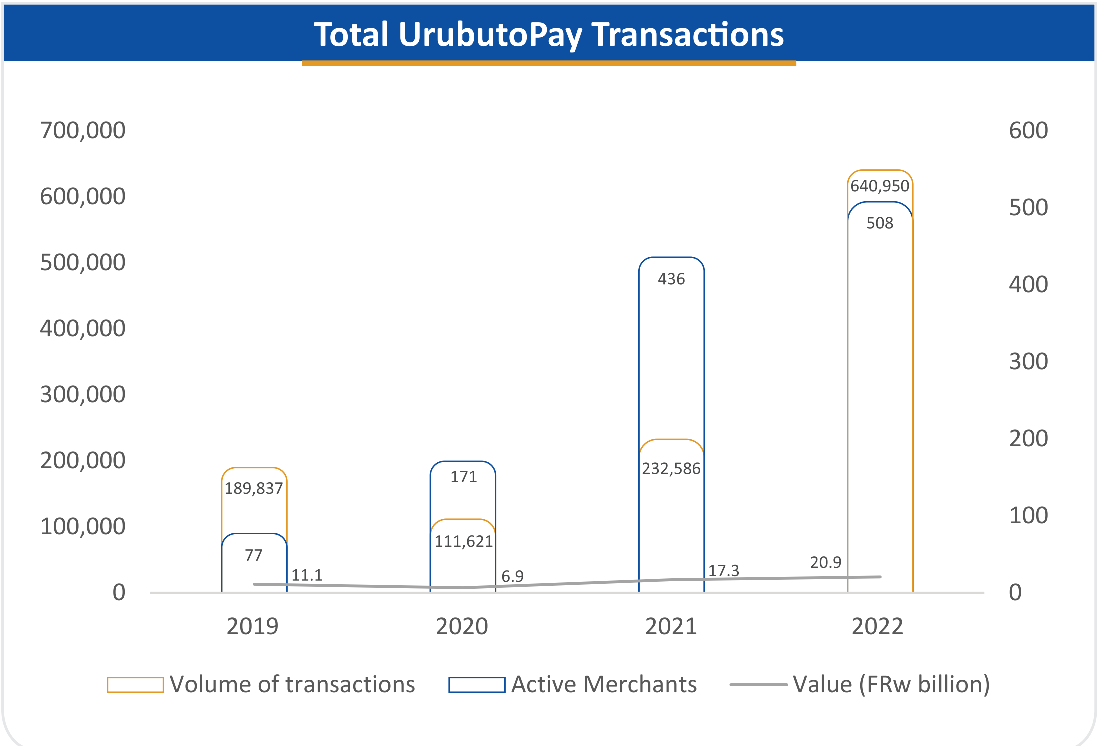
Education

The company's premier offering in the edutech space is Urubuto Education System, a school management system that serves schools, administrators, students and parents, giving them access to academic performance, student behavior, and attendance, in addition to tuition fee collection management services through UrubutoPay. Urubuto successfully raised the number of schools subscribed to the service, with a total of 30 onboarded schools in 2022. The new integration with MINECOFIN School Data Management System (SMDS), which launched its pilot with 105 schools, will allow mass onboarding and digital payment enforcement for around 3,000 schools once the country roll-out is completed.



Fintech

BK Techouse acquired a Payment Service Provider license from the Central Bank in 2021, which allowed to revamp and expand UrubutoPay to become a Universal Payment Gateway product serving different industries. The platform began to bear fruit in 2022, which saw it venturing into new markets, especially the retail business, along with the entertainment industry especially in BK ARENA. Additionally, it is now being used by the local government, through Sector Administration in Kigali, to collect different types of community fees. UrubutoPay has been successfully integrated with financial institutions such as Umwalimu SACCO and Bank of Kigali to enable the automatic payment of fees for all of their customers, Visa & Mastercard clients inclusive. It has also been successfully integrated with MTN Mobile Money and Airtel Money.



Total UrubutoPay Transactions
700,000
600,000
500,000
400,000
300,000
200,000
100,000
0
600
500
400
300
200
100
0
189,837
77
11.1
171
111,621
6.9
436
232,586
17.3
640,950
508
20.9
2019
2020
2021
2022
Volume of transactions
Active Merchants
Value (FRw billion)

SNS REFACTOR & PRODUCT ROADMAP

Agriculture

Smart Nkunganire System (SNS), developed through a Public Private Partnership between BK Techouse and Rwanda Agriculture and Animal Resources Development Board (RAB), is an agritech platform that digitalizes the agriculture subsidy inputs supply chain by creating the value chain stakeholders data base, monitoring the agro-inputs demand/supply at all levels, creating transparency and efficiency, while generating relevant analytics to ease decision making process, promoting green economy via cashless payments and unlocking access to agriculture insurance and financial services to the smallholder farmers and agri-SMEs.

To date, the platform has 2.3 million registered farmers, over 1,737 agro-dealers, and 29 agro-input companies. It has more than 71,231 metric tons of agro-inputs ordered by agro-dealers, while transactions in 2022 reached FRw 93.3 billion.

In partnership with the Bill and Melinda Gates Foundation, the platform is undergoing, since 2021, a program enhancement implementation through five separate initiatives. The first, and concluded, project was to create a consistent and organized approach to manage the SNS portfolio and deploy high quality software. The second is to enhance and stabilize the SNS platform to support scaled operations and rapid deployment, which is currently 90% complete. The second is to provide farmers with working capital finance and crop insurance bundles via the platform, which is 50% finished. The third element, which is currently at 50% completion, is to enable digital extensions that accelerate the deployment of good agriculture practices (GAP) to the SNS farmer community. The final initiative, which has not yet been launched, is to allow market linkages for SNS farmers to access post-harvest markets at improved prices.

Smart Nkunganire System in 2022

2.3 MN
(▲24.8% y-o-y)

Registered farmers

1,737

Agro-dealers

29

Agro-input companies

2.3 metric tons

Agro-inputs ordered by agro-dealers in 2022

93.3 FRw bn

Value of transactions between agro-dealers and suppliers in 2022

Another of the company's agritech digital platforms, Smart Kungahara System (SKS), focuses on the coffee value chain and allows efficient coffee supply traceability, record-keeping, and digital payments. SKS has over 366,181 farmers subscribed with 331 coffee washing stations and 125.3 million coffee trees on record to date. SKS is now enforced by the National Agricultural Export Development (NAEB) as the official platform for input distribution and cherry collection.

Smart Kungahara System in 2022

366,181

Farmers

331

Coffee washing stations

125.3 MN

Coffee trees

Retail

Kiliziya Yacu is BK Techouse's management information system developed in partnership with the Catholic Church (Butare Diocese) to ease daily church operations and promote efficiency by digitalizing church member management, cashless payments of church services and tithes, and enabling direct communication between the church leadership and its members.

The platform is currently deployed, as a pilot, in one diocese out of nine in Rwanda, with plans to launch countrywide and achieve 200% growth in the near future. So far, it has onboarded 26 parishes, 29,000 church members, and helped the Diocese of Butare to collect over FRw 120 million.

Forward Looking Strategy

In the upcoming year, BK Techouse's main goal is to continue to grow the sales of both its broadband and digital offerings, while maintaining a balanced mix of 60% and 40%, respectively. To achieve this target, it plans to hone its marketing efforts to increase customer awareness and engagement, as well as expand its customer base by targeting new markets. The company also strives to improve its service quality and optimize pricing strategies to become a more competitive market player. Finally, BK Techouse will actively seek out opportunities to cross-sell within the umbrella of BK Group, collaborating with other stakeholders in the industry to further our offering and customer reach, with a projection of growing its digital consumers to 3.5 million in 2023.

BK CAPITAL

Providing exceptional capital markets and wealth advisory services

BK Capital was established in 2012 as a securities brokerage company that provides access to local, regional, and international markets for the company's array of clientele. In 2018, BK Capital augmented its service offering and transformed into a fully equipped investment and corporate finance advisory firm that offers a wide range of capital markets services. BK Capital's goal is to provide investors with solid solutions and insights that strategically positions them to maximize the value unlocked from the opportunities at hand, through capitalizing on the team's unmatched industry expertise.

Investment and Wealth Management

BK Capital's Investment and Wealth Management division provides access to a wide range of investment products, with global investment capabilities across a spectrum of asset classes. BK Capital boasts competitive pricing and a transparent fee structure, optimizing an approach that offers a strong risk management mechanism that results in seamless execution and settlement for the company's clients. Moreover, the company manages portfolios for affluent individuals, develops public and private investment schemes including pensions and trust funds, and ensures compliance on regulatory requirements and reporting standards. The division also offers their services to clients seeking transactional, advisory, or discretionary services.

Corporate Finance Advisory

BK Capital's Corporate Finance and Advisory services division is primarily responsible for providing tailored structured products and alternative financing solutions pertaining to a multitude of transactions in the capital markets space. The division's scope of work encompasses a wide breadth of areas, from capital budgeting and financial restructuring to valuations and deal advisory services in the M&A, equity capital market, and debt capital market spaces.

Securities Brokerage and Global Trading

BK Capital is a licensed market intermediary and depository participant that offers securities brokerage, global market research services through its broad regional and global network of partnerships. From underwriting to registry and transfer agent services to advisory on tradition position, the company provides clients with a full range of service offerings. Its brokerage activities are supplemented by BK Capital's research team, which offer in-depth market research reports that provide local and regional macroeconomic insights as well as analysis on publicly listed companies through equity reports. The company is the number one licensed fund manager in Rwanda.

2022 Highlights

BK Capital witnessed significant growth in 2022. BK Capital's AUM rose by 58% y-o-y to FRw 33.3 billion. It posted a profit before tax of FRw 306.2 million in 2022, coming in 198% higher than the previous year, driven by a 70% growth in operating income. The company's market share is 28.0% in the RSE equity market and 38.0% in the RSE bond market. Throughout 2022, BK Capital successfully executed projects spanning diverse transactions, including company valuation services, bond issuance, buy side advisory, and equity and debt advisory.

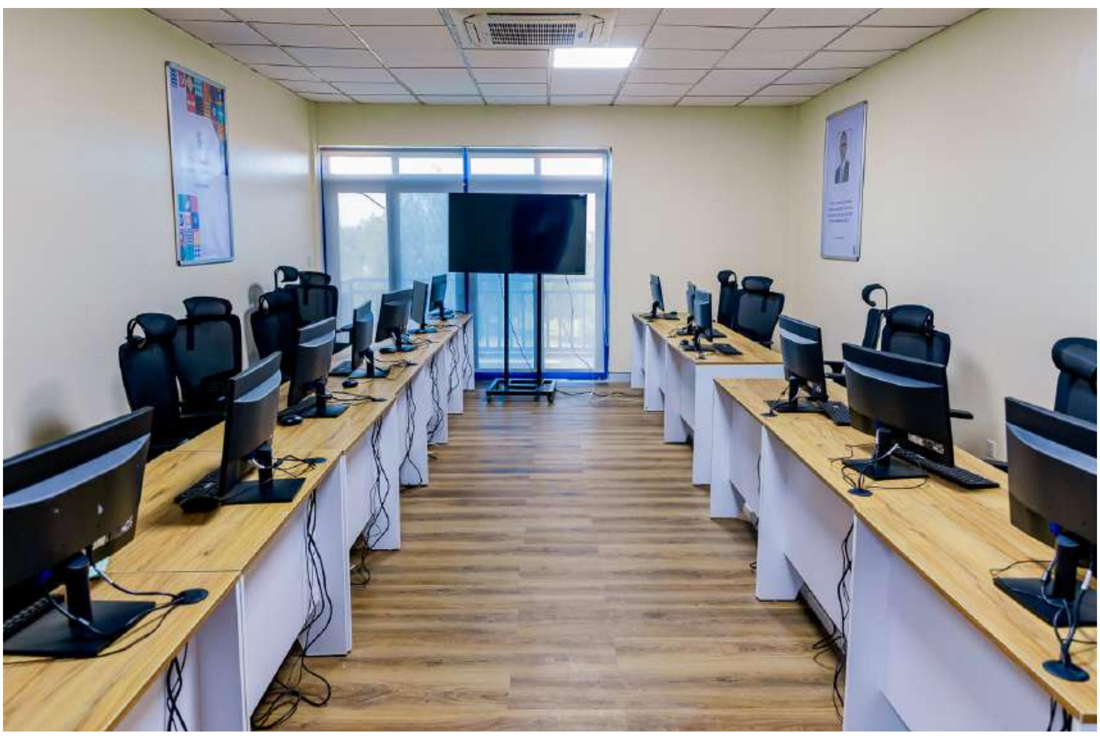
The Corporate Finance division continued to thrive with the help of growing of our capital markets and synergies within BK Group. The business completed over six client advisory engagements in year.

The Investment and Wealth Management department experienced healthy performance this year, with its AUM growing by 58% y-o-y from FRw 21.4 billion at the beginning of the year to FRw 33.3 billion currently, mostly due to increased mass marketing and promotion efforts, as well as the diversification of methods to onboard clients.

In the Brokerage business, BK Capital continued to witness an increase in both bond and equity trading. In addition, BK Capital's research scope has widened, now covering global markets and weekly reports that are sent to clients showing the trends and updates that happened globally.

Outlook

BK Capital team expects to continue creating added value solutions for the clients by increasing the company's international product offerings, digitizing client experiences, launching BK Capital sponsored and managed funds, and while collaborating with other financial institutions to offer our client diverse and innovative solutions.



CREATING SHARED VALUE

The Group is constantly adapting our Corporate Social Responsibility (CSR) strategy to encompass every department within the Group, guaranteeing we are delivering on our commitments.

OUR PEOPLE

At BK Group, we recognize that our 1,227 employees, including senior executives and entry-level staff members, are the cornerstone of our organization. Their hard work, dedication, and expertise have played a crucial role in the significant achievements we have made. We are committed to promoting equal opportunities in the workplace, and currently, 46% of our workforce consists of women from diverse age groups, with 34% holding management and governance positions at BK Group.

As a Group, we hold ourselves to a high standard by hiring the best individuals for our team. We recognize the importance of compensation in attracting top talent, which is reflected in our competitive compensation philosophy. We also prioritize employee development by providing training and equipping them with the necessary skills and competencies to be highly efficient in their roles. In line with our new strategy, our main focus in 2022 was hiring for our Retail and SME departments, ensuring that we have the right people in place to drive our success in these areas. We believe that investing in our employees is essential to our organization's growth and success, and we remain committed to attracting, developing, and retaining the best talent available.

The Bank prioritizes open communication and transparency with employees. As part of this commitment, we conducted an engagement survey to gather feedback from our team members, which in turn was submitted to management for consideration. The resulting recommendations have strengthened our ability to maintain a consistently high level of employee satisfaction. This is evidenced by our impressive employee retention rate of around 92%. In addition, we recently held an open meeting with all staff called "Meet the CEO", which provided an opportunity for our employees to directly engage with our CEO and ask questions about the organization's vision and strategy. This meeting allowed for open dialogue and helped foster a sense of unity and collaboration among our team. We recognize the importance of our employees are highly valued, and they play an integral role in our success. The Group is dedicated to fostering a positive work environment that promotes growth, development, and job satisfaction for all team members.

To achieve our goal of hiring and developing top talent, BK Group collaborates with universities to recruit top-performing fresh graduates through the BK Academy Training Initiative, which is an Entry Level Training Program designed to equip the recruits with the necessary skills and competencies for various roles within the bank. Upon completion of the training, participants are awarded a certification and offered employment opportunities at the Bank. The Group's talent development program recently implemented a competency-based approach to enhance the skills of employees, identify top performers, and determine potential successors. This strategy helps to strengthen the Group's business continuity plan and ensure a more robust talent pipeline for the future.

Employee Age Group and Gender Breakdown

Number Of Staff Per Age And Gender For The Group

AGE BAND	NUMBER OF STAFF	GENDER	
		FEMALE	MALE
Under 25	33	19	14
25-30	195	72	123
31-35	311	130	181
36-40	417	196	221
41-45	143	66	77
46-50	81	40	41
Above 50	47	21	26
TOTAL	1,227	544	683

Number of Staff Per Age and Gender - New Hires

AGE BAND	NUMBER OF STAFF	GENDER	
		FEMALE	MALE
UNDER 30	72	37	35
30-50	74	18	56
TOTAL	146	55	91

Occupational Health and Safety

The occupational health and safety management system at BK Group was implemented to comply with both international standards (BCMS 22301:2019), as well as regulatory requirements, including labor regulations issued by the Ministry of Public Service and Labor and BNR regulations.

Bank of Kigali has hired a Health and Safety Officer and a Clinic Officer as part of the occupational health and safety management system. To guarantee the occupational health and safety of all BK employees, the HR department has assigned health and safety champions from each department. These champions have undergone specialized training to equip them with the necessary knowledge and skills to provide first aid support to any employee who may experience health-related issues, including testing and exercises on administering first aid. Emergency evacuations were also conducted in the first quarter of the year as part of the business continuity management system project.

The objective of the system is to ensure that the workplace adequately addresses the health, safety, and welfare requirements of all personnel, including individuals with disabilities and non-employees who have access to and utilize the premises and may be affected by the organization's operations and activities. To ensure the organization's resilience, the individuals responsible for carrying out these procedures receive regular training on best practices. The business continuity monitoring, measurement, analysis, and evaluation process involves consistent assessment, which includes planning and conducting health and safety tests at regular intervals.

The occupational health and safety management encourages workers to report all incidents related to occupational health and safety management to the HR department, in accordance with available reporting lines and channels. The Bank has put in place regularly held trainings, as well as a health and safety recovery plan document that serves as a guide for employees to ensure that their work environment remains injury-free and healthy. Moreover, an incident response plan is in place that outlines the procedures used to investigate work-related incidents, including the identification of potential hazards and the assessment of associated risks. The Group addresses occupational health and safety risks by establishing a dedicated framework consisting of policies, procedures, and resources to proactively prevent any potential risks and to ensure prompt management in case they arise. It is the joint responsibility of the Human Resources department, BCMS unit, Physical Security Unit, as well as all heads of departments to cater to all related health and safety assurances. Furthermore, the crisis management committee is also mandated to discuss and take actions on critical incidents depending on the nature of the hazard.


bk _DIGITAL FACTORY

OUR CLIENTS

Customer-centricity

BK prides itself on providing the best possible service for our clients. We are continuously improving our customer services to ensure that seamless and digital solutions are available for each segment of our customer base across the BK Group. We have introduced the automation of customer service on the CRM and IKAZE platforms, which has empowered our customers to use various digital channels to access services and give feedback. The Bank installed the IKAZE platform in all our branches for customers to rate the services in real-time. The platform is used to instantly rate the service provided using net promoter score (NPS), and allows customers to give written feedback through the platform. The incorporation of automation has made it easy for customers to send complaints and compliments, while assisting BK with internal tracking and accountability.

In 2022, BK made several strides in its digital transformation journey to achieve higher customer satisfaction. This led to the launching of many digital solutions and enhancements, mainly the launch of the BK digital application. The BK app has a new self-onboarding feature that simplifies the process of opening a BK account, allowing the process to be completed in minutes. The Bank set a target to onboard 80% of its customers onto its digital lending platform in the next two years, up from the current 40% who are using the service. The new BK mobile app currently has 4,108 active users, which is expected to increase significantly based on the rise in customer uptake, which is now at 85%. The Bank held a 'Digital Day' to launch the app, creating awareness around its new digital solutions and promoting mass customer migration to digital channels. The Bank additionally digitalized its investment banking services during the year.

Digital Clients in 2022

Clients	App	New BK App	Internet Banking	Mobiserve
Total onboarded	59,584	7,828	43,311	290,645
Active	18,443	4,108	7,943	33,706

BK Group put in place three new policies that will guarantee that all employees are providing stellar services to all our clients. The Complaint Handling Policy recognizes that customer complaints are a part of the business and while providing prompt and efficient service is essential, the right of the customer to complain is respectfully recognized. The customer care and service delivery policy assure that BK is committed to always delivering excellent customer service, and the customer engagement policy is to ensure transparency and fairness in all business practices and processes that BK group and employees create and engage in.

Consumer Protection

The Group is committed to our responsibility of protecting our clients' privacy and guarantee that integrity is at the forefront of every customer interaction in line with the Financial Service Consumer Protection Law (FSCP) regulations. Regarding the process of providing financial services and offerings to consumers, the Group exercises due care, skill, and diligence. Our policy on consumer protection as a financial institution prioritizes fair and responsible treatment of consumers in an ethical, honest, and non-discriminatory manner.

BK Group has implemented various international security frameworks for consumer protection, including ISO 27001 ISMS and 22301 BCMS, which enforce the application of security controls and security solutions, including cybersecurity regulatory requirements. The bank has established and maintained a cyber security strategy and developed a cyber security program to protect the confidentiality, integrity, and availability of the Group's information systems and assets. Additionally, the Group is employing Payment Card Industry Data Security Standard (PCI DSS) to ensure the protection of cardholder data. The Bank has also begun to execute the personal data privacy law, Law No 058/2021. To align with FSCP regulations, the Group incorporates capacity building implementation and plans for directors, senior management, representatives, consumer satisfaction survey results, and gender disaggregated data and analysis.

BK additionally developed FCM, which is a financial crime mitigation solution, with key risk control modules, such as Suspicious Activity Prevention and Know Your Customer. Bank of Kigali is Rwanda's first bank compliant with financial crime mitigation controls, transaction screening, KYC and anti-money laundering protocols.

The Group established various frameworks to ensure protection of information assets against cyber threats. The cyber security strategy and program initiatives include:

- Implementation and certification of the bank against ISO 27001 Information Security Management Systems (ISMS) framework and Payment Card Industry Data Security Standard (PCI DSS).
- Enhancement of system's resilience to cyber-attack by conducting regular internal and/or external Vulnerability Assessment and Penetration Testing for all applications and IT infrastructure.
- Information security risks identified, analysis, evaluation, and treatment to an acceptable risk level of the bank (risk appetite).
- Implementing information security governance by recruiting competent staff, and continuous capacity building and cyber capability enhancement.
- Implementation of cyber security legal, regulatory, and law requirements such as Law No 058/2021 of 13/10/2021, relating to the protection of personal data and privacy and regulation No 50 /2022 of 02/06/2022 on cyber security in regulated institutions.
- Maintenance of bank's Cyber/Information Security Awareness Program. Among numerous awareness activities conducted using various communication channels, an activity named "Cyber Security Awareness Month" was initiated and it is vital to the bank to improve cyber security threat detection and reporting culture among employees and ensure the continuity of cyber security awareness.
- Implementation of established cyberattack recovery plan.

BK is establishing a Security Operation Center (SOC) and Incident Response (IR) which will act as a Point of Contact (POC) for all cyber threats and its responses, ultimately reducing the risk of cyber theft. It will play a fundamental role in discovering and responding to sophisticated cyber threats and theft in real time (24/7) protect banks' information assets.

The responsibility to protect the security, confidentiality, and privacy of our customers' information is a cornerstone of the Group's foundation. BK protects our clients against any anticipated threats and hazards to the security and integrity of customer information. The Group promises to protect our clients against any unauthorized access to or the use of customer information that might result in harm or inconvenience to any customer.

Responsible Banking

BK is assisting the government of Rwanda in their quest in increasing the percentage of the country's banked population to 100% by 2024. We continued being a proponent of social development through the wide range of initiatives that enhance the standard of living in all aspects. In 2022, the Group implemented a strategy to partner with Fintechs, to ease access to financial services for the unbanked and under banked segments of the population. With the launch of the "Macye Macye" service, a partnership with MTN, the target is to increase smart phone penetration in the country which has huge impact on the micro-finance segment to access financial services. This aims to ease the onboarding of the underbanked population into the formal banking system and finance underserved businesses.

BK Group has an internal Credit Policy and Procedures Manual and Social and Environmental Management System (SEMS), which guarantees that our lending practices are responsible and

> **The responsibility to protect the security, confidentiality, and privacy of our customers' information is a cornerstone of the Group's foundation.**

adhere to global standards. It also ensures compliance with laws, such as the law relating to financial service consumer protection, Law No 017/2021. In addition, employees involved in credit assessment undergo training on responsible lending. When lending to corporations, the Group requires that the borrowing corporation provide an Environmental and Social Impact Assessment (EIA) report and certificate approved by the Rwanda Environment Management Agency (REMA). We have added a condition under "further conditions" in our corporate clients' terms of agreement that reads "Comply in all respects with all laws and regulations to which the client may be subjected and more especially environmental laws." This applies to the projects that may have an impact on the environment, such as the construction of factories, power plants, and more.

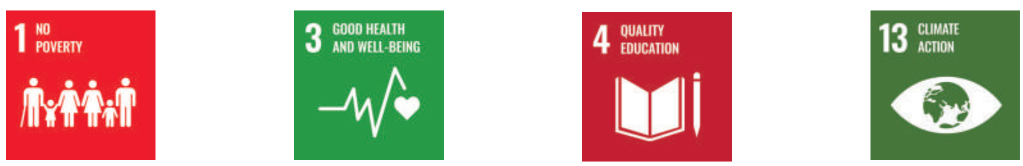
To better assess the social and environmental risks when lending to corporate clients, BK Group advocates and believes in working with partners such as the Rwanda Environment Management Authority (REMA) and Rwanda Development Board (RDB). As well as ensuring the preservation of environment and the mitigation of social risks. The Group is in the process of developing tools for environmental and social risk categorization, environmental impact assessments (EIA), monitoring, and evaluation. Meanwhile, it relies on the EIA reports approved by the partners that have environment and social risks in their scope. While the Group is currently focusing on lending to businesses in renewable energy, there have been limited loans to non-renewables. For non-renewable lending, the associated risks are assessed at loan origination and further supervision missions to monitor key environmental indicators.

The Group assesses social risks when conducting the due diligence on the credit proposals, during the appraisal the borrower is required to have undertaken a social and environment impact assessment. In addition, BK assesses the borrower's resource capacity (including human and financial resources) to mitigate adverse social impacts. We have also participated in a green lending initiative in cooperation with Development Bank of Rwanda (BRD). The Group also promotes sustainable investment to clients.

SOCIAL DEVELOPMENT

BK Group is committed to the progress of the sustainability journey in Rwanda. In the 2019 Rwanda Voluntary Review, Rwanda declared its commitment to uphold the tenants of the United Nations Global Compact (UNGC), with a concentrated focus on human capital development, economic growth, and climate change. Moreover, Rwanda aligned its National Strategy for Transformation, Vision 2050, and various similar strategies with the UN's Sustainable Development Goals (SDGs) and the African Union Agenda 2063.

It is our belief that as an organization, we are equipped with the capabilities and skills to help address some of Rwanda's most critical societal issues. Contributing to the welfare and development of our society is an essential component of our strategy. The Group is constantly adapting our Corporate Social Responsibility (CSR) strategy to encompass every department within the Group, guaranteeing we are delivering on our commitments.



BK Group prides itself on the role we play in Rwanda's sustainability journey. Our CSR approach permits us to contribute to the country's progress while driving the Group's performance and stability. We aim to aid Rwanda in achieving the four SDGs that we believe are most critical to its development. The four SDGs are: No Poverty (SDG 1), Good Health and Wellbeing (SDG 3), Quality Education (SDG 4), and Climate Action (SDG 13). Accordingly, our strategy focuses on the most relevant and impactful projects. The projects we support are concerned with various social issues – from suppressing poverty and malnutrition to promoting environmental conservation, promoting gender equality and setting up homes for women and orphans, among other rural development projects.

The Group works diligently to ensure that social development projects and their respective activities receive the necessary funding. We fulfil this through different financing channels, including donations, sponsorships, and partnerships with key sustainable development partners.


BANK OF KIGALI
I Matter
I Matter


AKANIGI KANGE

Education

BK Group believes that it is our duty to support and enhance the skills of the Rwandan youth to increase their employment opportunities. In order to accomplish this, we have created partnerships in various projects that promote education and enhance vocational skills, especially among youth and women.

BK Rewards Top Performers at PIASS University

The Group awarded the two best performing graduates from the Protestant Institute of Arts and Social Sciences (PIASS) FRw 1 million each post graduation. BK aims to support the school in introducing savings culture within the student body, in an effort to enhance the students' financial planning and, ultimately, the country's progress.

BK Rewards Best Performers at INES-Ruhengeri Graduation

The Group awarded the three top students who graduated this year from the Institute of Applied Sciences FRw 1 million each. The Group aims to encourage youth to be dedicated to all the activities they partake in, with hopes of witnessing youth communities thriving in their current and future projects.

BK Rewards Top Students at Catholic Institute of Kabgayi

The Group awarded the two best performing students who graduated this year from the Catholic Institute of Applied Kabgayi. After graduation, both female students were granted FRw 1 million each to support them in their future professional and academic activities.

BK Rewards top students at Adventist University of Central Africa (AUCA)

Bank of Kigali has awarded the two most outstanding students of the Adventist University of Central Africa (AUCA)'s 28th batch of graduates, with an award of FRw 1 million each as part of its commitment to helping both students and institutions succeed.

Partnership with Agahozo Shalom Youth Village

In 2021, Bank of Kigali entered a five-year partnership with Agahozo Shalom Youth Village (ASYV) to support the institution in delivering quality education to the students. The partnership entails a donation of FRw 300 million each year from BK to Agahozo Shalom Youth Village to support its mission of transforming the lives of orphaned and vulnerable Rwandan youth through healing, education, and care.

In October 2022, employees of Bank of Kigali and Agahozo Shalom Youth Village hiked Mount Karisimbi, Rwanda's highest peak at 4507 meters, to raise funds that will be used to support vulnerable children in getting quality education. The Karisimbi hike was part of a FRw 62 million fundraising campaign, which will be used to sponsor the education of over 500 vulnerable children at Agahozo Shalom Youth Village.

BK and Eclat Communications Partnership

BK partnered with Eclat Communications and aided in the launch of the "Shaped" Book by author Barbara Umuhoza. The book is a written testimony about the author's life and captures the different stages of her life. Most notably, it is a testimony to the life of a Rwandan. BK is committed to supporting writers, primarily through the "Our Stories Matter Initiative" project. The project is a collaboration with writers that supports authors in writing books about their lives as Rwandans.

Chevening Scholarship Program

In 2021, the Bank of Kigali renewed a three-year agreement with the Foreign, Commonwealth and Development Office (FCDO), a department of the Government of the United Kingdom that pursues UK's interest in the world, to support students pursuing studies under the Chevening Scholarship Program. The program offers awards to outstanding scholars with leadership potential from around the world to study for a one-year master's degree at any accredited university in the UK. Under the terms of the agreement, Bank of Kigali committed to pay for one student every three years at GBP 36,000 each. The amount will cover accommodation, tuition, transport, and allowances, among other expenses.

For the academic year 2022/2023, BK offered a sponsorship to a young Rwandan social entrepreneur studying mechanical engineering. She is a founder of Water Access Rwanda, an innovative social enterprise offering tailor-made solutions in the field of collection, distribution, and purification of water. BK believes that this opportunity will allow her to acquire knowledge that will enable her to make an impact on the country's progress.

BK Partners with iDebate Rwanda

BK partnered with iDebate Rwanda in the "#BK-SCHOLARS PROGRAM" which aims to uplift public/government aided schools to have access to all iDebate programs freely. The goal is to uplift respective students by teaching them the art of civil discourse and increasing their speaking and thinking skills. This program involved 25 schools, 500 student scholars, and 25 teacher scholars.

Development

The Group strives to help the government increase the proportion of the country's banked population to 100% by 2024. To achieve this, we have assumed our role as a proponent of social development through a wide range of initiatives that elevate the standards of people's lives in all aspects.

BK Urumuri 6th Edition

Every year, Bank of Kigali and Inkomoko, a firm that works with micro, small, and medium enterprises, partners to support between five and eight entrepreneurs with up to FRw 25 million in interest-free loans coupled with business coaching through the BK Urumuri Initiative. In 2022, A group of 25 entrepreneurs benefited from the Acceletor program and competed for interest-free loans in an intensified business pitch under the sixth BK Urumuri Initiative. This year's was edition focused on "Digital innovative enterprises" that will drive economic growth and contribute to solving Rwanda's most pressing needs through digital innovative solutions.

The Bank of Kigali and Inkomoko decided to open this opportunity to all sectors, considering the need for digital solutions through different business categories. In a span of two weeks, six winners were chosen to be equipped with business skills under Inkomoko's rigorous six-month accelerator program, as well as given access to finance through interest-free loans. Since its inception, the BK Urumuri Initiative has fostered the growth of 125 entrepreneurs, with FRw 60 million provided in interest-free loans.

Donation of Health Insurance Cards to Kimisagara Residents

On January 29, 2022, Bank of Kigali staff joined the residents of Kimisagara, a sector in the Nyarugenge district in Umuganda, in community work by participating in different activities to fight soil erosion in the area. After their participation, BK employees handed a cheque worth FRw 20.1 million in effort to support vulnerable residents in Kimisagara to be able to pay for their annual payments for medical insurance. The donation will cover medical insurance for over 7,000 Kimisagara residents.


BANK OF KIGALI
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Donation of Livestock to Persons with Disabilities in Gicumbi

The Group has donated livestock to persons with disabilities in Byumba, a sector in the Gicumbi District to financially empower them. The donation is in accordance with the six-month partnership between BK and the National Union of Disability Organisation in Rwanda (NUDOR).

Bank Home and Win Big Diaspora Promotion

The Bank launched a new banking promotion in February that focuses on members of the Rwandan Communities Abroad (RCA's). The six-month promotional campaign "Bank Home and Win Big" was created in effort to encourage Rwandans in the diaspora to bank in Rwanda. To be eligible, the client must deposit a minimum of FRw 1 million on a new or existing diaspora account and stand a chance to win a RwandAir economy return ticket to Kigali or a Rwandan holiday package for two. BK clients with diaspora banking accounts are additionally given a dedicated account relationship manager, free account maintenance fees, free incoming transfers, and withdrawals on Foreign Exchange accounts are also free of charge (up to USD 5,000 or equivalent).

Ending Period Poverty

BK Group is an avid supporter of ending period poverty across the less fortunate districts of Rwanda. The Group sponsors the 'I Matter Initiative', a local non-governmental organization aimed at ending period poverty in Rwanda and destigmatizing menstruation by providing skills in Sexual Reproductive Health and Rights (SRHR) and Menstrual Hygiene Management (MHM). In November 2022, an event was hosted to educate young girls with disabilities studying in HVP Gatagara in Rwamagana district on sexual reproductive health rights and management. Free menstrual hygiene products were distributed to over 60 adolescent girls.

We also sponsored a project by Our Past Initiative, a youth-led organization, to build a modern menstrual hygiene management room in Ngeruka Primary School in Bugesera District has to help girls with menstrual hygiene. The room is equipped with all the materials needed during menstruation, including sanitary pads and two beds that can be used in cases of pain or fatigue.

Collaboration with Association des Métis au Rwanda (AMERWA)

The Group partnered with AMERWA, an association of Metis or biracial people in Rwanda, to support groups of women whose children were abandoned by their foreign fathers to secure better futures. The groups of women carry out different income-generating activities under Zamuka Mugore Initiative – a woman-centered product that aims at empowering the underserved Rwandan women who have been in business for at least one year with an approved business model.

BK and City of Kigali Partnership

BK Group has donated FRw 150 million into an urban rehousing and neighborhood upgrade project in the Gitega sector of the Nyarugenge district. This project was sponsored through a partnership between the BK and the City of Kigali. Led by the City of Kigali, the housing project will entail an eleven-in-one apartment block of cost-effective and para-seismic building infrastructure suitable for the difficult conditions of the Gitega neighborhood.

BK Gifts Cows to Byumba Top Catholic Clerics

In 2022, the BK gifted cows to the former Bishop of Byumba Catholic Diocese, Servilien Nzakamwita and the newly consecrated Bishop Papias Musengamana as a symbol of the partnership between the Group and the diocese. The gift of cows symbolizes value, preciousness, and affiliation in Rwandan culture.

Forward-Looking Strategy

Our goal is to continue our mission of bettering the livelihoods of the Rwandan people by promoting sustainable development in alignment with the UN's SDGs and the shared aims of the government. Our mission moving forward is to extend our efforts and involvement in the education, health, poverty, and environmental sectors to more segments of the population, and persist in finding new and innovative ways to impact our communities. We look forward to adopting additional initiatives, growing our existing partnerships, and exploring new opportunities to collaborate with new entities that share our goals and purpose to deliver on our social development promises.

OUR ENVIRONMENT

BK Group acknowledges and accepts our responsibility to reduce the impact of our operations across our subsidiaries on the environment. We are committed to the role we play in Rwanda's overarching strategy to preserve its environmental assets. We are strongly aware of the impact our operations have on the environment, be it directly through the operation of our head offices, subsidiary operations, and branch network, as well as indirectly through our loan and financing operations. We are committed to SDG13: Climate Action, we seek to measure and reduce our impact, we are looking to decrease our carbon footprint as a bank and have set up frameworks that allow us to increase the boundary by which we measure our environmental impacts across the value chain. BK guarantees compliance with the national laws in force, particularly Law N°48/2018, which determines modalities for protecting, conserving, and promoting the environment.

A fundamental part of our environmental conservation efforts is moving towards a cashless banking approach through enhancing and expanding the provision of digital service channels, ultimately reducing our carbon footprint due to the lowered usage of paper for client services and resources such as electricity, water consumption, and waste emissions at brick-and-mortar branches. Additionally, a large part of our internal processes is now paperless and have been replaced with digital and electronic means, in terms of digital signatures and other facilitations. The Bank has recently partnered with DirectPay Online Rwanda (DPO) to boost lenders' online merchants. The partnership will allow BK clients to access more efficient e-commerce and payment services through DPO's well-rounded platform. In efforts to increase digital services, five new features have been added on the digital platform. Presently, a BK client can pay practically all their bills online, ranging from water

> We are committed to the role we play in Rwanda's overarching strategy to preserve its environmental assets.

bills to school tuition, the BK application will allow customers to do so from their homes. Ultimately helping our efforts in transforming any paperwork into paperless documents.

Moreover, we've set up systems to lower our electricity uses for both the head offices and branches by installing greener equipment and LED lighting in various parts of our operations. Moreover, we dispose of all e-waste in line with the regulations set out by the Rwanda Utilities Regulatory Authority to ensure all waste is handled in the most sustainable manner possible. In efforts to prevent waste generation in BK's activities and in its value chain, we have undertaken initiatives to decrease our waste footprint. We recycle construction materials – including aluminum partitions, glass, and MDF boards – from previously demolished buildings, which has not only managed waste but also significantly cut off on expenses.

BK works with local environmental partners to launch activities and initiatives that promote environmental sustainability, agroforestry, conservation of natural resources, and more. Our most recent green initiative is partnering with Green Solutions and Supply Ltd Rwanda to donate energy-saving stoves. During the year, we distributed the energy-saving cook stoves and water tanks to the Kabarore sector of the Gatsibo district. Additionally, the Bank and MTN Rwanda partnered up to boost the Connect Rwanda initiative, we signed a handset financing tripartite agreement that aims to provide smartphones to customers through a device-financing program.

Bank of Kigali partnered with Enviroserve Rwanda Green Park (ERGP), a leading recycling company in Rwanda, to develop a circular economy approach and sustainable collection system of e-waste. We ensure that the proper collection, repair, and refurbishment of end-of-life electronical and electrical equipment are turned into e-waste. We also partnered with Living Water International – Rwanda, an INGO whose focus is providing communities with accessibility to improved WASH services-water access, sanitation and hygiene. BK Group also sponsored the drilling of a borehole to produce a permanent solution to water scarcity in the Gahanda village in the Nyanza district.

BK Group also partnered with a company called Safi Universal Link's E-Mobility Solutions Hub to provide Electric Motorcycles to 20 women and trained them on how to ride them, in a project called "**Women Empowerment in Entrepreneurship**". This did not only contribute to the eco-friendly mobility and sustainable environment but also helps to create a sustainable means of livelihood and increase the financial abilities of women to meet their social and economic needs.

CORPORATE GOVERNANCE

BK Group Plc places the principles of good governance practices at the core of its values and efforts to create and sustain shareholder value for each and every one of its stakeholders.

ANTI-CORRUPTION

BK Group is fully committed to preventing corruption by maintaining ethical behavior among its staff, its customers, suppliers, contractors, other providers of our sourced activities, representatives, and agents.

Corruption has both financial and reputational cost, not only on the Group, but the entire country. In this respect, the Group has a zero-tolerance policy towards actual or attempted bribery. In fighting corruption and in execution of the anti-corruption policy and in accordance with the law No 54/2018 of 13/08/2018 on fighting against corruption, the Board of Directors of BK Group approved the Anti-Corruption and Anti-Bribery Policy in November 2018 to guide the Bank in this endeavor.

The policy is applicable to all bank employees including senior managers, directors, third-party service providers (suppliers, agents, and sponsors). The policy prohibits accepting, offering, paying, granting, or authorizing bribes. The policy clearly states that the Group's operations, including lending and staff engagement with stakeholders, should be conducted with utmost honesty integrity and without use of corrupt practices. The policy prohibits offering or receiving bribes on behalf of BK Group to gain business advantage either in lending or deposit taking.

The policy sets out processes and mechanisms to fight corruption in BK Group, including the following:
Gifts and entertainment that staff can offer or receive in a one-off event are limited to FRw 50,000 and to an annual cumulative value of FRw 200,000. The policy requires any other gift received outside the limit set to be reported to the Group.

Risks

Incidences of corruption and other unethical behavior are taken into account in any assessment. Corruption cases are investigated as part of fraud investigations, which are conducted whenever a suspicious or detected fraud act occurs.

Training

The anti-corruption initiatives, including the policy, have been approved by the Board of Directors of BK Group. The policy is cascaded to the executive management, heads of departments, and 100% of the entire staff. All business partners, including suppliers and agents, have additionally been informed of our anti-corruption policy. Seven executive Committee members have been trained on anti-corruption.

There has been one incident of corrupt practices in 2022 and the staff involved had his employment contract terminated. In regard to public legal cases regarding corruption brought against the organization or its employees during the reporting period and the outcomes of such cases, one case involving three employees were given custodial sentences of six years each and ordered to jointly pay FRw 160 million to Bank of Kigali.


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RISK MANAGEMENT

The Group's philosophy surrounding risk culture is anchored by an all-encompassing approach which acknowledges that the proper risk management is companywide responsibility, and not that of a single team or committee. It is actively engaging with employees at every managerial level across its operations and business divisions to ensure that they are well-versed and comply with the company's risk management policies.

It boasts a comprehensive risk and compliance framework that complies with IFRS 9 and acts as the driving force behind its ability to manage and balance financial and non-financial risks. Its risk management process is structured in a manner that allows its risk officers and mangers to accurately identify, measure, monitor and control a variety of risks. The Group's risk management program is guided by a multitude of regulatory frameworks that cover a variety of areas, including:

- Risk Management
- Capital Requirements
- Corporate Governance
- Credit Classification and Provisioning
- Liquidity Requirements
- Management of Related Parties and Credit Concentration Risk
- Business Continuity Management

Our Five Lines of Defense

Its operations are regulated by Rwanda's central bank, the National Bank of Rwanda (BNR). In its efforts to comply with and ensure proper alignment with the BNR's regulatory requirements, the Board of Directors established the Board Risk Committee (BRC). The BRC is responsible for overseeing the formulation of risk management policies and adherence to risks appetites in coordination with the Group's four lines of defense. Additionally, the BRC ensures that risk management policies are regularly updated to be in line with the Group's strategy, the BNR's regulatory requirements, and international best practices.

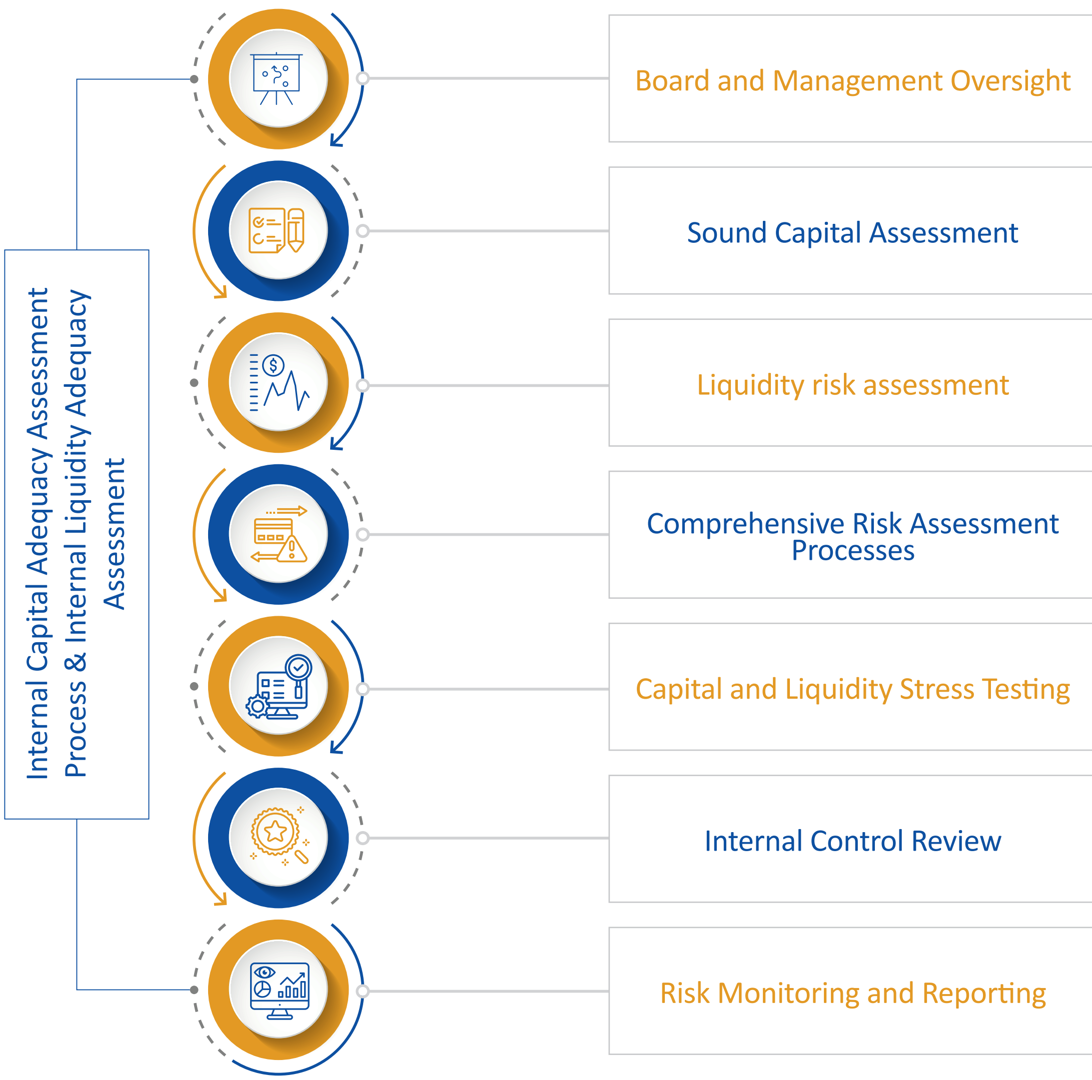
Risk Outline and Policies

Risks	Procedures and Measurements	Outcomes in 2022
Credit Risk	Policies and procedures, including credit approval matrices as well as a credit review system that utilizes standardized measures and ratios to monitor the health of the Group's portfolio are in place.	The bank was successful in maintaining a portfolio of high-quality risk assets. The non-performing loan ratio for the Bank's loan portfolio improved tremendously from 4.6% recorded in 2021 to 2.55% at the end of 2022.
Market Risk	The Group manages market risk by monitoring currency risk and interest rate risk. The Board of Directors sets limits on the level of exposure by currency and in total for both overnight and intra-day positions which are monitored daily. Moreover, hedging strategies are used to ensure that positions are maintained within the established limits.	The Group continued to closely monitor the economic impact of the ongoing Russo-Ukrainian War, thus successfully implemented mitigating actions to minimize the adverse impacts from the regional and global market fluctuations on its portfolio in 2022.

Operational Risk	An operational risk management program that manages behavioral risk, cyber risk, credit risk, compliance risk and compliance risk. The bank utilizes the Basic Indicator Approach to measure and maintain operational risks across the Group's divisions.	The operational risk was kept within the acceptable limit and there has been an improvement of the total operational related financial losses. The Group maintained regular monitoring and reporting of its operational risk profile and continued to train its employees to prepare for any and all potential risks that may arise.
Concentration Risk	Controls and measures to minimize undue concentration of exposure in the Group's two client segments. These include portfolio and counterparty limits, as well as approval and review controls.	The concentration risk per name and group concentration, economic sector, and business segment was closely monitored and efforts were deployed to minimize the concentration risk to the maximum allowable limits. In 2022, Bank of Kigali fostered its lending business to SME and Retail clients to have a well-diversified loan portfolio.
Capital and Solvency Risk	An actively managed capital base to cover risks inherent in the businesses through its Asset-Liability Committee (ALCO). The adequacy of the Group's capital is monitored using, among other measures, the rules and ratios established by the National Bank of Rwanda.	Maintained a strong capital base and has maintained investor, creditor, and market confidence and successfully continued to sustain the future development of the business. As at end of 2022, the bank's CAR stood at 18.60%, quite above both the internal and regulatory limits.
Funding Risk	A multitude of ratios as essential indicators for the risks associated with project cashflows.	Maintained diversified funding sources, adequate level of liquidity, and regular stress testing of the funding positions under different scenarios were conducted which allowed the bank to appropriately meet the business' funding demands.
Liquidity Risk	The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. The daily liquidity position is monitored, and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions.	Maintained sufficient liquidity to meet its liabilities when due under both normal and stressed conditions without incurring unacceptable losses or risking damage to the Group's reputation. The Liquidity Coverage ratio was maintained at 148% and Net Stable Funding Ratio at 177% as at the end of 2022.

COMPLIANCE

The Group is fully committed to complying with the highest standards associated with banking and financial regulatory frameworks and policies. It is constantly aiming to set the bar for sound and ethical businesses practices to ensure the best interest of the Group's stakeholders and align with international best practices. To that end, under the Internal Capital Adequacy Assessment Process (ICAAP) and Internal liquidity adequacy assessment process (ILAAP) requirements set forth by the BNR, it has a standardized set of internal procedures and processes to ensure that it possesses adequate capital and liquidity buffers in the short, medium and long-term to cover all of its material risks.



The Board Risk Committee (BRC) is responsible for the development and maintenance of the ICAAP framework of the Group. Once the ICAAP and ILAAP reports are prepared, they are presented by the Risk Management Department to the Management Risk Committee as well as its BRC, who then review the reports and make recommendations for final approval by the Board. The ICAAP & ILAAP reports are an essential component of the Group's ability to identify and measure significant risks to the Group's operations.

Tax Compliance

The income tax expense or credit for the period is the tax payable on the current period's taxable income based on the applicable income tax rate for each jurisdiction adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the countries where the company and its subsidiaries and associates operate and generate taxable income. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

The Group complies with tax law to ensure automation is implemented in core banking to collect taxes automatically where applicable and proper tax set up is executed in ERP to ensure the taxes are correctly captured during payment process. Monthly tax returns are prepared by a tax accountant and reviewed by direct supervisors within the Finance department (Finance Manager, Head of Finance, and CFO) and the payment is completed within the specified timelines stipulated by tax law. The tax accountant fulfills tax health checks quarterly and we engage external tax experts to review tax the tax returns. Internal and external auditors review tax returns twice year. Additionally, we engage tax authority directly in case of guidance or any dispute regarding tax. The Group also uses Rwanda Banker's Association (RBA), BNR, MINECOFIN, and other tax practitioners, including professional audit firms, for collecting and considering the views and concerns of stakeholders, including external stakeholders.

CORPORATE GOVERNANCE FRAMEWORK

BK Group places the principles of good governance practices at the core of its values and efforts to create and sustain shareholder value for each and every one of its stakeholders. As the country's leading Holding Company, it works continuously to ensure it upholds the highest ethical and legal standards and maintain transparency. In light of its commitment to safeguarding and improving shareholders' value through transparent best practices in line with local regulatory standards and international best practices, the Group's governance framework facilitates checks and balances and ensures the application of appropriate controls. The framework centers on authority, accountability, stewardship, leadership, direction, and control and ensures that the board and senior management's responsibilities and functions are clearly defined.

BK Group Plc Board

N◦	Name	Directorship type	Date of appointment
1	**Marc Holtzman**	Independent	February 6, 2019
2	**Darren K. Smith**	Independent	February 11, 2022
3	**Gilbert Nyatanyi**	Non-Independent	September 28, 2021
4	**Sonia M. Kubwimana**	Independent	November 15, 2021
5	**Roselyne Uwamahoro**	Independent	June 7, 2022
6	**Francis Gatare Kabera**	Non-Independent	August 24, 2022

BK Group Remuneration Policy

The Reward, Recognition and Retention Framework has been developed by the group with the aim of providing a plan that supports a performance driven culture and increases employee productivity. The framework encompasses a transparent and consistent group-wide policy framework which enhances its ability to attract, retain, and motivate quality staff to achieve organizational goals.

Based also on the global best practices regarding corporate governance of companies and for transparence purposes; the group's annual remuneration report should form part of, or be annexed to, the company's annual report. It should be the main means through which the company reports to shareholders on all forms of remuneration and other payments and benefits, for directors and key management personnel, from itself and its subsidiaries.

Following corporate governance best practice on bonus process establishment, BK Group bonuses are established after a detailed review of individuals' performance against targets set at the beginning of the year.

The bonus pool is set after reviewing the overall performance of the Group against the year's targets.

Finally, the Nomination & Remuneration Committee reviews and approves the Bank Executives compensation and bonuses.

The policies fall in line with the requirement of the Law N° 007/2021 du 05/02/2021 Governing Companies in Rwanda, especially its article 164 on disclosure of remuneration and other benefits for directors and other employees under its paragraph 5 which states that: "The company competent organ shall disclose to the shareholders the total compensation, including bonuses and incentive schemes, paid to each director, managing director, executive director and any other officer or manager who has responsibility for management and operation of current activities of the company. Such disclosure must be made at least once annually and shall in any event be included in the notice inviting shareholders to each annual general meeting of shareholders."

Based on this, BK Group provides full disclosure of each individual Group Board Member's remuneration and similar information is provided for the BK Group Subsidiaries Chief Executive Officers/Managing Directors.

Board Committees

Nomination and Governance Committee

Members of the Nomination and Governance Committee are appointed by the Board and the Company Secretary acts as the Secretary to the Committee. The Committee takes the lead on all major C suite level senior full-time hires, all subsidiaries board vacancies, and deals with all Corporate Governance issues across the Group. It is also in charge of setting and reviewing the oversight of the strategic people and governance related matters including employee retention, equality and diversity, other significant employee relations matters, as well as compliance with all corporate governance requirements.

Investment Committee

Members of the Committee shall be appointed by the Board, and the Company Secretary acts as the Secretary to the Committee. The investment committee's role is to determine, implement, and review an investment strategy to deliver the Group's agreed investment objectives. The Committee reviews and recommends to the full Board the Group's internal and external significant investments.

It reviews the appropriateness of investment strategies by the Group, whether the investment performance and investment risk levels appropriately reflect the chosen investment strategies, whether investment performance meets expectations relative to projected performance and objectives, and risk exposure for various assets classes and provide guidance on corrective action.

BK Group Plc Board Total Annual Remuneration in FRw ’000

N◦	Name	2022	2021
1	**Marc Holtzman (Chairman)**	315,817	355,538
2	**Sonia Masimbi Kubwimana**	27,247	5,000
3	**Gilbert Nyatanyi**	27,247	5,000
4	**Darren Smith**	20,824	5,439.94
5	**Roselyne Uwamahoro**	10,437	-
6	**Francis Gatare Kabera**	10,437	-
	Total	**412,009**	**370,977.94**

BK Group Plc Subsidiaries CEO/MD Total Annual Remuneration in FRw ’000

No	CEO/MD’s Name	Subsidiary	2022	2021
1	**Diane Karusisi**	Bank of Kigali Plc	389,254	406,887
2	**Alex Bahizi**	BK General Insurance Ltd	233,796	173,254
3	**Carine Umutoni**	BK Capital Ltd	144,704	148,235
4	**Jean Claude Munyangabo**	BK TecHouse Ltd	123,261	132,743
	Total		**861,119**	**891,015**

Bank of Kigali Plc Board

Bank of Kigali Plc is governed by a Board of Directors elected by the bank’s shareholders. The board is accountable to the shareholders for the bank’s overall performance and is collectively responsible for the its long-term success. The board determines the bank’s strategic objectives and policies to deliver long-term value, providing overall strategic direction within a framework of rewards, incentives, and controls. It ensures that management strikes an appropriate balance between promoting long-term growth and delivering short-term objectives. The Board ensures that the Bank effectively manages risks and monitors financial performance and reporting.

The board is currently structured with two non-independent directors and five independent directors, including the chairman. The board determines its size and composition, subject to the group’s articles. of Association, Board Charter, and applicable laws.

As of 31 December 2022, Bank of Kigali Plc Board is comprised of seven directors:

N◦	Director	Directorship type	Date of appointment
1	**Rod Reynolds (Chairman)**	Independent	6 February 2019
2	**Regis Rugemanshuro (Vice Chairman)**	Non-Independent	29 September 2020
3	**Alline Akintore Kabbatende**	Independent	11 September 2018
4	**Risper Alaro Mukoto**	Independent	11 February 2019
5	**Reuben Karemera**	Non-Independent	March 2014
6	**William Juma Arogo**	Independent	12 March 2020
7	**Eugene Ubalijoro**	Independent	25 November 2020

Board Operations and Control

The board's executive and non-executive directors act in accordance with the bank's Memorandum and Articles of Association to promote the success of the bank for the benefit of all stakeholders. The board is governed by and is in full compliance with the law governing Companies in Rwanda, Company's Memorandum and Articles of Association, Board Charter, and BNR Regulation on Corporate Governance for Banks, as well as any other relevant laws or regulations as enacted by the government or the regulator. In accordance with the Board Charter, directors are appointed by the bank's shareholders through the execution of a shareholders' resolution. The selection process of board directors adheres to a number of criteria, including but not limited to financial literacy, leadership qualities, technical skill, and diversity. As part of the bank's continued commitment to promoting diversity among its ranks, academic qualifications, technical expertise, relevant industry knowledge, experience, nationality, age, and gender are also taken into consideration. Executive and non-executive directors share the same responsibilities in relation to the Company.

The board is tasked with creating and delivering sustainable stakeholder value, through determining the group's strategic objectives and policies to deliver long-term value. The board also ensures that management strikes an appropriate balance between promoting long-term growth and delivering short-term objectives. As the decision-making body, the board's mandate includes the approval of quarterly, half yearly, and full year financial statements, significant changes in accounting policy and practice, the review of the Chief Executive Director's performance, the appointment or removal of directors and the company secretary, change in capital structure and major acquisitions, mergers, disposals or capital expenditure, and approval of dividends and the annual budget.

The board meets at least once per quarter, and all directors are expected to attend each meeting. Each member is required to attend at least 75% of the board meetings in any financial year. Members who fail to attend meetings as required are to resign. In 2022, the board held 4 meetings.

Board Committees

The board may establish committees and appoint their members as deemed necessary, with committees primarily serving to assist the board in the execution of its mandates. Any committee shall in the exercise of its powers conform to the regulations laid down by the board. Committee members are expected to attend each committee meeting.

The responsibility of the determination of committees' terms of reference lies with the board. The committees must render reports to the board at quarterly meetings. In accordance with these guidelines, the board currently has five committees under its purview, each with its own individual charters that govern its processes. Each committee meets regularly under well-defined and materially delegated terms of reference set by the board.

Board and Committee Participation

Director	Directorship Type	Position	Audit Committee	Risk Committee	Credit Committee	Nomination and Remuneration Committee	IT Committee
Rod Michael Reynolds	Independent	Chairman	N/A	N/A	N/A	N/A	N/A
Regis Rugemanshuro	Non-Executive	Member		✓	✓		✓
Reuben Karemera	Non-Executive	Member	✓		✓	✓	
Alline Akintore Kabbatende	Independent	Member		✓			✓
Risper Alaro Mukoto	Independent	Member	✓			✓	
William Juma Arogo	Independent	Member		✓	✓		
Eugene Ubalijoro	Independent	Member	✓			✓	✓

Nomination and Remuneration Committee

The Nomination and Remuneration Committee is tasked with setting and reviewing the oversight of strategic people-related matters including employee retention, equality, and diversity, as well as other significant employee relations matters.

Credit Committee

The Credit Committee is responsible for the approval of the Bank's credit facilities. It reviews all credits granted by the group and approves specific loans above the Management Credit Committee's authority limit, as may be defined from time to time by the board. The committee is also responsible for ensuring that the bank's internal control procedures in the area of risk assets remain high to safeguard the quality of the bank's risk assets. Given the volume of transactions that require Credit Committee approvals, instances may arise in which credits will need to be approved by members expeditiously between Credit Committee meetings. Such urgent credits are circulated amongst the members for consideration and approval, in accordance with a defined procedure that ensures that all members of the Committee receive full information on such credits.

Audit Committee

The Board's Audit Committee must ensure the bank's compliance with all the relevant policies and procedures laid out by regulators and the Board of Directors. It is tasked with the approval of the internal auditors' annual audit plan, review and approval of the audit scope and plan of the external auditors, and review of the audit report on internal weaknesses observed by both the internal and external auditors. It must ascertain whether the Bank's accounting and reporting policies comply with legal requirements and agreed ethical practices.

The committee also reviews the bank's annual and interim financial statements, including reviewing the effectiveness of the bank's disclosure controls and, of internal control, and areas of judgment involved in the compilation of the Bank's results. It is responsible for the review of the integrity of the bank's financial reporting and must oversee the independence and objectivity of the external auditors. The Committee shall have access to external auditors to seek explanations and additional information.

The Chairman of the Board does not have membership in the Audit Committee but may be invited to attend meetings as deemed necessary by the committee.

Board Risk Committee

The Board Risk Committee is responsible for the implementation of a sound risk management program to enable the effective identification, measurement, control, and monitoring of all risks affecting the bank, as well as an effective human resources and compensation structure, policies, and programs.

The committee must review and assess the integrity of the risk control systems and ensure the effective management of risk policies and strategies. It is tasked with setting out the nature, role, responsibility, and authority of the risk management function with the bank, and outlining the scope of risk management work, including the Assets Liability Committee (ALCO) which is operational at the bank's management level. The committee discusses the risk strategies on an aggregated basis and by type of risk, and issues recommendations to the board accordingly. Additionally, it reviews the bank's risk profiles at least annually, and ensure management's implementation of processes to promote the bank's adherence to the approved risk policies.

The Risk Committee's mandate includes advising the board on the bank's overall current and future risk appetite, overseeing senior management's implementation of the Risk Appetite Statement, and reporting on the state of the bank's risk culture. The committee provides independent and objective oversight and review of the information presented by management on corporate accountability and specifically associated risk, taking account of risk concerns raised by management in the Audit Committee, and Asset and Liability Committee meetings on financial, business, and strategic risks.

Board IT Committee

The Board IT Committee is to oversee the IT Steering Committee and the implementation of the requirements set out in the relevant cyber security laws and regulations. Accordingly, it must investigate activities within this scope, seek information from any employee, and seek external experts, if it is deemed necessary.

The committee must work in partnership with other board committees and senior management to provide input on, review, and amend the aligned corporate and IT strategies.

> "Bank of Kigali's board is accountable to the shareholders for the bank's overall performance, and is collectively responsible for its long-term success.

Company Secretary Mandate

As per the bank's Board Charter, the Company Secretary provides a point of reference and support for all directors and will consult regularly with directors to ensure that they receive required information. The Board may obtain information from external sources, such as consultants and other advisers, if there is a need for outside expertise, via the Company Secretary or directly. The secretary advises members of the Board of Directors on their responsibilities and powers.

The Company Secretary is also responsible for assisting the Board and management in the implementation of this Code, coordinating the orientation and training of new directors and the continuous education of directors. This is in addition to assisting the Chairman and Chief Executive Director to formulate an annual Board Plan and with the administration of other strategic issues at the Board level, organizing Board meetings, and ensuring that the minutes of the board meetings clearly and properly capture the Board's discussions and decisions.

External Auditor

The audit or review by the external auditor provides a further level of protection of the integrity of the financial statements. The Audit Committee oversees the external audit function. This includes reviewing and approving the external audit plan and engagement and assessing the performance of the external auditor.

Whereas the directors are responsible for preparing the accounts and for presenting a balanced and fair view of the financial position of the bank, the external auditor, Ernst and Young, examines and gives their opinion on the reasonableness of the financial statements. Independence of the external auditor is important to the integrity of the audit function. The external auditor is invited to meetings with the Audit Committee. The external auditor report independently and directly to the board every quarter for interim results and at the end year board meetings.

BK TecHouse

Board Attendance

Director's Name	Category	Meetings Attended
Sangwa Rwabuhihi	Independent	3/4
Nathalie Munyampenda	Independent	4/4
Diane Karusisi	Non-Independent	3/4
Samuel Nshimiyimana	Non-Independent	4/4

Remuneration

	2022 (FRw)	2021 (FRw)
Sangwa Rwabuhihi	2,857,144	2,857,000
Nathalie Munyampenda	1,714,284	1,286,000
Diane Karusisi	1,285,713	1,143,000
Nathalie Mpaka	-	1,143,000
Samuel Nshimiyimana	1,714,284	-
Total	**7,571,425**	**6,429,000**

BK General Insurance

Board Attendance

Director's Name	Category	Meetings Attended
Sandra Rwamushaija	Chairperson	2/4
Jack N. Kayonga	Vice chairperson	2/4
Nathalie Mpaka	Director	3/4
Yves Gatsimbanyi	Director	4/4
Jean Enock Habiyambere	Ag. Chairperson	4/4
Shehzad Noordally	Director	4/4
Patrice Bastide M.G.M	Director	4/4

Remuneration

	2022 (FRw)	2021 (FRw)
Sandra Rwamushaija	4,285,714	6,429,000
Jean Enoch Habiyambere	10,857,146	8,000,000
Jack N. Kayonga	5,285,716	9,143,000
Nathalie Mpaka	6,142,861	7,429,000
Shehzad Noordally	8,000,004	8,000,000
Yves Gatsimbanyi	7,428,575	7,429,000
Patrice Bastide M.G.M	5,714,289	6,847,000
Total	**47,714,305**	**53,276,000**

BK Capital

Board Attendance

Director's Name	Category	Meetings Attended
Moses Kiiza	Independent	4/4
Umulinga Karangwa	Independent	2/4
Flora Nsinga	Non-Independent	4/4
Benjamin Mutimura	Non-Independent	4/4

Remuneration

	2022 (FRw)	2021 (FRw)
Moses Kiiza	2,857,148	2,857,000
Umulinga Karangwa	857,142	1,714,000
Flora Nsinga	1,714,284	1,714,000
Benjamin Mutimura	1,714,284	1,714,000
Total	**7,142,858**	**7,999,000**


Annual Report
Process Analysis
PROJECT PLAN YEAR
Sale UP
Process Analysis

BK Group Board of Directors

Marc Holtzman
Chairman

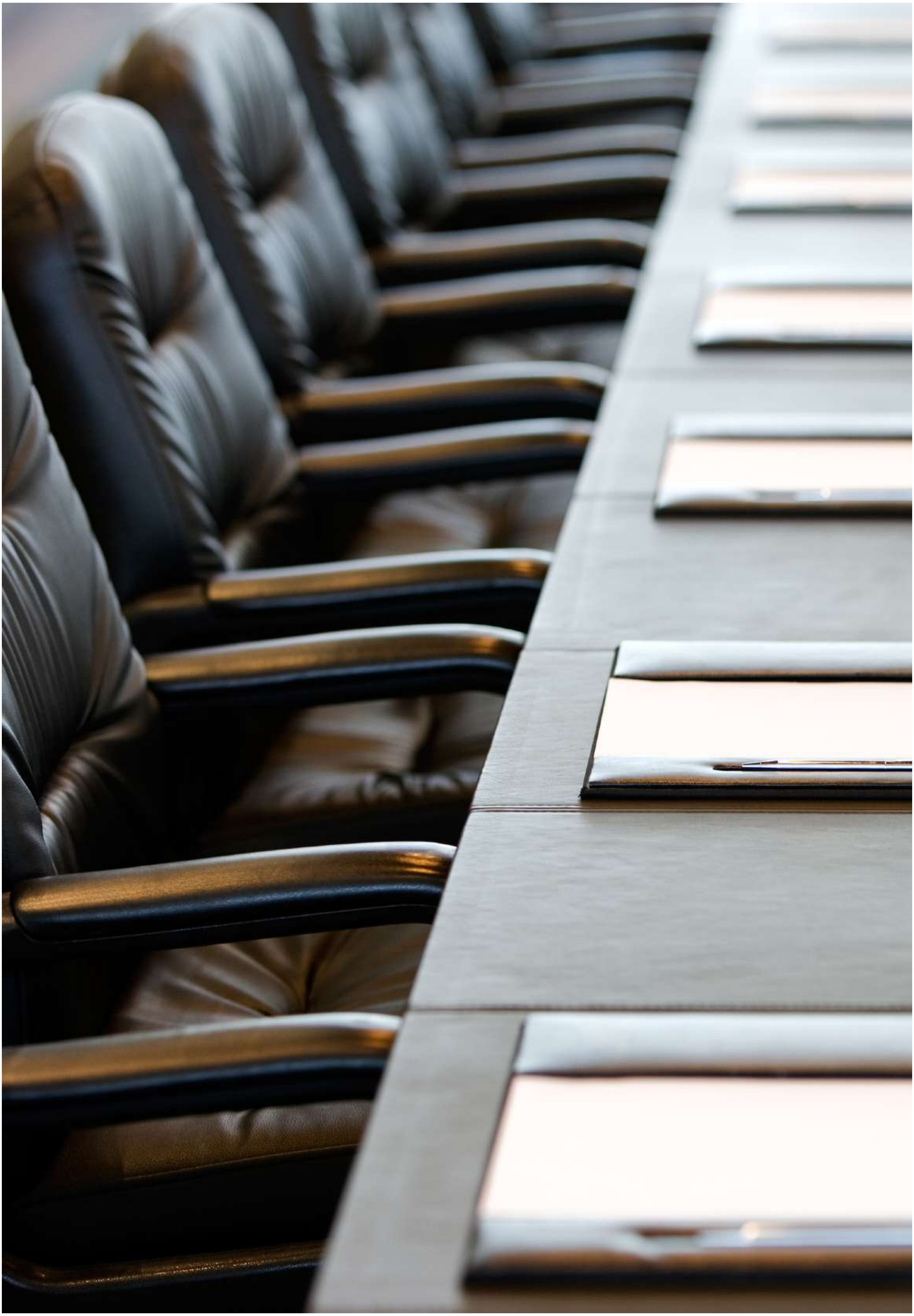
Darren K. Smith
Board Member

Gilbert Nyatanyi
Board Member

Sonia M. Kubwimana
Board Member

Roselyne Uwamahoro
Board Member

Francis Gatare Kabera
Board Member



Bank of Kigali Board of Directors

Rod Reynolds
Chairman

Regis Rugemanshuro
Vice Chairman

Alline Akintore Kabbatende
Board Member

Risper Alaro Mukoto
Board Member

Reuben Karemera
Board Member

William Juma Arogo
Board Member

Eugene Ubalijoro
Board Member

BK General Insurance Board of Directors

Sandra Rwamushaija
Chairman

Jack N. Kayonga
Vice Chairman

Nathalie Mpaka
Board Member

Yves Gatsimbanyi
Board Member

Jean Enock Habiyambere
Board Member

Shehzad Noordally
Board Member

Patrice Bastide M.G.M
Board Member

BK Techouse Board of Directors

Sangwa Rwabuhihi
Chairman

Nathalie Munyampenda
Vice Chairman

Diane Karusisi
Board Member

Samuel Nshimiyimana
Board Member

BK Capital Board of Directors

Moses Kiiza
Chairman

Umulinga Karangwa
Vice Chairman

Flora Nsinga
Board Member

Benjamin Mutimura
Board Member

FINANCIAL STATEMENTS

BK GROUP PLC
DIRECTORS AND STATUTORY INFORMATION
FOR THE YEAR ENDED 31 DECEMBER 2022

The directors that served during the year and to the date of this report are shown below:

DIRECTORS

Non-Executive and Independent Directors

Marc Holtzman -Chairman

Sonia M. Kubwimana

Roselyne Uwamahoro - Appointed 7 June 2022

Darren Keith Smith

Non-Executive and Non-Independent Directors

Gilbert Nyatanyi

Francis Gatare Kabera - Appointed 25 August 2022

Group chief executive officer

Béata Uwamaliza Habyarimana

Secretary

Emmanuel Nkusi

KN4 Ave No 12, Plot No 790

P.O Box 175

Kigali-Rwanda

Auditor

Ernst & Young Rwanda Limited

Certified Public Accountants

M-Peace Plaza Executive Wing, 6th Floor

KN 4 Avenue 72 St

PO Box 3638

Kigali - Rwanda

Registered office & principal place of business

BK Bank PLC Building

KN4 Ave No 12, Plot No 790

P.O Box 175

Kigali-Rwanda

Advocates

Emmanuel Rukangira

P.O Box 3270

Kigali-Rwanda

Athanase Rutabingwa

P.O Box 6886

Kigali-Rwanda

BK GROUP PLC
REPORT OF THE DIRECTORS'
FOR THE YEAR ENDED 31 DECEMBER 2022

The directors have the pleasure of submitting their report together with the audited consolidated financial statements for the year ended 31 December 2022 which disclose the state of affairs of BK Group plc and its subsidiaries (together, the "Group").

1 Principal activities

The principal activities of the Group are provision of retail and corporate banking services, insurance services, brokerage services, internet and digital services.

2 Results

The results for the year are set out on page 10.

3 Dividends

a) The total declared dividend for the year is therefore FRw 29,974,879,500 (2021: FRw 24,430,346,500) for ordinary shareholders.

4 Reserves

The reserves of BK Group Plc are set out in note 36.

5 Directors

The Directors who served during the year and up to the date of this report are set out on page 1.

6 Auditors

The Group's auditor, Ernst & Young Rwanda Limited has expressed willingness to continue in office.

7 Approval of the financial statements

The consolidated financial statements which appear on pages 11 to 99 were authorised for issue by the Directors on 31 March 2023. The directors have the power to amend and reissue the financial statements.

BY ORDER OF THE BOARD

Emmanuel Nkusi
Company Secretary

Date: 30 March 2023

BK GROUP PLC
DIRECTORS AND STATUTORY INFORMATION
FOR THE YEAR ENDED 31 DECEMBER 2022

The Group's directors are responsible for the preparation and fair presentation of the consolidated financial statements, comprising the consolidated statement of financial position at 31 December 2022, the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the twelve months period then ended, and the notes to the consolidated financial statements, which include a summary of significant accounting policies and other explanatory notes, in accordance with International Financial Reporting Standards and Law No. 007/202021 of 05/02/2021 Governing Companies, and for such internal control as the Directors determine is necessary to enable the preparation of the consolidated financial statements that are free from material misstatement whether due to fraud or error.

The directors' responsibilities include designing, implementing and maintaining internal control relevant to the preparation and fair presentation of these consolidated financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances. They are also responsible for safeguarding the assets of the Group.

The directors accept responsibility for the consolidated financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements Law No. 007/2021of 05/02/2021 Governing Companies. The Directors are of the opinion that the consolidated financial statements give a true and fair view of the state of the financial affairs and the profit and cash flow for the year ended 31 December 2022.

The directors have made an assessment of the Group's ability to continue as a going concern and have no reason to believe the Group will not be a going concern for at least the next twelve months from the date of this statement.

The auditor is responsible for reporting on whether the annual consolidated financial statements are fairly presented in accordance with the International Financial Reporting Standards and Law No.007/2021 of 05/02/2021 Governing Companies.

The consolidated financial statements which appear on pages 133 to 136 were approved by the Board of Directors on 23 March 2023 and signed on its behalf by:

Director

Director

Group Chief Executive Officer

BK GROUP PLC
REPORT OF THE DIRECTORS'
FOR THE YEAR ENDED 31 DECEMBER 2022

BK Group plc is committed to world class corporate governance standards as set from time to time by the National Bank of Rwanda, Capital Market Authority, Rwanda Stock Exchange and by itself in accordance with international best practise. The Board of Directors are responsible for the long-term strategic direction for profitable growth of the Group whilst being accountable to the shareholders for compliance and maintenance of the highest corporate governance standards and business ethics.

The Board of Directors

The Board is made up of four Non-Executive and Independent Directors, one Non-Executive and Non-Independent Director. The Board is provided with full, appropriate and timely information to enable them to maintain full and effective control over the strategic, financial, operational and compliance issues of the Group. The day to day running of the business of the Group is delegated to the Group Chief Executive Officer but the Board is responsible for establishing and maintaining the Group's system of internal controls so that the objective of profitable and sustainable growth and shareholders' values are realised. The Board also makes recommendations to the shareholders on Board succession planning and annual financial statements.

Board Meetings

The Board of Directors meet quarterly or as required in order to monitor the implementation of the Group's planned strategy, review it in conjunction with its financial performance and approves issues of strategic nature. Specific reviews are also undertaken on operational issues and future planning. At the end of each financial year, the Board reviews itself, Board Committees, Senior Management and the Group Chief Executive Officer against targets agreed at the beginning of the year. The Board held four meetings during the year.

Board attendance

The following table gives the record of attendance of the directors of the board and for the Financial Year 2022.

Structure	Category	BK Group
Marc Holtzman	Independent	3/4
Roselyne Uwamahoro	Independent	2/4
Darren Keith Smith	Independent	3/4
Sonia M. Kubwimana	Independent	3/4
Gilbert Nyatanyi	Non- Independent	3/4
Francis Gatare Kabera	Non- Independent	2/4

Management committees

The Board has delegated the management of the business to the Chief Executive Officer of each subsidiary together with their respective Management Committees. The following management committees are in place at the subsidiary level to ensure that the Group carries out its obligation efficiently and effectively.

Bank of Kigali Plc	BK General Insurance Ltd	Other subsidiaries
Management Committee	Management Committee	Management Committee
Assets and Liability Committee	Assets, Liabilities and Investments Committee	Audit Committee
Credit Committee	Risk and Compliance Committee	
Debt Recovery Committee	Remuneration and Compensation Committee	
Human Resource Committee		
Product Development Committee		
Information & Communication Technology Committee		
Procurement Committee		
Branch Expansion Committee		

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF BK GROUP PLC

Report of the Independent Auditor on the Consolidated Financial Statements

Opinion

We have audited the consolidated and separate financial statements of BK Group PLC and its subsidiaries ('the group') and company set out on pages 7 to 95, which comprise of the consolidated and separate statements of financial position as at 31 December 2022, and the consolidated and separate statements of profit or loss and other comprehensive income , the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of the group and company as at 31 December 2022, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the consolidated and separate financial statements section of our report. We are independent of the group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and other independence requirements applicable to performing audits of BK Group PLC. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code, and in accordance with other ethical requirements applicable to performing the audit of BK Group Plc. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. Our description below, of how our audit addressed the matter is provided in that context.

Building a better working world

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

KEY AUDIT MATTERS	HOW THE MATTER WAS ADDRESSED IN OUR AUDIT
IFRS 9. Expected Credit Losses	
IFRS 9 requires the Bank to recognise expected credit losses ("ECL") on financial instruments which involves significant judgement and estimates. The key areas where we identified greater levels of management judgement and therefore increased levels of audit focus in the Bank's implementation of IFRS 9 are: • Economic scenarios – IFRS 9 requires the Bank to measure ECLs on a forward-looking basis reflecting a range of future economic conditions. Significant management judgment is applied to determining the economic scenarios used and the probability weightings applied. • Significant increase in credit risk ("SICR") – for the logistic model the criteria selected to identify a significant increase in credit risk is a key area of judgement within the Bank's ECL calculation as these criteria determine whether a 12 month or lifetime provision is recorded. • Model estimations – inherently judgemental modelling is used to estimate ECL which involves determining probabilities of default ("PD"), loss given default ("LGD"), and exposures at default ("EAD"). The PD models used are a key drivers of the Bank's ECL results and are therefore the most significant judgemental aspect of the Bank's ECL modelling approach. • Qualitative adjustments – adjustments to the model driven ECL results are raised by management to address known impairment model limitations or emerging trends. Such adjustments are inherently uncertain and significant management judgement is involved in estimating these amounts. • The effect of these matters is that, as part of our risk assessment, we determined that the impairment of loans and advances to customers to be a key audit matter due to the high degree of estimation uncertainty and significant management judgement involved in determination of ECL. • Estimation and incorporation of multiple forward-looking macroeconomic scenarios and weightings into the ECL calculation These scenario forecasts are developed by the Bank's Chief Credit Risk Officer and require management judgement, given the uncertain macroeconomic environment and the complexity of incorporating these scenario forecasts and probability weightings into the estimation of ECL.	• Post-model management adjustments Where the Bank's ECL models are not fully calibrated to cater for the impact of the current levels of economic volatility and complexity, management adjustments are applied. These adjustments are subject to a high degree of subjective management judgement and bias Our audit procedures in this area included, among others: 1. Performing end to end process walkthroughs to identify the key systems, applications and controls used in the ECL processes. 2. Assessed the appropriateness of the Bank's methodology for determining the economic scenarios used. 3. Assessed managements' forecast and forecast narrative against available market data and our independent judgement 4. On a sample basis, testing the key inputs and assumptions impacting ECL calculations to assess the reasonableness of economic forecasts, weights, and PD assumptions applied including key aspects of the Bank's SICR determinations and assessing model predictions against actual results; and 5. Evaluating on a sample basis the post model adjustments, considering the size and complexity of management overlays, in order to assess the reasonableness of the adjustments by challenging key assumptions, inspecting the calculation methodology and tracing a sample back to source data. 6. 6Assessing whether the disclosures appropriately disclose and address the uncertainty which exists when determining the expected credit losses and the key judgements and assumptions made was sufficiently clear. 7. 7Challenged management and macroeconomic adjustments or justification of lack thereof. 8. Re-performed credit loss provisioning computation to test for accuracy 9. Reviewed security dockets to confirm existence and valuation of collaterals 10. Obtained and tested the data supporting assumptions relating to haircuts, CCF and time to realization for completeness, accuracy, and reasonableness 11. Obtained evidence that deteriorated loans are discussed and risk rating approved in the appropriate committees 12. Engaged our financial reporting and quantitative specialist teams to evaluate the reasonableness of macroeconomic scenarios used in the adjustments of PDs

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

KEY AUDIT MATTERS	HOW THE MATTER WAS ADDRESSED IN OUR AUDIT
Determination of insurance contract liabilities	
Insurance contract liabilities included in note 21 of the financial statements are made up the outstanding claims provision (reported claims and incurred but not reported ("IBNR") claims) and the provision for unearned premium. These were considered a matter of most significance to the current year audit for the following reasons: • The estimation of the provisions involves significant judgement given the inherent uncertainty in estimating expected future outflows in relation to claims incurred. • The valuation of these liabilities relies on the accuracy of claims data and the assumption that future claims development will follow a similar pattern to past claims development experience. • The magnitude of the insurance contract liabilities balance (RFW 8,209,465,000) in relation to total liabilities of (RFW 11,748,320,000). These insurance contract liabilities involve significant judgment over uncertain future outcomes, mainly the ultimate total settlement value of the insurance contract.	Our testing approach included amongst others, the following procedures with the assistance of our actuarial specialists: • Evaluating and testing the controls around the claim reserving and settlement process. • Evaluating managements' review process of the provisions. • Comparing, for a sample of claims, the amounts as recorded in the claims systems to source documents. • Reviewing the reconciliation between the claims data and that used to calculate the reserves. • Considering the methodology and assumptions used by the Appointed Actuary and management in the estimation of reserves and assessing the methodologies applied against general accepted actuarial approaches; and Back testing the robustness of the reserving process by performing an actual versus expected analysis on prior year's reserves to assess this for any surpluses or shortfalls.

Other information

The directors are responsible for the other information. The other information includes the Directors' Report as required by the Law No. 007/2021 of 05/02/2021 governing companies. The other information does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the Annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report of the Independent Auditor on the Consolidated Financial Statements (continued)

Report on other legal and regulatory requirements

As required by the Law No. 007/2021 of 05/02/2021 governing Companies,

We confirm that:

i. We have no relationship, interests and debts in the Group.
ii. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.
iii. In our opinion, proper books of account have been kept by the Group, so far as appears from our examination of those books.
iv. We have communicated to you through the management letter, internal control weaknesses identified in the course of our audit including our recommendations with regard to those matters.

Stephen K Sang
For Ernst & Young Rwanda Limited

Date: 30 March 2023

Consolidated statement of profit or loss and other comprehensive income

For the year ended 31 December 2022

	Note	31 December 2022 FRw'000	31 December 2021 FRw'000
Interest revenue calculated using the effective interest	7	187,448,813	176,572,535
Interest expense calculated using the effective interest method	8	(49,673,037)	(40,301,177)
Net interest income		**137,775,776**	**136,271,358**
Fee and commission income	9	29,167,427	21,824,949
Fee and commission expense	9	(2,894,123)	(1,965,524)
Foreign exchange related income	10	13,529,522	11,779,561
Gross insurance premiums	11	11,581,822	10,140,525
Other operating income	12	2,087,671	2,170,394
Operating income before impairment losses and claims		**191,248,095**	**180,221,263**
Credit impairment losses	13	(10,006,879)	(34,068,752)
Premium ceded to reinsurance	11	(3,744,871)	(2,694,984)
Insurance benefits and claims paid	14	(3,247,645)	(3,359,441)
Net operating income		**174,248,700**	**140,098,086**
Employee benefits expense	15(i)	(35,039,416)	(31,333,019)
Depreciation and amortisation	15(ii)	(8,538,536)	(6,543,090)
Administration and general expenses	15(iii)	(41,994,760)	(25,153,532)
Total operating expenses		**(85,572,712)**	**(63,029,641)**
Operating profit		**88,675,988**	**77,068,445**
Interest on lease liabilities	15(iv)	(221,212)	(187,777)
Profit before income tax		**88,454,776**	**76,880,668**
Income tax expense	16	(28,730,466)	(24,985,698)
Profit for the year		**59,724,310**	**51,894,970**
Comprehensive income			
Other comprehensive income		-	-
Total comprehensive income for the year		**59,724,310**	**51,894,970**
Attributable to:			
Equity holders of the parent		**58,894,419**	**51,077,753**
Non-controlling interests		**829,891**	**817,217**
Basic and diluted earnings per share in FRw	**18**	**65.0**	**57.4**

Consolidated statement of financial position

As at 31 December 2022

		31 December 2022 FRw'000	31 December 2021 FRw'000
Cash in hand	19 (a)	21,757,316	21,723,165
Balances with the National Bank of Rwanda	19 (b)	328,750,207	231,758,146
Due from banks	20	48,979,707	77,839,613
Held to maturity investments	21 (a)	216,899,036	164,115,134
Investment in corporate bond	21 (b)	12,069,536	12,703,795
Investment in specialized fund	21 (c)	12,605,141	7,814,784
Loans and advances to customers	22	1,134,512,318	990,267,321
Insurance-related assets	23	5,518,539	6,517,668
Other assets	24	19,374,250	25,810,132
Deferred income tax	25	10,649,558	9,546,653
Right of use assets	26	1,760,557	1,659,359
Assets held for sale	27	566,145	734,678
Property and equipment	28(i)	30,057,613	29,608,750
Intangible assets	28(ii)	10,494,510	10,273,785
Total assets		**1,853,994,433**	**1,590,372,983**
Liabilities			
Due to banks	29	280,588,198	190,223,687
Deposits and balances from customers	30	1,075,188,572	974,494,626
Income tax payable	17	5,920,034	10,013,864
Dividends payable	31	30,704,511	26,928,781
Insurance liabilities	32	8,162,379	9,445,233
Other liabilities	33	29,848,038	35,470,426
Lease liabilities	34	1,787,992	2,069,256
Long-term finance	35	102,718,352	56,026,996
Total liabilities		**1,534,918,076**	**1,304,672,869**
Capital and reserves			
Share capital	36 (i)	9,185,147	9,045,474
Share premium	36 (ii)	79,953,617	76,573,491
Revaluation reserves	36(iii)	13,099,994	13,099,994
Statutory reserves	36(v)	2,321,973	2,321,973
Retained earnings	36(iv)	211,017,312	181,990,759
Equity attributable to the owners of the parent		315,578,043	283,031,691
Non-controlling interests		3,498,314	2,668,423
Total equity		**319,076,357**	**285,700,114**
Total liabilities and equity		**1,853,994,433**	**1,590,372,983**

These financial statements were approved by the Board of Directors on March 23rd, 2023 and were signed on its behalf by:

Director________________ Director________________

The notes set out on pages 137 to 237 form an integral part of these financial statements

Consolidated statement of changes in equity

As at 31 December 2022

Year ended 31 December 2022	Note	Issued capital FRw'000	Share premium FRw'000	Revaluation FRw'000	Statutory reserves FRw'000	Retained earnings FRw'000	Non-controlling interests FRw'000	Total FRw'000
As at 1 January 2022		9,045,474	76,573,491	13,099,994	2,321,973	181,990,759	2,668,423	285,700,114
DRIP Shares issued		139,673	3,380,126	-	-	(5,711)	-	3,514,088
Comprehensive Income								
Total comprehensive income for the year		-	-	-	-	58,894,419	829,891	59,724,310
Transaction with owners:								
Dividend re-investment plan		-	-	-	-	-	-	-
Dividends declared		-	-	-		(29,862,155)		(29,862,155)
As at 31 December 2022		**9,185,147**	**79,953,617**	**13,099,994**	**2,321,973**	**211,017,312**	**3,498,314**	**319,076,357**

31 December 2021	Note	Issued capital FRw'000	Share premium FRw'000	Revaluation FRw'000	Statutory reserves FRw'000	Retained earnings FRw'000	Non-controlling interests FRw'000	Total FRw'000
As at 1 January 2021		9,045,474	76,573,491	13,099,994	2,279,052	156,494,803	1,851,206	259,344,020
Comprehensive income:								
Total comprehensive income for the year		-	-	-	-	51,077,753	817,217	51,894,970
Statutory credit reserves		-	-	-	42,921	(42,921)	-	-
Transaction with owners:								
Dividend re-investment plan	37(ii)	-	-	-	-	-	-	-
Dividends paid/declared	32	-	-		-	(25,538,876)	-	(25,538,876)
As at 31 December 2021		**9,045,474**	**76,573,491**	**13,099,994**	**2,321,973**	**181,990,759**	**2,668,423**	**285,700,114**

The notes set out on pages 137 to 237 form an integral part of these financial statements

Consolidated statement of cash flows

For the year ended 31 December 2022

Cash flows from operating activities	Note	31 December 2022 FRw'000	31 December 2021 FRw'000
Profit before income tax		**88,454,776**	**76,880,668**
Adjusted for:			
Depreciation of property and equipment	28(i)	4,637,801	3,708,364
Amortization of intangible assets	28(ii)	2,865,223	1,969,547
Gain on disposal of property and equipment	12	(91,020)	-
Depreciation on right of use assets	26	1,035,510	829,679
Interest incurred and revaluation loss on long-term financing	35	5,732,724	4,150,577
Finance cost on lease	26	221,212	187,777
Dividend income	12	(40,450)	-
Change in expected credit losses on loans	13	9,841,435	33,057,372
Credit impairment on investments	13	165,444	1,011,381
Accrued interest income	21	(891,930)	(1,116,596)
Cash flows before changes in working capital		**111,930,725**	**120,678,769**
Changes in working capital			
Increase in loans and advances	22 (a)	(154,086,432)	(174,247,645)
Decrease in insurance-related assets	23	999,129	(3,774,903)
Increase in other assets	24	6,435,882	(8,204,503)
Increase in cash reserve requirement	19(b)	(21,200,106)	238,050
Increase in deposits and balances from customers	30	100,693,946	183,683,366
Decrease in due to banks		9,396,760	9,189,843
Decrease in insurance liabilities	32	(1,282,854)	2,732,045
Decrease in other liabilities	33	(5,622,388)	3,065,933
		47,264,662	**133,360,955**
Income tax paid	17	(33,866,550)	(21,700,464)
Payment of interest portion on lease liabilities	34	(221,212)	(187,777)
Repayment of interests on long-term finance	35	(3,976,406)	(5,084,664)
Net cash generated from operating activities		**9,200,494**	**106,388,050**
Investing activities			
Purchase of property and equipment	28(i)	(5,086,664)	(3,833,517)
Purchase of intangible assets	28(ii)	(3,085,949)	(3,778,945)
Proceed from sale of property and equipment	12	91,020	
Proceed from sale of asset held for sale	27	168,537	-
Investment securities:	21(a)		
Additions in investment in securities		(469,433,513)	(404,147,002)
Receipts on investment maturities*		416,484,167	384,181,760
Corporate bond*	21(b)		
Additions in corporate bond*		(585,000)	(650,000)
Receipts in corporate bond*		1,706,047	112,383
Investment in specialised fund*			
Additions in specialized fund	21(c)	(5,000,000)	(6,627,672)
Receipts in specialised fund*		614,784	29,742
Dividend received		40,450	-
Net cash flows (used in) investing activities		**(64,086,121)**	**(34,713,251)**
Financing activities			
Dividends paid	31	(26,086,425)	(12,305,031)
Drawdown of long-term finance	35	57,459,057	2,150,000
Repayment of long-term finance	35	(12,524,019)	(10,129,797)
Payment of principle portion on lease liability	34	(1,417,971)	(600,658)
Proceeds from issue of new shares	36	139,673	-
Increase in share premium on new shares	36	3,380,126	-
Net cash flows generated /(used in) from financing activities		**20,950,441**	**(20,885,486)**
Net increase in cash and cash equivalents		**(33,935,186)**	**50,789,313**
Net foreign exchange difference		(4,128,047)	2,730,389
Cash and cash equivalents at 1 January		183,832,380	130,312,678
Cash and cash equivalents at 31 December	**19(c)**	**145,769,147**	**183,832,380**
Additional information on operational cash flows from			
Interest paid		(3,976,406)	(5,066,184)
Interest received		188,793,618	176,572,535
Dividend received		40,450	-

The notes set out on pages 137 to 237 form an integral part of these financial statements

Notes to the consolidated financial statements

For the year ended 31 December 2022

1. Corporate information

BK Group Plc is a non-operating holding company registered with Rwanda Development Board (RDB) under Law No. 007/2021 of 05/02/2021 Governing Companies.

The Group provides corporate and retail banking services, insurance services, brokerage and management services, internet and digital services.

The Group is incorporated in Rwanda and is publicly traded on the Rwanda Stock and cross listed in the Nairobi Securities Exchange. The address of its registered office is as follows:

Old I&M Bank Building
KN4 Ave No 12 Plot No 790
P.O Box 175
Kigali-Rwanda

Representative Office – Nairobi

The financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS"). The measurement basis applied is the historical cost basis, except for fair value through other comprehensive income investments at amortised cost and loan note at fair value through profit or loss which have been measured at fair value.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

2. Summary of significant accounting policies

2.1. New and amended standards and interpretations

New Standards issued that were effective at the reporting date

Interest Rate Benchmark Reform – Phase 2 – Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16

Effective for annual periods beginning on or after 1 January 2021

IBOR reform Phase 2 includes a number of reliefs and additional disclosures. The reliefs apply upon the transition of a financial instrument from an IBOR to a risk-free-rate (RFR).

Changes to the basis for determining contractual cash flows as a result of interest rate benchmark reform are required as a practical expedient to be treated as changes to a floating interest rate, provided that, for the financial instrument, the transition from the IBOR benchmark rate to RFR takes place on an economically equivalent basis.

IBOR reform Phase 2 provides temporary reliefs that allow the Group's hedging relationships to continue upon the replacement of an existing interest rate benchmark with an RFR. The reliefs require the Group to amend hedge designations and hedge documentation.

2. Summary of significant accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

New Standards issued that were effective at the reporting date (continued)

Interest Rate Benchmark Reform – Phase 2 – Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 (continued)

This includes redefining the hedged risk to reference an RFR, redefining the description of the hedging instrument and or the hedged item to reference the RFR and amending the method for assessing hedge effectiveness. Updates to the hedging documentation must be made by the end of the reporting period in which a replacement takes place. For the retrospective assessment of hedge effectiveness, the Group may elect on a hedge-by-hedge basis to reset the cumulative fair value change to zero.

The Group may designate an interest rate as a non-contractually specified, hedged risk component of changes in the fair value or cash flows of a hedged item, provided the interest rate risk component is separately identifiable, e.g., it is an established benchmark that is widely used in the market to price loans and derivatives.

For new RFRs that are not yet an established benchmark, relief is provided from this requirement provided the Group reasonably expects the RFR to become separately identifiable within 24 months. For hedges of groups of items, the Group is required to transfer to subgroups those instruments that reference RFRs. Any hedging relationships that prior to application of IBOR reform Phase 2, have been discontinued solely due to IBOR reform and meet the qualifying criteria for hedge accounting when IBOR reform Phase 2 is applied, must be reinstated upon initial application.

Commentary.

The Group has not provided disclosures in respect of new and amended standards and interpretations that are effective from 1 January 2021, as none of those issued had an impact on the Group's financial statements, other than IBOR reform Phase 2 which was early adopted in 2020.

Sale or Contribution of Assets between an Investor and its Associate or Joint Venture – Amendments to IFRS 10 and IAS 28

In December 2015, the IASB decided to defer the effective date of the amendments until such time as it has finalised any amendments that result from its research project on the equity method. Early application of the amendments is still permitted.

Key requirements

The amendments address the conflict between IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture.

The amendments clarify that a full gain or loss is recognised when a transfer to an associate or joint venture involves a business as defined in IFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognised only to the extent of unrelated investors' interests in the associate or joint venture.

Transition

The amendments must be applied prospectively. Early application is permitted and must be disclosed.

Impact

The amendments are intended to eliminate diversity in practice and give preparers a consistent set of principles to apply for such transactions. However, the application of the definition of a business is judgemental and entities need to consider the definition carefully in such transactions.

2. Summary significant accounting policies (continued)

2.1. New and amended standards and interpretations (continued)

New Standards issued that were effective at the reporting date (continued)

Reference to the Conceptual Framework – Amendments to IFRS 3

In May 2020, the IASB issued Amendments to IFRS 3 Business Combinations - Reference to the Conceptual Framework. The amendments are intended to replace a reference to the Framework for the Preparation and Presentation of Financial Statements, issued in 1989, with a reference to the Conceptual Framework for Financial Reporting issued in March 2018 without significantly changing its requirements.

The Board also added an exception to the recognition principle of IFRS 3 to avoid the issue of potential 'day 2' gains or losses arising for liabilities and contingent liabilities that would be within the scope of IAS 37 or IFRIC 21 Levies, if incurred separately.

At the same time, the Board decided to clarify existing guidance in IFRS 3 for contingent assets that would not be affected by replacing the reference to the Framework for the Preparation and Presentation of Financial Statements.

The amendments are effective for annual reporting periods beginning on or after 1 January 2022 and apply prospectively.

The amendments are not expected to have a material impact on the Group.

Property, Plant and Equipment: Proceeds before Intended Use – Amendments to IAS 16

In May 2020, the IASB issued Property, Plant and Equipment — Proceeds before Intended Use, which prohibits entities from deducting from the cost of an item of property, plant and equipment, any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognises the proceeds from selling such items, and the costs of producing those items, in profit or loss.

The amendment is effective for annual reporting periods beginning on or after 1 January 2022 and must be applied retrospectively to items of property, plant and equipment made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment.

The amendments are not expected to have a material impact on the Group.

Onerous Contracts – Costs of Fulfilling a Contract – Amendments to IAS 37

In May 2020, the IASB issued amendments to IAS 37 to specify which costs an entity needs to include when assessing whether a contract is onerous or loss-making.

The amendments apply a "directly related cost approach". The costs that relate directly to a contract to provide goods or services include both incremental costs and an allocation of costs directly related to contract activities. General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

The amendments are effective for annual reporting periods beginning on or after 1 January 2022. The Group will apply these amendments to contracts for which it has not yet fulfilled all its obligations at the beginning of the annual reporting period in which it first applies the amendments. The amendments are not expected to have a material impact on the Group.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

New Standards issued that were effective at the reporting date (Continued)

The amendments apply a "directly related cost approach". The costs that relate directly to a contract to provide goods or services include both incremental costs and an allocation of costs directly related to contract activities. General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

The amendments are effective for annual reporting periods beginning on or after 1 January 2022. The Group will apply these amendments to contracts for which it has not yet fulfilled all its obligations at the beginning of the annual reporting period in which it first applies the amendments. The amendments are not expected to have a material impact on the Group.
Onerous Contracts – Costs of Fulfilling a Contract – Amendments to IAS 37

In May 2020, the IASB issued amendments to IAS 37 to specify which costs an entity needs to include when assessing whether a contract is onerous or loss-making.

AIP IFRS 1 First-time Adoption of International Financial Reporting Standards – Subsidiary as a first-time adopter

As part of its 2018-2020 annual improvements to IFRS standards process, the IASB issued an amendment to IFRS 1 First-time Adoption of International Financial Reporting Standards. The amendment permits a subsidiary that elects to apply paragraph D16(a) of IFRS 1 to measure cumulative translation differences using the amounts reported by the parent, based on the parent's date of transition to IFRS. This amendment is also applied to an associate or joint venture that elects to apply paragraph D16(a) of IFRS 1.

The amendment is effective for annual reporting periods beginning on or after 1 January 2022 with earlier adoption permitted.

IFRS 9 Financial Instruments – Fees in the '10 per cent' test for derecognition of financial liabilities

As part of its 2018-2020 annual improvements to IFRS standards process the IASB issued amendment to IFRS 9. The amendment clarifies the fees that an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability. These fees include only those paid or received by the borrower and the lender, including fees paid or received by either the borrower or lender on the other's behalf. An entity applies the amendment to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment.

The amendment is effective for annual reporting periods beginning on or after 1 January 2022 with earlier adoption permitted. The Group will apply the amendments to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment.

Definition of Accounting Estimates - Amendments to IAS 8

In February 2021, the IASB issued amendments to IAS 8, in which it introduces a definition of 'accounting estimates'. The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023 and apply to changes in accounting policies and changes in accounting estimates that occur on or after the start of that period. Earlier application is permitted as long as this fact is disclosed.

The amended standard clarifies that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

New Standards issued that were effective at the reporting date (Continued)

The previous definition of a change in accounting estimate specified that changes in accounting estimates may result from new information or new developments. Therefore, such changes are not corrections of errors. This aspect of the definition was retained by the Board.

Classification of Liabilities as Current or Non- current - Amendments to IAS 1

Effective for annual periods beginning on or after 1 January 2024.

Key requirements

In January 2020 and October 2022, the Board issued amendments to IAS 1 Presentation of Financial Statements to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification
- Disclosures

Right to defer settlement

The Board decided that if an entity's right to defer settlement of a liability is subject to the entity complying with the required covenants at a date subsequent to the reporting period ("future covenants"), the entity has a right to defer settlement of the liability even if it does not comply with those covenants at the end of the reporting period. Furthermore, the Board specified that the requirements in paragraph 72B apply only to liabilities arising from loan arrangements.

Existence at the end of the reporting period

The amendments also clarify that the requirement for the right to exist at the end of the reporting period applies regardless of whether the lender tests for compliance at that date or at a later date.

Management expectations

IAS 1.75A has been added to clarify that the 'classification of a liability is unaffected by the likelihood that the entity will exercise its right to defer settlement of the liability for at least twelve months after the reporting period'. That is, management's intention to settle in the short run does not impact the classification. This applies even if settlement has occurred when the financial statements are authorised for issuance.

Meaning of the term 'settlement'

The Board added two new paragraphs (paragraphs 76A and 76B) to IAS 1 to clarify what is meant by 'settlement' of a liability. The Board concluded that it was important to link the settlement of the liability with the outflow of resources of the entity.

Settlement by way of an entity's own equity instruments is considered settlement for the purpose of classification of liabilities as current or non-current, with one exception.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

New Standards issued that were effective at the reporting date (Continued)

Classification of Liabilities as Current or Non- current - Amendments to IAS 1(continued)

Meaning of the term 'settlement' (continued)

In cases where a conversion option is classified as a liability or part of a liability, the transfer of equity instruments would constitute settlement of the liability for the purpose of classifying it as current or non-current. Only if the conversion option itself is classified as an equity instrument would settlement by way of own equity instruments be disregarded when determining whether the liability is current or on- current.

Unchanged from the current standard, a rollover of a borrowing is considered the extension of an existing liability and is therefore not considered to represent 'settlement'.

Disclosures

IAS 1.76ZA has been added to require an entity to provide disclosure when a liability arising from a loan agreement is classified as non-current and the entity's right to defer settlement is contingent on compliance with future covenants within twelve months. This disclosure must include information about the covenants and the related liabilities.

Transition

The amendments must be applied prospectively. Early application is permitted and must be disclosed. However, an entity that applies the 2020 amendments early is also required to apply the 2022 amendments, and vice versa.

Impact

The combined impact of the 2020 amendments and the 2022 amendments will have implications for entities applying them. Entities will, therefore, need to carefully consider the impact of the amendments on existing and planned loan agreements. In this context, it is important to highlight that the amendments must be applied retrospectively.

Disclosure of Accounting Policies - Amendments to IAS 1 and IFRS Practice Statement 2

Effective for annual periods beginning on or after 1 January 2023

IFRS Practice Statement 2 Making Materiality Judgements (the PS), in which it provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by:

- Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies
- Adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures

Replacement of the term 'significant' with 'material' In the absence of a definition of the term 'significant' in IFRS, the Board decided to replace it with 'material' in the context of disclosing accounting policy information. 'Material' is a defined term in IFRS and is widely understood by the users of financial statements, according to the Board.

In assessing the materiality of accounting policy information, entities need to consider both the size of the transactions, other events or conditions and the nature of them.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

IFRS 17 Insurance Contracts

Effective for annual periods beginning on or after 1 January 2023

In May 2017, the IASB issued IFRS 17 Insurance Contracts, a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, IFRS 17 will replace IFRS 4 Insurance Contracts.

In June 2020, the IASB issued amendments to IFRS 17. These amendments included changing the effective date to 2023. In September 2017, the Board established a Transition Resource Group (TRG) for IFRS 17 to analyse implementation-related questions. The TRG met four times and while no further meetings have been scheduled, the TRG submission process remains open for stakeholders to send in questions they believe meet the TRG submission criteria. IFRS 17 applies to all types of insurance contracts (i.e., life, non- life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of IFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in IFRS 4, which are largely based on grandfathering previous local accounting policies, IFRS 17 provides a comprehensive model for insurance contracts,

covering all relevant accounting aspects. The core of IFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts
- The main features of the new accounting model for insurance contracts are as follows:
- The measurement of the present value of future cash flows, incorporating an explicit risk adjustment, remeasured every reporting period (the fulfilment cash flows)
- A Contractual Service Margin (CSM) that is equal and opposite to any day one gain in the fulfilment cash flows of a group of contracts, representing the unearned profit of the insurance contracts to be recognised in profit or loss based on insurance contract services provided over the coverage period.
- Certain changes in the expected present value of future cash flows are adjusted against the CSM and thereby recognised in profit or loss over the remaining coverage period
- The effect of changes in discount rates will be reported in either profit or loss or other comprehensive income, determined by an accounting policy choice
- The presentation of insurance revenue and insurance service expenses in the statement of comprehensive income based on the concept of services provided during the period.
- Amounts that are paid to a policyholder in all circumstances, regardless of whether an insured event occurs (non-distinct investment components) are not presented in the income statement but are recognised directly on the balance sheet.
- Insurance services results (earned revenue less incurred claims) are presented separately from the insurance finance income or expense.
- A loss-recovery component of the asset for the remaining coverage of a group of reinsurance contracts held is determined and recorded in profit or loss when an entity recognises a recovery of a loss on initial recognition of a onerous group of underlying issued contracts as well as for subsequent measurement of the recovery of those losses
- Entities should present separately in the statement of financial position, the carrying amounts of portfolios of insurance contracts issued that are assets and those that are liabilities, with the same requirement applying to portfolios of reinsurance contracts held.
- Extensive disclosures to provide information on the recognised amounts from insurance contracts and the nature and extent of risks arising from these contracts.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

IFRS 17 Insurance Contracts (Continued)

Transition

IFRS 17 is effective for reporting periods starting on or after 1 January 2023, with comparative figures required. Early application is permitted, provided the entity also applies IFRS 9 Financial Instruments on or before the date it first applies IFRS 17.

The Board decided on a retrospective approach for estimating the CSM on the transition date. However, if full retrospective application, as defined by IAS 8 for a group of insurance contracts, is impracticable, an entity is required to choose one of the following two alternatives:

- Modified retrospective approach based on reasonable and supportable information available without undue
- cost and effort to the entity, certain modifications are applied to the extent full retrospective application is not possible, but still with the objective to achieve the closest possible outcome to retrospective application
- Fair value approach the CSM is determined as the positive difference between the fair value determined in accordance with IFRS 13 Fair Value Measurement and the fulfilment cash flows (any negative difference would be recognised in retained earnings at the transition date).

Both the modified retrospective approach and the fair value approach provide transitional reliefs for determining the grouping of contracts. If an entity cannot obtain reasonable and supportable information necessary to apply the modified retrospective approach, it is required to apply the fair value approach.

Impact

IFRS 17, together with IFRS 9, will result in profound changes to the accounting in IFRS financial statements for insurance companies. This will have a significant impact on data, systems and processes used to produce information for financial reporting purposes. The new model is likely to have a significant impact on the profit and total equity of some insurance entities, resulting in increased volatility compared to today's models. Key performance indicators will also likely be affected.
Based on the assessment of the Group, there are no quantitative disclosures that can be provided at this point with regards to the impact of IFRS 17 on the Group's equity.

Finalisation of the amendment to IFRS 17

In December 2021, the IASB amended IFRS 17 to add a transition option for a "classification overlay" to address possible accounting mismatches between financial assets and insurance contract liabilities in the comparative information presented on initial application of IFRS 17. If an entity elects to apply the classification overlay, it can only do so for comparative periods to which it applies IFRS 17 (i.e., from transition date to the date of initial application of IFRS 17). IFRS 17, will result in profound changes to the accounting in IFRS financial statements for the Group. This will have a significant impact on data, systems and processes used to produce information for financial reporting purposes. The new model is likely to have a significant impact on the profit and total equity, resulting in increased volatility compared to today's models. Key performance indicators will also likely be affected

Insurance contracts

i) Classification

The Group issues contracts that transfer insurance risk. Insurance contracts are those contracts that transfer significant insurance risk. As a general guideline, the group defines as significant insurance risk, the possibility of having to pay benefits on the occurrence of an insured event that are at 10% more than the benefits payable if the insured event did not occur.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

IFRS 17 Insurance Contracts (Continued)

Insurance contracts (Continued)

i) Classification (Continued)

Insurance contracts issued by the Company are classified as general insurance business based on the duration of the risk insured. Classes of general insurance include Aviation insurance, Engineering insurance, Fire insurance -domestic risks, Fire insurance - industrial and commercial risks, Liability insurance, Marine Insurance, Motor insurance - private vehicles, Motor insurance - commercial vehicles, Personal accident insurance, Theft insurance, Workmen's Compensation and Employer's Liability insurance and Miscellaneous insurance (i.e. class of business not included under those listed above).

Motor insurance business means the business of affecting and carrying out contracts of insurance against loss of, or damage to, or arising out of or in connection with the use of, motor vehicles, inclusive of third-party risks but exclusive of transit risks.
Short term business is normally of single-year duration.

ii) Recognition and measurement

1. Premium income

Premium income is recognized on assumption of risks and includes estimates of gross premium underwritten less unearned premium. Unearned premiums represent the proportion of the premiums written in periods up to the accounting date that relates to the unexpired terms of policies in force at the financial reporting date and is computed using the 365ths method. Premiums are shown before deduction of commission and are net of any taxes or duties levied on premiums.

of the best information available at the time the records for the year are closed and include provisions for claims incurred but not reported ("IBNR"). Outstanding claims are not discounted.

There is also additional unexpired risk reserve which is a prospective assessment of the amount that needs to be set aside in order to provide for the claims and expenses which will emerge from unexpired risks, and which is over and above the unearned premium reserve pertaining to the same risks as the same valuation date.

3. Commissions payable and deferred acquisition costs ("DAC")

A proportion of commission's payable is deferred and amortized over the period in which the related premium is earned. Deferred acquisition costs represent a proportion of acquisition costs that relate to policies that are in force at the year end.

4. Liability adequacy test

At each financial reporting date, liability adequacy tests are performed to ensure the adequacy of the insurance contract liabilities net of related DAC. In performing these tests, current best estimates of future contractual cash flows and claims handling and administration expenses, as well as investment income from the assets backing such liabilities, are used. Any deficiency is immediately charged to profit or loss.

5. Reinsurance contracts

Contracts entered into by the company with reinsurers under which the company is compensated for losses on one or more contracts issued by the company and that meet the classification requirements for insurance contracts are classified as reinsurance contracts held. Contracts that do not meet these classification requirements are classified as financial assets. Insurance contracts entered into by the company under which the contract holder is another insurer (inwards reinsurance) are included with insurance contracts.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

IFRS 17 Insurance Contracts (Continued)

5. Reinsurance contracts (Continued)

The benefits to which the company is entitled under its reinsurance contracts held are recognized as reinsurance assets. These assets consist of short-term balances due from reinsurers, as well as longer term receivables that are dependent on the expected claims and benefits arising under the related reinsured insurance contracts. Amounts recoverable from or due to reinsurers are measured consistently with the amounts associated with the reinsured insurance contracts and in accordance with the terms of each reinsurance contract. Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognized as an expense when due.

The company assesses its reinsurance assets for impairment on a quarterly basis. If there is objective evidence that the reinsurance asset is impaired, the company reduces the carrying amount of the reinsurance asset to its recoverable amount and recognizes that impairment loss in the income statement. The company gathers the objective evidence that a reinsurance asset is impaired using the same process adopted for financial assets held at amortized cost. The impairment loss is also calculated following the same method used for these financial assets.

a) Going concern

The Group's directors have made an assessment of the Group's ability to continue as a going concern and is satisfied that the Group has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the consolidated financial statements have been prepared on the going concern basis.

b) Use of estimates and judgments

The preparation of consolidated financial statements in conformity with IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period.

The estimates and assumptions are based on the Directors' best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods. In particular, information about significant areas of estimation and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described in Note 3.

c) Principles of consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries as at 31 December 2022. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

c) Principles of consolidation (Continued)

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant
- activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights

Profit or loss and each component of OCI are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the group has control. The group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the group.

Intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group.

Non-controlling interest in the results and equity of subsidiaries are shown separately in the consolidated statement of profit and loss and other comprehensive income, statement of changes in equity and statement of financial position respectively.

ii) Changes in ownership interest

The group treats transaction with non-controlling that do not result in a loss of control as transactions with equity owners of the group. A change in ownership interest results in an adjustment between the carrying amount of the controlling and non-controlling interests to reflect their relative interests in the subsidiary. Any difference between the amount of the adjustment to non-controlling interests and any consideration paid or received is recognised in a separate reserve within equity attributable to owners of BK Group Plc.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

c) Principles of consolidation (Continued)

When the group ceases to consolidate because of loss of control any retained interest in the entity is measured at fair value with changes in carrying amount recognised in profit and loss.

d) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

The board of BK Group Plc has appointed the executive committee which assesses the financial performance and position of the group and makes strategic decisions. The executive committee, which has been identified as being the chief operating decision maker, consists of the Chief Executive Officer, the Chief Operating Officer, the Chief Risk Officer, the Chief Commercial Officer, the Chief Financial Officer, the Chief Human Resources and Administration Officer, and the Chief Information Technology Officer.

The Group's segment reporting is based on the following operating segments: Retail banking, corporate banking, treasury functions, non-bank subsidiaries and central costs.

e) Revenue recognition

(i) Interest income

The effective interest rate method

Under IFRS 9, interest income is recorded using the EIR method for all financial assets measured at amortised cost, interest rate derivatives for which hedge accounting is applied and the related amortisation/recycling effect of hedge accounting. Interest income on interest bearing financial assets measured at FVOCI under IFRS 9 is also recorded using the EIR method. Interest expense is also calculated using the EIR method for all financial liabilities held at amortised cost. The EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset or liability or, when appropriate, a shorter period, to the gross carrying amount of the financial asset.

The EIR (and therefore, the amortised cost of the financial asset) is calculated by taking into account transaction costs and any discount or premium on the acquisition of the financial asset, as well as fees and costs that are an integral part of the EIR. The Bank recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, the EIR calculation also takes into account the effect of potentially different interest rates that may be charged at various stages of the financial asset's expected life, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations of fixed rate financial assets' or liabilities' cash flows are revised for reasons other than credit risk, then changes to future contractual cash flows are discounted at the original EIR with a consequential adjustment to the carrying amount. The difference from the previous carrying amount is booked as a positive or negative adjustment to the carrying amount of the financial asset or liability on the balance sheet with a corresponding increase or decrease in Interest revenue/expense calculated using the effective interest method.

For floating-rate financial instruments, periodic re-estimation of cash flows to reflect the movements in the market rates of interest also alters the effective interest rate, but when instruments were initially recognised at an amount equal to the principal, re-estimating the future interest payments does not significantly affect the carrying amount of the asset or the liability.

The IBOR reform Phase 2 amendments allow as a practical expedient for changes to the basis for determining contractual cash flows to be treated as changes to a floating rate of interest, provided certain conditions are met. The conditions include that the change is necessary as a direct consequence of IBOR reform and that the transition takes place on an economically equivalent basis.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

e) Revenue recognition (Continued)

(i) Interest income (Continued)

Interest income and similar income/expense

Net interest income comprises interest income and interest expense calculated using both the effective interest method and other methods. These are disclosed separately on the face of the income statement for both Interest income and interest expense to provide symmetrical and comparable information.

The Bank calculates interest income on financial assets, other than those considered credit-impaired, by applying the EIR to the gross carrying amount of the financial asset.

When a financial asset becomes credit-impaired regarded as 'Stage 3', the Bank calculates interest income by applying the EIR to the net amortised cost of the financial asset. If the financial asset cures and is no longer credit-impaired, the Bank reverts to calculating interest income on a gross basis.

Interest income and similar income/expense

For purchased or originated credit-impaired (POCI) financial assets, the Bank calculates interest income by calculating the credit-adjusted EIR and applying that rate to the amortised cost of the financial asset. The credit adjusted EIR is the interest rate that, at initial recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost of the POCI financial asset.

(iii) Fees and commission

The Bank earns fee and commission income from a diverse range of financial services it provides to its customers. Fee and commission income is recognised at an amount that reflects the consideration to which the Bank expects to be entitled in exchange for providing the services.

The performance obligations, as well as the timing of their satisfaction, are identified, and determined, at the inception of the contract.

When the Bank provides a service to its customers, consideration is invoiced and generally due immediately upon satisfaction of a service provided at a point in time or at the end of the contract period for a service provided over time.

The Bank has generally concluded that it is the principal in its revenue arrangements because it typically controls the services before transferring them to the customer.

Fee and commission income from services where performance obligations are satisfied over time

Performance obligations satisfied over time include asset management, custody and other services, where the customer simultaneously receives and consumes the benefits provided by the Bank's performance as the Bank performs. The Bank's fee and commission income from services where performance obligations are satisfied over time include the following:

Loan commitment fees: These are fixed annual fees paid by customers for loan and other credit facilities with the Bank, but where it is unlikely that a specific lending arrangement will be entered into with the customer and the loan commitment is not measured at fair value. The Bank promises to provide a loan facility for a specified period. As the benefit of the services is transferred to the customer evenly over the period of entitlement, the fees are recognised as revenue on a straight-line basis. Payment of the fees is due and received monthly in arrears.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

e) Revenue recognition (Continued)

(iii) Fees and commission (Continued)

Fee and commission income from services where performance obligations are satisfied over time (Continued)

Interchange fees: The Bank provides its customers with credit card processing services (i.e., authorisation and settlement of transactions executed with the Bank's credit cards) where it is entitled to an interchange fee for each transaction (i.e., when a credit cardholder purchases goods and services from merchants using the Bank's credit card). The fees vary based on the number of transactions processed and are structured as either a fixed rate per transaction processed or at a fixed percentage of the underlying cardholder transaction. The variable interchange fees are allocated to each distinct day, based on the number and value of transactions processed that day, and the allocated revenue is recognised as the entity performs.

Fee and commission income from providing services where performance obligations are satisfied at a point in time

Services provided where the Bank's performance obligations are satisfied at a point in time are recognised once control of the services is transferred to the customer. This is typically on completion of the underlying transaction or service or, for fees or components of fees that are linked to a certain performance, after fulfilling the corresponding performance criteria. These include fees and commissions arising from negotiating or participating in the negotiation of a transaction for a third party, such as the arrangement/participation or negotiation of the acquisition of shares or other securities, or the purchase or sale of businesses, brokerage and underwriting fees. The Bank has a single performance obligation with respect to these services, which is to successfully complete the transaction specified in the contract.

(iv) Dividend income

Dividends are received from financial assets measured at fair value through profit or loss (FVPL) and at fair value through other comprehensive income (FVOCI). Dividends are recognised as other income in profit or loss when the right to receive payment is established. This applies even if they are paid out of pre-acquisition profits, unless the dividend clearly represents a recovery of part of the cost of an investment. In this case, the dividend is recognised in OCI if it relates to an investment measured at FVOCI.

(iv) Net trading income

Net trading income' comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest, and foreign exchange differences.

(v) Premiums

Gross insurance written premiums comprise the total premiums receivable for the whole period of cover provided by contracts entered into during the accounting period. They are recognised on the date on which the policy commences. Premiums include any adjustments arising in the accounting period for premiums receivable in respect of business written in prior accounting periods. Rebates that form part of the premium rate, such as no-claim rebates, are deducted from the gross premium; others are recognised as an expense. Premiums collected by intermediaries, but not yet received, are assessed based on estimates from underwriting or past experience and are included in premiums written.

Unearned premiums are those proportions of premiums written in a year that relate to periods of risk after the reporting date. Unearned premiums are calculated on a daily pro rata basis. The proportion attributable to subsequent periods is deferred as a provision for unearned premiums.

Reinsurance premiums

Gross reinsurance premiums written comprise the total premiums payable for the whole cover provided by contracts entered into the period and are recognised on the date on which the policy incepts.

Premiums include any adjustments arising in the accounting period in respect of reinsurance contracts incepting in prior accounting periods.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

e) Revenue recognition (Continued)

Unearned reinsurance premiums are those proportions of premiums written in a year that relate to periods of risk after the reporting date. Unearned reinsurance premiums are deferred over the term of the underlying direct insurance policies for risks-attaching contracts and over the term of the reinsurance contract for losses occurring contracts.

f) Property and equipment

Land and buildings are recognised at fair value based on periodic, but at least every 3-5 years, valuations by external independent valuers, less subsequent depreciation for buildings. A revaluation surplus is credited to revaluation reserves in shareholders' equity. All other property and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items. Cost may also include transfers from equity of any gains or losses on qualifying cash flow hedges of foreign currency purchases of property, plant and equipment.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to profit or loss during the reporting period in which they are incurred.

(g) Property plant and equipment

Increases in the carrying amounts arising on revaluation of land and buildings are recognised, net of tax, in other comprehensive income and accumulated in reserves in shareholders' equity. To the extent that the increase reverses a decrease previously recognised in profit or loss, the increase is first recognised in profit or loss. Decreases that reverse previous increases of the same asset are first recognised in other comprehensive income to the extent of the remaining surplus attributable to the asset; all other decreases are charged to profit or loss.

Depreciation is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives or, in the case of leasehold improvements and certain leased plant and equipment, the shorter lease term as follows:

• Buildings	5%
• Motor vehicles	25%
• Furniture and fittings	25%
• Office equipment	25%
• Computers	33%
• IT equipment including servers	20%

Freehold land is not depreciated as it is deemed to have an indefinite life.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

e) Revenue recognition (Continued)

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in profit or loss. When revalued assets are sold, it is group policy to transfer any amounts included in other reserves in respect of those assets to retained earnings.

g) Provisions

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, for which it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to that liability. The expense relating to any provision is presented in the statement of profit or loss and other comprehensive income net of any disbursement.

h) Financial assets and liabilities

Measurement methods

Amortised cost and effective interest rate

The amortised cost is the amount at which the financial asset or financial liability is measured at initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i.e. its amortised cost before any impairment allowance) or to the amortised cost of a financial liability. The calculation does not consider expected credit losses and includes transaction costs, premiums or discounts and fees and points paid or received that are integral to the effective interest rate, such as origination fees. For purchased or originated credit-impaired (`POCI') financial assets — assets that are credit-impaired at initial recognition — the Group calculates the credit-adjusted effective interest rate, which is calculated based on the amortised cost of the financial asset instead of its gross carrying amount and incorporates the impact of expected credit losses in estimated future cash flows.

When the Group revises the estimates of future cash flows, the carrying amount of the respective financial assets or financial liability is adjusted to reflect the new estimate discounted using the original effective interest rate. Any changes are recognised in profit or loss.

Interest income

Interest income is calculated by applying the effective interest rate to the gross carrying amount of financial assets, except for:

a. POCI financial assets, for which the original credit-adjusted effective interest rate is applied to the amortised cost of the financial asset.
b. Financial assets that are not ‘POCI’ but have subsequently become credit-impaired (or ‘stage 3’), for which interest revenue is calculated by applying the effective interest rate to their amortised cost (i.e. net of the expected credit loss provision).

Initial recognition and measurement

Financial assets and financial liabilities are recognised when the Group becomes a party to the contractual provisions of the instrument. Regular way purchases and sales of financial assets are recognised on trade-date, the date on which the Group commits to purchase or sell the asset.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

h) Financial assets and liabilities (Continued)

Measurement methods (Continued)

Initial recognition and measurement (Continued)

At initial recognition, the Group measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss, transaction costs that are incremental and directly attributable to the acquisition or issue of the financial asset or financial liability, such as fees and commissions. Transaction costs of financial assets and financial liabilities carried at fair value through profit or loss are expensed in profit or loss. Immediately after initial recognition, an expected credit loss allowance (ECL) is recognised for financial assets measured at amortised cost and investments in debt instruments measured at FVOCI, which results in an accounting loss being recognised in profit or loss when an asset is newly originated.

When the fair value of financial assets and liabilities differs from the transaction price on initial recognition, the entity recognises the difference as follows:

a. When the fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e.a Level 1 input) or based on a valuation technique that uses only data from observable markets, the difference is recognised as a gain or loss.
b. In all other cases, the difference is deferred and the timing of recognition of deferred day one profit or loss is determined individually. It is either amortised over the life of the instrument, deferred until the instrument's fair value can be determined using market observable inputs, or realised through settlement.

Classification and subsequent measurement

The Group classifies its financial assets in the following measurement categories:

- Fair value through other comprehensive income (FVOCI); or
- Amortised cost.

The classification requirements for debt and equity instruments are described below:

Debt instruments

Debt instruments are those instruments that meet the definition of a financial liability from the issuer's perspective, such as loans, government and corporate bonds and trade receivables purchased from clients in factoring arrangements without recourse.

Classification and subsequent measurement of debt instruments depend on:

i. the Group's business model for managing the asset; and
ii. the cash flow characteristics of the asset.

Based on these factors, the Group classifies its debt instruments into one of the following two measurement categories:

Amortised cost: Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest ('SPPI'), and that are not designated at FVPL, are measured at amortised cost. The carrying amount of these assets is adjusted by any expected credit loss allowance recognised and measured. Interest income from these financial assets is included in 'Interest and similar income' using the effective interest rate method.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

h) Financial assets and liabilities (Continued)

Measurement methods (Continued)

Debt instruments (Continued)

Fair value through other comprehensive income (FVOCI): Financial assets that are held for collection of contractual cash flows and for selling the assets, where the assets' cash flows represent solely payments of principal and interest, and that are not designated at FVPL, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses on the instrument's amortised cost which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in Net Investment income'. Interest income from these financial assets is included in 'Interest income' using the effective interest rate method.

Business model: the business model reflects how the Group manages the assets in order to generate cash flows. That is, whether the Group's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets. If neither of these is applicable (e.g. financial assets are held for trading purposes), then the financial assets are classified as part of 'other' business model and measured at FVPL. Factors considered by the Group in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel, how risks are assessed and managed and how managers are compensated.

SPPI: Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group assesses whether the financial instruments' cash flows represent solely payments of principal and interest (the `SPPI test'). In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement i.e., interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

The Group reclassifies debt investments when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change. Such changes are expected to be very infrequent, and none occurred during the period.

Equity instruments

Equity instruments are instruments that meet the definition of equity from the issuer's perspective; that is, instruments that do not contain a contractual obligation to pay and that evidence a residual interest in the issuer's net assets.

The Group subsequently measures all equity investments at fair value through profit or loss, except where the Group's management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income. The Group's policy is to designate equity investments as FVOCI when those investments are held for purposes other than to generate investment returns. When this election is used, fair value gains and losses are recognised in OCI and are not subsequently reclassified to profit or loss, including on disposal. Impairment losses (and reversal of impairment losses) are not reported separately from other changes in fair value. Dividends, when representing a return on such investments, continue to be recognised in profit or loss as other income when the Group's right to receive payments is established.

Gains and losses on equity investments at FVPL are included in the Net trading income' line in the statement of profit or loss.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

h) Financial assets and liabilities (Continued)

(ii) Impairment

The Group assesses on a forward-looking basis the expected credit losses ('ECL') associated with its debt instrument assets carried at amortised cost and FVOCI and with the exposure arising from loan commitments and financial guarantee contracts. The Group recognises a loss allowance for such losses at each reporting date. The measurement of ECL reflects:

- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- The time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

Note 4.1.2 provides more detail of how the expected credit loss allowance is measured.

(iii) Modification of loans

The Group sometimes renegotiates or otherwise modifies the contractual cash flows of loans to customers. When this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the borrower is in financial difficulty, whether the modification merely reduces the contractual cash flows to amounts the borrower is expected to be able to pay.
- Whether any substantial new terms are introduced, such as a profit share/equity-based return that substantially affects the risk profile of the loan.
- Significant extension of the loan term when the borrower is not in financial difficulty.
- Significant change in the interest rate.
- Change in the currency the loan is denominated in.
- Insertion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan.

If the terms are substantially different, the Group derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a new effective interest rate for the asset. The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for the purpose of determining whether a significant increase in credit risk has occurred.

However, the Group also assesses whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments. Differences in the carrying amount are also recognised in profit or loss as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original effective interest rate (or credit-adjusted effective interest rate for purchased or originated credit-impaired financial assets).

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

h) Financial assets and liabilities (Continued)

(iv) Derecognition other than on a modification

Financial assets, or a portion thereof, are derecognised when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) the Group transfers substantially all the risks and rewards of ownership, or (ii) the Group neither transfers nor retains substantially all the risks and rewards of ownership and the Group has not retained control.

The Group enters into transactions where it retains the contractual rights to receive cash flows from assets but assumes a contractual obligation to pay those cash flows to other entities and transfers substantially all of the risks and rewards. These transactions are accounted for as 'pass through' transfers that result in derecognition if the Group:

i. Has no obligation to make payments unless it collects equivalent amounts from the assets;
ii. Is prohibited from selling or pledging the assets; and
iii. Has an obligation to remit any cash it collects from the assets without material delay.

Collateral (shares and bonds) furnished by the Group under standard repurchase agreements and securities lending and borrowing transactions are not derecognised because the Group retains substantially all the risks and rewards on the basis of the predetermined repurchase price, and the criteria for derecognition are therefore not met. This also applies to certain securitisation transactions in which the Group retains a subordinated residual interest.

Financial liabilities

(i) Classification and subsequent measurement

In both the current and prior period, financial liabilities are classified as subsequently measured at amortised cost, except for:

- Financial liabilities at fair value through profit or loss: this classification is applied to derivatives. Gains or losses on derivatives are recognised in profit or loss.;
- Financial liabilities arising from the transfer of financial assets which did not qualify for derecognition, whereby a financial liability is recognised for the consideration received for the transfer. In subsequent periods, the Group recognises any expense incurred on the financial liability; and
- Financial guarantee contracts and loan commitments.

(ii) Derecognition

Financial liabilities are derecognised when they are extinguished (i.e. when the obligation specified in the contract is discharged, cancelled or expires). The exchange between the Group and its original lenders of debt instruments with substantially different terms, as well as substantial modifications of the terms of existing financial liabilities, are accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

In addition, other qualitative factors, such as the currency that the instrument is denominated in, changes in the type of interest rate, new conversion features attached to the instrument and change in covenants are also taken into consideration. If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment. If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

h) Financial assets and liabilities (Continued)

Financial guarantee contracts and loan commitments

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument. Such financial guarantees are given to banks, financial institutions and others on behalf of customers to secure loans, overdrafts and other banking facilities.

Financial guarantee contracts are initially measured at fair value and subsequently measured at the higher of:

- The amount of the loss allowance; and
- The premium received on initial recognition less income recognised in accordance with the principles of IFRS 15.

Loan commitments provided by the Group are measured as the amount of the loss allowance. The Group has not provided any commitment to provide loans at a below-market interest rate, or that can be settled net in cash or by delivering or issuing another financial instrument.

For loan commitments and financial guarantee contracts, the loss allowance is recognised as a provision. However, for contracts that include both a loan and an undrawn commitment and the Group cannot separately identify the expected credit losses on the undrawn commitment component from those on the loan component, the expected credit losses on the undrawn commitment are recognised together with the loss allowance for the loan. To the extent that the combined expected credit losses exceed the gross carrying amount of the loan, the expected credit losses are recognised as a provision.

(i) Cash and cash equivalents

Cash and cash equivalents comprise balances with less than three months maturity from the date of acquisition, including: notes and coins on hand, unrestricted balances deposited with the National Bank of Rwanda and highly liquid assets, subject to insignificant risk of changes in their fair value.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

(j) Foreign exchange forward and spot contracts

Foreign exchange forward and spot contracts are classified as held for trading. They are marked to market and are carried at their fair value. Fair values are obtained from discounted cash flow models which are used in the determination of the foreign exchange forward and spot contract rates. Gains and losses on foreign exchange forward and spot contracts are included in foreign exchange income as they arise. The Group uses Rwanda's national currency, Rwanda Franc (FRw) as both functional and presentation currency.

i) Income tax expense

The income tax expense or credit for the period is the tax payable on the current period's taxable income based on the applicable income tax rate for each jurisdiction adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period in the countries where the company and its subsidiaries and associates operate and generate taxable income. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

(j) Foreign exchange forward and spot contracts (Continued)

i) Income tax expense (Continued)

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred income tax is also not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

The deferred tax liability in relation to investment property that is measured at fair value is determined assuming the property will be recovered entirely through sale.

Deferred tax assets are recognised only if it is probable that future taxable amounts will be available to utilise those temporary differences and losses.

Deferred tax liabilities and assets are not recognised for temporary differences between the carrying amount and tax bases of investments in foreign operations where the company is able to control the timing of the reversal of the temporary differences and it is probable that the differences will not reverse in the foreseeable future.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Current and deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

k) Fiduciary assets

The Group provides trust and other fiduciary services such as nominee or agent that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity and income arising from related undertakings to return such assets to customers are not reported in the financial statements, as they are not the assets of the Group.

l) Intangible assets

The Group's intangible assets currently only comprise computer software.

An intangible asset is recognised only when its cost can be measured reliably, and it is probable that the expected future economic benefits that are attributable to it will flow to the Group.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

m) Intangible assets

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end.

Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates and accounted for prospectively. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit or loss and other comprehensive income in the expense category consistent with the function of the intangible asset.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

Computer software	5 years

There are no intangible assets with indefinite useful lives.

n) Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Group's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the Group. Dividends for the year that are approved after the statement of financial position date are disclosed as an event after the reporting date.

o) Employee benefits

Retirement benefit costs

The Group contributes to a statutory defined contribution pension scheme, the Rwanda Social Security Board (RSSB). Contributions are determined by local statute and are currently limited to 5% of the employees' gross salary. The company's RSSB contributions are charged to the statement of profit or loss and other comprehensive income in the period to which they relate.

Short-term benefits

Short term benefits consist of salaries, bonuses and any non-monetary benefits such as medical aid contributions and transport allowance. Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A provision is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

p) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are disclosed as contingent liabilities. Estimates of the outcome and the financial effect of contingent liabilities is made by management based on the information available up to the date that the financial statements are approved for issue by the directors.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

q) Earnings per share

Basic and diluted earnings per share (EPS) data for ordinary shares are presented in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

r) Benefits, claims and expenses recognition

Gross benefits and claims

Insurance claims include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries, and any adjustments to claims outstanding from previous years.

Reinsurance claims

Reinsurance claims are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

s) Reinsurance

The Group cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the company will receive from the reinsurer. The impairment loss is recorded in the statement of comprehensive income.

Gains or losses on buying reinsurance are recognised in the statement of profit or loss immediately at the date of purchase and are not amortised. Ceded reinsurance arrangements do not relieve the Group from its obligations to policyholders.

The Group also assumes reinsurance risk in the normal course of business for insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be if the reinsurance were considered direct business, taking into account the product classification of the reinsured business. Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.
Reinsurance-related assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

Reinsurance contracts that do not transfer significant insurance risk are accounted for directly through the statement of financial position. These are deposit assets or financial liabilities that are recognised based on the consideration paid or received less any explicit identified premiums or fees to be retained by the reinsured. Investment income on these contracts is accounted for using the effective interest rate method when accrued.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

q) Earnings per share (Continued)

Insurance-related assets are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance-related assets are measured at amortised cost, using the effective interest rate method. The carrying value of insurance-related assets is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the statement of comprehensive income. Management considers the receivable to be impaired in line with the policy set out in 4.1.2.

Insurance-related assets are derecognised when the derecognition criteria for financial assets have been met.

t) Insurance contract liabilities

Insurance contract liabilities include the outstanding claims provision, the provision for unearned premium and the provision for premium deficiency. The outstanding claims provision is based on the estimated ultimate cost of all claims incurred but not settled at the reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. No provision for equalisation or catastrophe reserves is recognised. The liabilities are derecognised when the obligation to pay a claim expires, is discharged or is cancelled.

The provision for unearned premiums represents that portion of premiums received or receivable that relates to risks that have not yet expired at the reporting date. The provision is recognised when contracts are entered into and premiums are charged and is brought to account as premium income over the term of the contract in accordance with the pattern of insurance service provided under the contract.

At each reporting date, the Group reviews its unexpired risk, and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and deferred acquisition costs over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums (less related deferred acquisition costs) is inadequate, the deficiency is recognised in the statement of comprehensive income.

u) Insurance payables

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Derecognition insurance payables

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

v) Share-based payments

Estimating fair value for share-based payment transactions requires determination of the most appropriate valuation model, which depends on the terms and conditions of the grant. This estimate also requires

determination of the most appropriate inputs to the valuation model including the expected life of the share option or appreciation right, volatility and dividend yield and making assumptions about them for cash-settled share-based payment transactions, the liability needs to be remeasured at the end of each reporting period up to the date of settlement, with any changes in fair value recognised in profit or loss. This requires a reassessment of the estimates used at the end of each reporting period. For the measurement of the fair value of equity-settled transactions with employees at the grant date.

2. Summary of significant accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

New and amended standards and interpretations (Continued)

w) Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

3. Critical accounting estimates and judgements

The preparation of financial statements requires the use of accounting estimates which, by definition, will seldom equal the actual results. The directors also need to exercise judgement in applying the Group's accounting policies.

This note provides an overview of the areas that involve a higher degree of judgement or complexity, and major sources of estimation uncertainty that have a significant risk of resulting in a material adjustment within the next financial year. Detailed information about each of these estimates and judgements is included in the related notes together with information about the basis of calculation for each affected line item in the financial statements.

i) Critical judgements in determining the lease term

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

For leases of branch network, management considered the following:
With the transformation project having commenced, the business model for the bank subsidiary will be impacted and projecting beyond a five-year planning period has uncertainties as to the Group exercising its extension options.

As at 31 December 2022, potential future cash outflows of FRw 13.4 billion (undiscounted) have not been included in the lease liability because it is not reasonably certain that the leases will be extended (or not terminated).

The lease term is reassessed if an option is actually exercised (or not exercised) or the Group becomes obliged to exercise (or not exercise) it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the lessee. During the current financial year, the financial effect of revising lease term by a further five years to reflect the effect of exercising extension options would be an increase in recognised lease liabilities and right-of-use assets of FRw 9.6 billion.

ii) Measurement of the expected credit loss allowance

The measurement of the expected credit loss allowance for financial assets measured at amortised cost is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses). Explanation of the inputs, assumptions and estimation techniques used in measuring ECL is further detailed in note 4.1.2, which also sets out key sensitivities of the ECL to changes in these elements.

3. Critical accounting estimates and judgements (continued)

ii) Measurement of the expected credit loss allowance (continued)

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL; and
- Establishing groups of similar financial assets for the purposes of measuring ECL.

Detailed information about the judgements and estimates made by the Group in the above areas is set out in note 4.1.2

4. Financial risk management

The following section discusses the Group's risk management policies. The measurement of ECL under IFRS 9 uses the information and approaches that the Group uses to manage credit risk, though certain adjustments are made in order to comply with the requirements of IFRS 9. The approach taken for IFRS 9 measurement purposes is discussed separately in note 4.1.2.

4.1. Credit risk

Credit risk is the risk of suffering financial loss, should any of the Group's customers, clients or market counterparties fail to fulfil their contractual obligations to the Group. Credit risk arises mainly from interbank, commercial and consumer loans and advances, and loan commitments arising from such lending activities, but can also arise from credit enhancement provided, such as credit derivatives (credit default swaps), financial guarantees, letters of credit, endorsements and acceptances.

The Group is also exposed to other credit risks arising from investments in debt securities and other exposures arising from its trading activities ('trading exposures') including non-equity trading portfolio assets and derivatives as well as settlement balances with market counterparties and reverse repurchase agreements. Credit risk is the single largest risk for the Group's business; the directors therefore carefully manage its exposure to credit risk. The credit risk management and control are centralised in a credit risk management team which reports regularly to the Board of Directors.

(a) Loans and advances (including loan commitments and guarantees)

The estimation of credit exposure for risk management purposes is complex and requires the use of models, as the exposure varies with changes in market conditions, expected cash flows and the passage of time. The assessment of credit risk of a portfolio of assets entails further estimations as to the likelihood of defaults occurring, of the associated loss ratios and of default correlations between counterparties. The Group measures credit risk using Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD). This is similar to the approach used for the purposes of measuring Expected Credit Loss (ECL) under IFRS 9. Refer to note 4.1.2 for more details.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.1. Credit risk management

Other than the change in credit risk rating for significant corporate exposures, there were no other material changes to the policies and practices for the management of credit risk in 2022. We continued to apply the requirements of IFRS 9 'Financial Instruments' within Credit Risk.

We have established Group-wide credit risk management and related IFRS 9 processes. We continue to assess actively the impact of economic developments in key markets on specific customers, customer segments or portfolios. As credit conditions change, we take mitigating action, including the revision of risk appetites or limits, adjustment of interest rates and tenors, as appropriate. In addition, we continue to evaluate the terms under which we provide credit facilities within the context of individual customer requirements, the quality of the relationship, market practices and our local regulatory requirements.

Credit risk grading

The group grades its significant corporate exposures based on the internal rating below .For SME and retail exposures the group uses the National Bank of Rwanda (BNR) credit risk grading to reflect its assessment of the probability of default of retail counterparties. The facilities are rated as either performing, watch, substandard, doubtful or loss, based on the number of days overdue. The classification criteria are as follows:

Performing

These are credit facilities which are up to date in payments. Where there are no fixed payments, these are facilities that are operating within their approval limits and are unexpired.

Internal credit rating

Rating Grid	Rating	Description	Rating score
1	AAA	Exceptional Credit	[90-100]
2	AA	Superior credit	[80-90]
3	A	Minimal Risk	[70-80]
4	BBB	Above Average Risk	[60-70]
5	BB	Average Risk	[55-60]
6	B	Acceptable Risk	[50-55]
7	CCC	Watch list	[40-50]
8	CC	Substandard Risk	[30-40]
9	C	Doubtful Risk	[20-30]
10	D	Loss	[0-20]

Watch

These are credit facilities where principal or interest is due and unpaid for 30 days to 89 days, or for facilities with no fixed payments, the approval limit has been exceeded by 30 days to 89 days, or the credit line has expired for more than 30 days to 89 days.

Substandard

These are loan balances due for 90 days but less than 180 days. They are also those credit facilities that display well-defined credit weaknesses that jeopardize the liquidation of the debt such as inadequate cash flow to service the debt, undercapitalized or insufficient working capital, absence of adequate financial information or security documentation and irregular payment of principal or interest.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.1. Credit risk management (continued)

Doubtful

These are loan balances that are more than 180 days but less than 365 days overdue. They are also those credit facilities which, in addition to the weaknesses existing in substandard credits, have deteriorated to the extent that full repayment is unlikely or that realizable security values will be insufficient to cover the Group's exposure.

Loss

These are loans that are more than 365 days overdue. These are also those credit facilities that are considered uncollectable, or which may have some recovery value, but it is not considered practicable nor desirable to defer write off. They are also accounts classified as "Doubtful" with little or no improvement over the period it has been classified as such.

The credit grades are calibrated such that the risk of default increases exponentially at each higher risk grade. Once a facility is classified as substandard, the probability of default reaches 100%.

The table below shows the link between the regulator risk classifications and the IFRS 9 stage allocation for assets for the Group;

National Bank of Rwanda Guidelines	Days past due	Stage allocation
Normal	0-29	1
Watch	30-89	2
Sub-standard	90-179	3
Doubtful	180-364	3
Loss	Over 364 or considered uncollectible	3

For debt securities in the Treasury portfolio, external rating agency credit grades are used. These published grades are continuously monitored and updated. The PD's associated with each grade are determined based on realised default rates over the prior 12 months, as published by the rating agency.

The rating methods are subject to an annual validation and recalibration so that they reflect the latest projections in the light of all actually observed defaults.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.2. Expected credit loss measurement

IFRS 9 outlines a 'three-stage' model for impairment based on changes in credit quality since initial recognition as summarised below:

- A financial instrument that is not credit-impaired on initial recognition is classified in 'Stage 1' and has its credit risk continuously monitored by the Group.
- If a significant increase in credit risk ('SICR') since initial recognition is identified, the financial instrument is moved to 'Stage 2' but is not yet deemed to be credit impaired. Please refer to note 4.1.2.1 for a description of how the Group determines when a significant increase in credit risk has occurred.
- If the financial instrument is credit-impaired, the financial instrument is then moved to 'Stage 3'. Please refer to note 4.1.3 for a description of how the Group defines credit-impaired and default.
- Financial instruments in Stage 1 have their ECL measured at an amount equal to the portion of lifetime expected credit losses that result from default events possible within the next 12 months. Instruments in Stages 2 or 3 have their ECL measured based on expected credit losses on a lifetime basis. Please refer to note 4.1.4 for a description of inputs, assumptions and estimation techniques used in measuring the ECL.
- A pervasive concept in measuring ECL in accordance with IFRS 9 is that it should consider forward-looking information. Note 4.1.5 includes an explanation of how the Group has incorporated this in its ECL models.
- Purchased or originated credit-impaired financial assets are those financial assets that are credit-impaired on initial recognition. Their ECL is always measured on a lifetime basis (Stage 3).

The following diagram summarises the impairment requirements under IFRS 9 (other than purchased or originated credit-impaired financial assets):

Change in credit quality since initial recognition		
Stage 1	Stage 2	Stage 3
(Initial recognition)	(Significant increase in credit risk since initial recognition)	(Credit-impaired assets)
12-month expected credit losses	Lifetime expected credit losses	Lifetime expected credit losses

The key judgements and assumptions adopted by the Group in addressing the requirements of the standard are discussed below:

4.1.2.1. Significant increase in credit risk (SICR)

The Group in determining whether the credit risk (i.e., risk of default) on a financial instrument has increased significantly since initial recognition considered reasonable and supportable information that is relevant and available without undue cost or effort, including both quantitative and qualitative information and analysis based on the Bank's historical experience, expert credit assessment and forward-looking information.

The Group identifies a significant increase in credit risk where

- Exposures have a regulatory risk rating of "WATCH"
- An exposure is greater than 30 days this is in line with the IFRS 9 30 DPD rebuttable presumption;
- an exposure has been restructured in the past due to credit risk related factors or which was NPL and is now regular (subject to the regulatory cooling off period);or
- by comparing an exposure:
  - » credit risk quality at the date of reporting; with
  - » the credit risk quality on initial recognition of the exposure.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.2 Expected credit loss measurement (continued)

4.1.2.1. Significant increase in credit risk (SICR) (continued)

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

The Company has not followed an overall blanket approach to the ECL impact of COVID-19 (where COVID-19 is seen as a significant increase in credit risk (SICR) trigger that will result in the entire portfolio of advances moving into their respective next staging bucket). With the Bank undertaking loan restructures on 45% of the loan book (see the section “Restructuring” below), the Bank incorporated qualitative factors to assess significant increase in credit risk on these loans as below:

- All loans whose business activity, in our assessment, was significantly lower than the pre-COVID period as at 31 December 2021, was considered to have a significant increase in credit risk and downgraded to Stage 2.
- Loans in high-risk industry segments (see the section “Restructuring” below) were assessed for significant increase in credit risk.

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

Generally, restructuring is a qualitative indicator of default and credit impairment, and expectations of restructuring are relevant to assessing whether there is a significant increase in credit risk. Following restructuring, a customer needs to demonstrate consistently good payment behaviour over a period of time before the exposure is no longer considered to be in default/credit-impaired or the PD is considered to have decreased such that the loss allowance reverts to being measured at an amount equal to 12-month ECLs.

4.1.2.1. Expected credit loss measurement (continued)

However, on the onset of the COVID-19 pandemic, the impact of the containment measures on the economy made it imperative for the Bank to support its customers. The Bank’s view is that the economic impacts of the pandemic will be felt for a period of three to five years before there is full recovery. The Bank therefore accommodated its customers to cushion them from the economic downturn by rescheduling their loan facilities for a period of 6 months to 36 months. The length of the period of accommodation depended on the impact of the pandemic on the industry in which the customer operates. The Bank segregated the loan book into low risk, medium risk and high risk based on the industry. For example, Agriculture was rated as low risk, Mining as medium risk and Tourism and Hospitality and Real Estate as High Risk. The Bank then accommodated for different periods depending on the level of risk.

The assessment of SICR incorporates forward-looking information (refer to note 4.1.10 for further information) and is performed on a monthly basis at a portfolio level for all financial instruments held by the Group. The criteria used to identify SICR are monitored and reviewed periodically for appropriateness by the independent Credit Risk team.

Backstop

A backstop is applied, and the financial instrument considered to have experienced a significant increase in credit risk if the borrower is more than 30 days past due on its contractual payments.

The Group has not used the low credit risk exemption for any financial instruments in the year ended 31 December 2022.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) and advances (including loan commitments and guarantees) (continued)

4.1.3 Definition of default and credit-impaired assets

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

Quantitative criteria

The borrower is more than 90 days past due on its contractual payments.

Qualitative criteria

The borrower meets unlikeliness to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:

- The borrower is in long-term forbearance
- The borrower is deceased
- The borrower is insolvent
- The borrower is in breach of financial covenant(s)
- An active market for that financial asset has disappeared because of financial difficulties
- Concessions have been made by the lender relating to the borrower's financial difficulty
- It is becoming probable that the borrower will enter bankruptcy

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to model the Probability of Default (PD), Exposure at Default (EAD) and Loss given Default (LGD) throughout the Group's expected loss calculations.

An instrument is considered to no longer be in default (i.e., to have cured) when it no longer meets any of the default criteria for a consecutive period of six months. This period of six months has been determined based on an analysis which considers the likelihood of a financial instrument returning to default status after cure using different possible cure definitions.

4.1.4. Measuring ECL — Explanation of inputs, assumptions and estimation techniques

The Expected Credit Loss (ECL) is measured on either a 12-month (12M) or Lifetime basis depending on whether a significant increase in credit risk has occurred since initial recognition or whether an asset is considered to be credit-impaired. Expected credit losses are the discounted product of the Probability of Default (PD), Exposure at Default (EAD), and Loss Given Default (LGD), defined as follows:

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.4. Measuring ECL — Explanation of inputs, assumptions and estimation techniques (continued)

- The PD represents the likelihood of a borrower defaulting on its financial obligation (as per "Definition of default and credit-impaired" above), either over the next 12 months (12M PD), or over the remaining lifetime (Lifetime PD) of the obligation. PDs have been developed using 36 months of empirical data and to avoid distortions caused by COVID 19 related payment holidays the data used was as at 28 February 2020.
- EAD is based on the amounts the Group expects to be owed at the time of default, over the next 12 months (12M EAD) or over the remaining lifetime (Lifetime EAD). For example, for a revolving commitment, the Group includes the current drawn balance plus any further amount that is expected to be drawn up to the current contractual limit by the time of default, should it occur.
- Loss Given Default (LGD) represents the Group's expectation of the extent of loss on a defaulted exposure. LGD varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support. LGD is expressed as a percentage loss per unit of exposure at the time of default (EAD). LGD is calculated on a 12-month or lifetime basis, where 12-month LGD is the percentage of loss expected to be made if the default occurs in the next 12 months and Lifetime LGD is the percentage of loss expected to be made if the default occurs over the remaining expected lifetime of the loan.
- The ECL is determined by projecting the PD, LGD and EAD for each future month and for each individual exposure or collective segment. These three components are multiplied together and adjusted for the likelihood of survival (i.e. the exposure has not prepaid or defaulted in an earlier month).

This effectively calculates an ECL for each future month, which is then discounted back to the reporting date and summed. The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof.

The Lifetime PD is developed by applying a maturity profile to the current 12M PD. The maturity profile looks at how defaults develop on a portfolio from the point of initial recognition throughout the lifetime of the loans. The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and credit grade band. This is supported by historical analysis.

The 12-month and lifetime EADs are determined based on the expected payment profile, which varies by product type.

- For amortising products and bullet repayment loans, this is based on the contractual repayments owed by the borrower over a 12month or lifetime basis. This will also be adjusted for any expected overpayments made by a borrower.
- For revolving products, the exposure at default is predicted by taking current drawn balance and adding a "credit conversion factor" which allows for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type and current limit utilisation band, based on analysis of the Group's recent default data.
- The 12-month and lifetime LGDs are determined based on the factors which impact the recoveries made post default. These vary by product type.
- For secured products, this is primarily based on collateral type and projected collateral values, historical discounts to market/book values due to forced sales, time to repossession and recovery costs observed.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.4. Measuring ECL — Explanation of inputs, assumptions and estimation techniques (continued)

For unsecured products, LGD's are typically set at product level due to the limited differentiation in recoveries achieved across different borrowers. These LGD's are influenced by collection strategies, including contracted debt sales and price.

Forward-looking economic information is also included in determining the 12-month and lifetime PD, EAD and LGD. These assumptions vary by product type. Refer to note 4.1.2.4 for an explanation of forward-looking information and its inclusion in ECL calculations.

The assumptions underlying the ECL calculation — such as how the maturity profile of the PDs and how collateral values change etc. — are monitored and reviewed on a quarterly basis.
There have been no significant changes in estimation techniques or significant assumptions made during the reporting period.

This effectively calculates an ECL for each future month, which is then discounted back to the reporting date and summed. The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof.

The Lifetime PD is developed by applying a maturity profile to the current 12M PD. The maturity profile looks at how defaults develop on a portfolio from the point of initial recognition throughout the lifetime of the loans. The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and credit grade band. This is supported by historical analysis.

The 12-month and lifetime EADs are determined based on the expected payment profile, which varies by product type.

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- For revolving products, the exposure at default is predicted by taking current drawn balance and adding a "credit conversion factor" which allows for the expected drawdown of the remaining limit by the time of default. These assumptions vary by product type and current limit utilisation band, based on analysis of the Group's recent default data.
- The 12-month and lifetime LGDs are determined based on the factors which impact the recoveries made post default. These vary by product type.
- For secured products, this is primarily based on collateral type and projected collateral values, historical discounts to market/ book values due to forced sales, time to repossession and recovery costs observed.
- For unsecured products, LGD's are typically set at product level due to the limited differentiation in recoveries achieved across different borrowers. These LGD's are influenced by collection strategies, including contracted debt sales and price.

Forward-looking economic information is also included in determining the 12-month and lifetime PD, EAD and LGD. These assumptions vary by product type. Refer to note 4.1.2.4 for an explanation of forward-looking information and its inclusion in ECL calculations.
The assumptions underlying the ECL calculation — such as how the maturity profile of the PDs and how collateral values change etc. — are monitored and reviewed on a quarterly basis.
There have been no significant changes in estimation techniques or significant assumptions made during the reporting period.

4.1.5. Forward-looking information incorporated in the ECL models

The assessment of SICR and the calculation of ECL both incorporate forward-looking information. The Group has performed historical analysis and identified the key economic variables impacting credit risk and expected credit losses for each portfolio.

These economic variables and their associated impact on the PD, EAD and LGD vary by financial instrument. Expert judgment has also been applied in this process. Forecasts of these economic variables (the "base economic scenario").

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.5. Forward-looking information incorporated in the ECL models (continued)

The impact of these economic variables on the PD, EAD and LGD has been determined by performing statistical regression analysis to understand the impact changes in these variables have had historically on default rates and on the components of LGD and EAD.

In addition to the base economic scenario, the Group's credit team also provide other possible scenarios along with scenario weightings. The three scenarios and their attributes are reassessed at each reporting date. At 31 December 2021, the Group concluded that three scenarios appropriately captured non-linearities. The scenario weightings are determined by a combination of statistical analysis and expert credit judgement, taking account of the range of possible outcomes each chosen scenario is representative of. The assessment of SICR is performed using the Lifetime PD under each of the base, and the other scenarios, multiplied by the associated scenario weighting, along with qualitative and backstop indicators (see note 4.1.7.1). This determines whether the whole financial instrument is in Stage 1, Stage 2, or Stage 3 and hence whether 12-month or lifetime ECL should be recorded. Following this assessment, the Group measures ECL as either a probability weighted 12-month ECL (Stage 1), or a probability weighted lifetime ECL (Stages 2 and 3). This probability weighted ECLs are determined by running each scenario through the relevant ECL model and multiplying it by the appropriate scenario weighting (as opposed to weighting the inputs).

Economic variable assumptions

The most significant period-end assumptions used for the ECL estimate as at 31 December 2022 are set out below. The scenarios "base", "upside" and "downside" were used for all portfolios.

	Base scenario		Upside		Downside	
Macroeconomic factors	Next 12 months	Remaining forecast period	Next 12 months	Remaining forecast period	Next 12 months	Remaining forecast period
Domestic GDP	3.3%	5.4%	6.6%	6.6%	-0.2%	3.9%
Interest rates	16.6%	15.6%	16.9%	15.9%	16.1%	15.1%
Inflation	121	113	115	107	126	118

The most significant period-end assumptions used for the ECL estimate 31 December 2021 are set out below. The scenarios "base", "upside" and "downside" were used for all portfolios.

	Base scenario		Upside		Downside	
Macroeconomic factors	Next 12 months	Remaining forecast period	Next 12 months	Remaining forecast period	Next 12 months	Remaining forecast period
Domestic GDP	5.3%	5.4%	6.6%	6.6%	-0.2%	3.9%
Interest rates	16.6%	15.6%	16.9%	15.9%	16.1%	15.1%
Inflation	121	113	115	107	126	118

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.5. Forward-looking information incorporated in the ECL models (continued)

The weightings assigned to each economic scenario at 31 December were as follows:

	Base %	Upside %	Downside %
As at 31 December 2022			
Scenario probability weighting	66.0%	0%	34%
As at 31 December 2021			
Scenario probability weighting	66.0%	0%	34%

Other forward-looking considerations not otherwise incorporated within the above scenarios, such as the impact of any regulatory, legislative or political changes, have also been considered, but are not deemed to have a material impact and therefore no adjustment has been made to the ECL for such factors. This is reviewed and monitored for appropriateness on a quarterly basis.

The weights of Base and Upside have decreased/increased slightly reflecting the small change in dispersion in the scenarios. The impact on ECL is immaterial.

4.1.6. Sensitivity analysis

The most significant assumptions affecting the ECL allowance are as follows:

i. Collateral haircuts, and
ii. Period to recovery of collateral

Set out below are the changes to the ECL as at 31 December 2022 that would result from reasonably possible changes in these parameters from the actual assumptions used in the Group's economic variable assumptions.

Time to realisation: The directors have assumed a time to realisation of 3 years both for commercial properties and residential properties. If time to realisation increased to 4 years, overall ECL would increase in the range of FRw 1.7 billion and FRw 2 billion.

Collateral haircuts: The directors have assumed collateral haircuts of 50% for commercial and 30% for residential properties. If haircuts were further adjusted by 10% the overall ECL would increase/reduce in the range of FRw 2.4 billion and FRw 3 billion.

4.1.2.7. Credit risk exposure

4.1.7.1. Maximum exposure to credit risk — Financial instruments subject to impairment

The following tables contain an analysis of the credit risk exposure of financial instruments for which an ECL allowance is recognised.

The gross carrying amount of financial assets below also represents the Group's maximum exposure to credit risk on these assets.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.2.7. Credit risk exposure (continued)

4.1.7.1. Maximum exposure to credit risk — Financial instruments subject to impairment (continued)

ECL determination for government securities, due from other banks

Government securities and due from other banks are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months' expected losses. Management consider 'low credit risk for these financial assets as they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term. The loss rate assigned to these has been determined to be 0.57% and 0.17% respectively which is the probability of default assigned to a B+ sovereign rating and investment grade by Standard & Poors rating agency.

	Corporate				
	2022				2021
	Stage 1 12 month ECL	ECL staging Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Normal	928,506,397	-	-	928,506,397	717,211,919
Watch	-	112,823,457	-	112,823,457	187,924,579
Default	-	-	28,751,876	28,751,876	53,790,713
Gross carrying amount	**(3,540,526)**	**(2,022,297)**	**(586,193)**	**(6,149,016)**	**(2,235,213)**
Expected credit loss	924,965,871	110,801,160	28,165,683	1,063,932,714	956,691,998
ERF Discount	**(11,466,342)**	**(29,867,488)**	**(22,233,045)**	**(63,566,875)**	**(67,727,698)**
Carrying amount	**913,500,395**	**80,933,672**	**5,932,637**	**1,000,365,839**	**888,964,300**

	Retail				
	2022				2021
	Stage 1 12 month ECL	ECL staging Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Normal	134,667,838	-	-	134,667,838	96,806,707
Watch	-	4,663,723	-	4,663,723	5,486,861
Default	-	-	10,872,808	10,872,808	14,124,625
Gross carrying amount	**134,667,838**	**4,663,723**	**10,872,808**	**150,204,369**	**116,418,193**
Expected credit loss	(3,269,950)	(763,862)	(12,024,077)	(16,057,889))	(15,115,172) (15,115,172)
ERF Discount	-	-	-	-	-
Carrying amount	**131,397,888**	**3,899,861**	**(1,151,269)**	**134,146,480**	**101,303,021**

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.2.7. Credit risk exposure (continued)

4.1.7.1. Maximum exposure to credit risk — Financial instruments subject to impairment (continued)

	Government securities				
	2022				2021
	Stage 1 12 month ECL	ECL staging Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Normal	218,071,625	-	-	218,071,625	177,689,779
Gross carrying amount	218,071,625	-	-	218,071,625	177,689,779
Expected credit loss	(1,172,589)	-	-	(1,172,589)	(870,851)
Carrying amount	**216,899,036**	**-**	**-**	**216,899,036**	**176,818,928**

	Guarantees and commitments				
	2022				2021
	Stage 1 12 month ECL	ECL staging Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Normal	338,939,331			338,939,331	176,298,845
Watch		8,296,130		8,296,130	246,823
Default			611,505	611,505	428,398
Gross carrying amount	338,939,331	8,296,130	611,505	347,846,967	176,974,065
Loss allowance	(538,221)	(1,111)	(293,282)	(832,613)	(540,754)
Carrying amount	**338,401,111**	**8,295,019**	**318,224**	**347,014,354**	**176,433,311**

	Cash balances with other banks				
	2022				2021
	Stage 1 12 month ECL	ECL staging Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
A	8,790,103	-	-	8,790,103	3,050,505
A-	-	-	-	-	10,422,464
A+	27,444,199	-	-	27,444,199	27,454,518
AA	229,978	-	-	229,978	-
B	-	-	-	-	-
B+	7,142,536	-	-	7,142,536	32,917,453
BB-	5,664,562	-	-	5,664,562	4,040,555
Expected credit loss	(291,671)	-	-	(291,671)	(45,882)
Carrying amount	**48,979,707**	**-**	**-**	**48,979,707**	**77,839,613**

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.2.7. Credit risk exposure (continued)

4.1.7.1. Maximum exposure to credit risk — Financial instruments subject to impairment (continued)

The Expected Credit Losses (ECL) for cash balances with other banks has been arrived at using the below credit ratings for financial institutions:

AA	Very high credit quality with low credit risk
A	High credit quality with low credit risk
A-	Good credit quality with some credit risk
A+	Strong credit quality with low credit risk
BB-	Speculative with substantial credit risk
B	Highly speculative with high credit risk
B+	Highly speculative with high credit risk

Balances with National Bank of Rwanda

	2022				2021
	Stage 1 12 month ECL	ECL staging Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Gross amount	335,093,302	-	-	335,093,302	231,758,146
Expected credit loss	(6,343,095)	-	-	(6,343,095)	-
Carrying amount	**328,750,207**	**-**	**-**	**328,750,207**	**231,758,146**

Receivables arising out of direct insurance arrangements

Weighted average effective interest rate on government securities Held to collect at 31 December 2022 was 12.0 %, (2021:12.4%).

The equity Investment in unquoted entities is recorded at Fair value through other comprehensive income.

	2022	2021
	Frw'000	Frw'000
Premium debtors	3,089,480	4,297,861
Expected credit loss	(149,005)	(87,170)
	2,940,475	**4,210,691**

Movements in the provision for impairment of receivables arising out of direct insurance arrangements are as follows:

	2022	2021
	Frw'000	Frw'000
At start of year	(87,170)	(47,513)
Charge for the year	(61,835)	(39,657)
At end of year	**(149,005)**	**(87,170)**

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.2.7. Credit risk exposure (continued)

4.1.7.1. Maximum exposure to credit risk — Financial instruments subject to impairment (continued)

Other assets

	2022				2021
	Stage 1 12 month ECL	ECL staging Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	
	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
Gross amount	21,554,841	-	-	21,554,841	27,442,877
Expected credit loss	(2,180,591)	-	-	(2,180,591)	(1,632,744)
Carrying amount	**19,374,250**	**-**	**-**	**19,374,250**	**25,810,133**

Information on how the Expected Credit Loss (ECL) is measured and how the three stages above are determined is included in note 4.1.2 'Expected credit loss measurement'.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to external credit ratings (if available) or to historical information about counterparty default rates.

4.1.8. Loss allowance

Below is a transitional table between stages between 1 January 2022 to 31 December 2022:

	31 December 2022			
	Stage 1	Stage 2	Stage 3	Total
	FRw 000	FRw 000	FRw 000	FRw 000
Loss allowance as at 1 January 2022	**11,345,925**	**27,898,273**	**43,598,673**	**82,842,870**
Movements with P&L impact				
Transfers from stage 1 to stage 2	(2,546,291)	2,546,291	-	-
Transfers from stage 2 to stage 1	15,232,908	(15,232,908)	-	-
Transfers to stage 3	(345,759)	(1,456,149)	1,801,908	-
Transfers from stage 3	3,608,994	2,205,686	(5,814,681)	-
ECL on new exposure raised	3,089,321	202,279	1,237,048	4,528,648
Subsequent changes in ECL	(15,648,807)	14,467,878	9,130,115	7,949,186
Net movement to profit or loss	**3,390,367**	**2,733,078**	**6,354,390**	**12,477,835**
Other movements with no P&L impact				
Financial asset derecognised	-	-	(15,695,942)	(15,695,942)
Loss allowance as at 31 December 2022	**14,736,292**	**30,631,351**	**34,257,121**	**79,624,764**

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.8. Loss allowance (continued)

Below is a transitional table between stages between 1 January 2021 to 31 December 2021:

	31 December 2021			
	Stage 1 FRw 000	Stage 2 FRw 000	Stage 3 FRw 000	Total FRw 000
Loss allowance as at 1 January 2021	13,433,727	19,159,983	43,842,081	76,435,791
Movements with P&L impact				
Transfers from stage 1 to stage 2	(1,341,876)	1,341,876	-	-
Transfers from stage 2 to stage 1	(1,756,934)	1,756,934	-	-
Transfers to stage 3	(751,180)	(3,186,500)	3,937,680	-
Transfers from stage 3	2,678,488	2,012,224	(4,690,712)	-
ECL on new exposure raised	1,893,507	920,874	1,745,566	4,559,947
Subsequent changes in ECL	(2,809,807)	5,892,882	20,038,515	23,121,591
Net movement to profit or loss	**(2,087,802)**	**8,738,290**	**21,031,049**	**27,681,537**
Other movements with no P&L impact				
Financial asset derecognised	-	-	(21,274,459)	(21,274,459)
Loss allowance as at 31 December 2021	**11,345,925**	**27,898,273**	**43,598,671**	**82,842,870**

The table below presents the credit quality of financial instruments:

Credit quality	31 December 2022	31 December 2021
Balances with National Bank of Rwanda		
- Counterparty without credit rating	328,750,207	231,758,146
Government securities		
B+	216,796,201	164,115,134
Loans and advances		
Counterparties without credit rating	525,745,986	274,609,060
Insurance receivables		
Counterparties without credit rating	5,576,128	6,517,668
Other assets		
Counterparties without credit rating	19,374,254	25,810,133
Equity instruments		
Counterparties without credit rating	-	-

Collateral and other credit enhancements

The Group employs a range of policies and practices to mitigate credit risk. The most common of these is accepting collateral for funds advanced. The Group has internal policies on the acceptability of specific classes of collateral or credit risk mitigation.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.8. Loss allowance (continued)

Collateral and other credit enhancements (continued)

The Group prepares a valuation of the collateral obtained as part of the loan origination process. This assessment is reviewed periodically. The principal collateral types for loans and advances are:

- Mortgages over residential and commercial properties;
- Charges over business assets such as premises, inventory and accounts receivable;
- Charges over financial instruments such as debt securities and equities; and
- Commitments and letters of undertaking from the Government of Rwanda.

Longer-term finance and lending to corporate entities are generally secured; revolving individual credit facilities are generally unsecured. Collateral held as security for financial assets other than loans and advances depends on the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured. Derivatives are not collateralised. The Group's policies regarding obtaining collateral have not significantly changed during the reporting period and there has been no significant change in the overall quality of the collateral held by the Group since the prior period.

The Bank adopts a conservative approach in the foreclosure of mortgages and considers the foreclosure as a last resort. After all the recovery options have failed, the bank will seek for approval from the Rwanda Development Board (RDB). Once the permit is given to the Bank, a Bailiff is appointed who in turn will begin the auction process. The auction process is open, and anyone is invited to participate.

In the case that there is no outright buyer, the Bank normally considers acquiring the asset, in which case it will hold for a maximum of one year, and this is classified as assets held for sale.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.8. Loss allowance (continued)

Collateral and other credit enhancements (continued)

The Bank closely monitors collateral held for financial assets considered to be credit-impaired, as it becomes more likely that the Bank will take possession of collateral to mitigate potential credit losses. In the case of repossession, the bank recognises the collateral as asset held for sale and derecognises the financial assets within one year. As at 31 December 2022, the Bank did not hold any collaterals re-possessed.

Financial assets that are credit-impaired and related collateral held in order to mitigate potential losses are shown below:

As at 31 December 2022

Corporate	Stage 1	Stage 2	Stage 3	Gross Loans	Impairment allowance	Carrying amount	Fair value of collateral
Overdrafts	80,520,084	3,639,935	4,509,710	88,669,730	(14,937,121)	73,732,609	201,439,713
Treasury loans	36,707,096	4,594,574	735,149	42,036,819	(1,072,251)	40,964,568	78,250,395
Equipment loans	766,427,131	93,503,505	17,152,519	877,083,155	(35,244,434)	841,838,721	941,883,361
Consumer loans	1,794,518	43,218	290,017	2,127,753	(14,714)	2,113,039	-
Mortgage loans	39,517,908	9,019,928	5,477,422	54,015,257	(12,298,355)	41,716,902	70,884,331
	924,966,737	**110,801,160**	**28,164,817**	**1,063,932,714**	**(63,566,875)**	**1,000,365,839**	**1,292,457,800**
Retail							
Overdrafts	1,872,358	3,368	1,816,864	3,692,590	(2,634,922)	1,057,668	149,890,110
Treasury loans	5,736,316	192,927	202,898	6,132,141	(171,009)	5,961,132	14,409,370
Equipment loans	4,634,547	612,700	2,181,420	7,428,667	(71,400)	7,357,268	35,225,872
Consumer loans	67,452,029	1,785,654	4,843,737	74,081,420	(616,877)	73,464,543	403,079
Mortgage loans	54,972,588	2,069,074	1,827,889	58,869,551	(12,563,682)	46,305,869	33,440,159
	134,667,838	**4,663,723**	**10,872,808**	**150,204,369**	**(16,057,890)**	**134,146,480**	**233,368,590**
Total							
Overdrafts	82,392,443	3,643,303	6,326,574	92,362,320	(17,572,043)	74,790,277	351,329,822
Treasury loans	42,443,412	4,787,500	938,047	48,168,959	(1,243,259)	46,925,700	92,659,764
Equipment loans	771,061,677	94,116,206	19,333,939	884,511,823	(35,315,834)	849,195,989	977,109,233
Consumer loans	69,246,547	1,828,871	5,133,754	76,209,172	(631,591)	75,577,581	403,079
Mortgage loans	94,490,496	11,089,002	7,305,311	112,884,808	(24,862,037)	88,022,771	104,324,489
Others	-	-	-	-	-	-	-
Total	**1,059,634,575**	**115,464,882**	**39,037,625**	**1,214,137,082**	**(79,624,764)**	**1,134,512,318**	**1,525,826,387**

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.8. Loss allowance (continued)

Collateral and other credit enhancements (continued)

As at 31 December 2021

Corporate	Stage 1	Stage 2	Stage 3	Gross Loans	Impairment allowance	Carrying amount	Fair value of collateral
Overdrafts	16,337,335	194,704	1,510,585	18,042,624	(16,258,917)	1,783,707	157,920,313
Treasury loans	41,671,614	1,082,681	629,091	43,383,386	(1,167,135)	42,216,251	61,345,038
Equipment loans	601,689,491	134,385,818	32,663,439	768,738,748	(41,461,112)	729,512,849	738,397,177
Consumer loans	2,705,011	73,735	130,107	2,908,853	(16,016)	2,892,837	-
Mortgage loans	81,331,619	23,314,068	19,591,634	124,237,321	(11,922,391)	112,314,930	55,570,352
Others	-	-	-	-	-	-	-
Total	**743,735,070**	**159,051,006**	**54,524,856**	**957,310,932**	**(70,825,571)**	**888,720,574**	**1,013,232,880**
Retail							
Overdrafts	1,878,072	87,606	1,489,683	3,455,360	(2,659,041)	796,319	102,106,684
Treasury loans	8,902,912	49,346	98,313	9,050,571	(172,574)	8,877,997	9,815,811
Equipment loans	146,239	339,898	5,460,070	5,946,207	(72,053)	5,874,154	23,996,226
Consumer loans	36,122,538	2,008,246	3,805,465	41,936,249	(622,524)	41,313,725	274,582
Mortgage loans	49,208,121	2,992,955	3,205,741	55,406,817	(8,491,106)	46,915,710	22,779,780
Others	4,054	-	-	4,054	-	4,054	
	96,261,936	**5,478,051**	**14,059,272**	**115,799,258**	**(12,017,298)**	**103,781,959**	**158,973,083**
Total							
Overdrafts	18,215,407	282,309	3,000,268	21,497,985	(18,917,959)	2,580,026	260,026,997
Treasury loans	50,574,526	1,132,027	727,404	52,433,958	(1,339,709)	51,094,249	71,160,849
Equipment loans	604,070,943	134,725,716	38,123,509	776,920,169	(41,533,165)	735,387,004	762,393,403
Consumer loans	38,827,548	2,081,981	3,935,572	44,845,102	(638,540)	44,206,562	274,582
Mortgage loans	130,539,740	26,307,024	22,797,374	179,644,137	(20,413,497)	156,230,640	78,350,132
Others	4,054	-	-	4,054	-	4,054	-
Total	**839,997,006**	**164,529,057**	**68,584,128**	**1,073,110,190**	**(82,842,869)**	**990,267,321**	**1,172,205,963**

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.8. Loss allowance (continued)

The loss allowance recognised in the period is impacted by a variety of factors, as described below:

- Transfers between Stage 1 and Stages 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit-impaired in the period, and the consequent “step up” (or “step down”) between 12-month and Lifetime ECL;
- Additional allowances for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;
- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Impacts on the measurement of ECL due to changes made to models and assumptions;
- Discount unwind within ECL due to the passage of time, as ECL is measured on a present value basis;
- Foreign exchange retranslations for assets denominated in foreign currencies and other movements; and
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period (see note 5.1.6).

4.1.9. Write-off policy

The Group writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity and (ii) where the Group’s recovery method is foreclosing on collateral and the value of the collateral is such that there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The outstanding contractual amounts of such assets written off during the year ended 31 December 2022 was FRw 15,697,738,497 (2021: FRw 30,787,977,967). The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery.

4.1.10. Modification of financial assets

The Group sometimes modifies the terms of loans provided to customers due to commercial renegotiations, or for distressed loans, with a view to maximising recovery.

Such restructuring activities may include extended payment term arrangements, payment holidays and payment forgiveness. Restructuring policies and practices are based on indicators or criteria which, in the judgement of management, indicate that payment will most likely continue. These policies are kept under continuous review. Restructuring is most commonly applied to term loans.

The risk of default of such assets after modification is assessed at the reporting date and compared with the risk under the original terms at initial recognition, when the modification is not substantial and so does not result in derecognition of the original asset.

The Group monitors the subsequent performance of modified assets. The Group may determine that the credit risk has significantly improved after restructuring, so that the assets are moved from Stage 3 or Stage 2 (Lifetime ECL) to Stage 1 (12-month ECL). This is only the case for assets which have performed in accordance with the new terms for six consecutive months or more.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.10. Modification of financial assets (continued)

However, on the onset of the COVID-19 pandemic, the impact of the containment measures on the economy made it imperative for the group to support its customers. The group's view is that the economic impacts of the pandemic will be felt for a period of three to five years before there is full recovery. The group therefore accommodated its customers to cushion them from the economic downturn by rescheduling their loan facilities for a period of 6 months to 36 months. The length of the period of accommodation depended on the impact of the pandemic on the industry in which the customer operates. The group segregated the loan book into low risk, medium risk and high risk based on the industry. For example, Agriculture was rated as low risk, Mining as medium risk and Tourism and Hospitality and Real Estate as High Risk. The group then accommodated for different periods depending on the level of risk.

4.1.11. Covid 19 impact

Impact on the Bank which is the Major Subsidiary

The impact of the containment measures on the economy made it imperative for the Bank to support its customers. The Bank's view is that the economic impacts of the pandemic will be felt for a period of three to five years before there is full recovery. The Bank therefore accommodated its customers to cushion them from the economic downturn by rescheduling their loan facilities for a period of 6 months to 36 months. The length of the period of accommodation depended on the impact of the pandemic on the industry in which the customer operates. The Bank segregated the loan book into low risk, medium risk and high risk based on the industry. For example, Agriculture was rated as low risk, Mining as medium risk and Tourism and Hospitality and Real Estate as High Risk. The Bank then accommodated for different periods depending on the level of risk. The Bank retained the same risk rating but overall, the situation improved in 2021.

The operating environment remained stable amidst the turbulent dynamics of the year. The impact of COVID-19 strained some sectors in the economy. Despite the impact of the pandemic on some key sectors, and disruption of global trade, the economy sustained minimal disruption due to policies in place by the government to mitigate the impact. The economy continues to recover from the adverse impacts of the COVID-19 pandemic.

At glance, 2022 has been a year of recovery from the surge of the impact of the COVID-19 pandemic that created great instability and high volatility in global capital markets. The government embarked some measures to stabilize the economy and mitigate the impact. The relief covid 19 relief measures instituted by the Central Bank expired on 30th September 2021 as the economic situation returned to normalcy.

Covid Impact on BK General insurance

As the insurance sector was not initially considered an essential service, insurers' operations, which to a large extent require physical interactions, were affected.2022 has been a year of recovery from of the impact of the COVID on Insurance sector as well. The performance was satisfactory, remaining resilient.

4.1.12. Ukraine-Russia war impact

The International Monetary Fund (IMF) has said that the impact of the Russia-Ukraine war is expected to weigh on Rwanda's economic recovery through deterioration in external conditions, including a slower pace of recovery in trading partners and further increases in international food and energy prices. The impact will add to the lingering effects of the pandemic on the economy, and this is a challenge posed to countries around the world.

This was shared in the IMF staff's preliminary findings after virtual discussions with the Rwandan authorities on policies to complete the sixth review under the Policy Coordination Instrument (PCI)."Although the magnitude of the impact is difficult to foresee at this juncture…higher global energy and commodity prices will fuel inflationary pressure and widen the current account deficit further this year. Driven by rising food and global energy prices, in February 2022, year-on-year inflation picked continued to pick up. National Bank of Rwanda said that the country had started experiencing inflation pressures even before the outbreak of the Russia-Ukraine war, much being from imported inflation.

4. Financial risk management (continued)

4.1. Credit risk (continued)

(a) Loans and advances (including loan commitments and guarantees) (continued)

4.1.12. Ukraine-Russia war impact (continued)

"The National Bank of Rwanda should stand ready to take appropriate action to contain second-round effects of higher imported prices on inflation while also considering the evolving outlook for growth," IMF staff observed.

"Exchange rate flexibility should be allowed to mitigate the impact of rising oil and food prices on the current account and safeguard reserves. Interventions in the foreign exchange market should be limited to minimise excessive exchange rate volatility."

Currently, the central bank says that Rwanda's reserves are equivalent to 5.3 months of imports, well above the IMF's threshold of three months.

The Group has not quantified the effect of Ukraine-Russia impact on credit risk in 2022. With guidance from central Bank, the Group will assess its impact and any effect will be considered in 2023.

4.1.13. Concentration of credit risk

Concentrations of credit risk arise when a number of counterparties or exposures have comparable economic characteristics, or such counterparties are engaged in similar activities or operate in the same geographical areas or industry sectors so that their collective ability to meet contractual obligations is uniformly affected by changes in economic, political or other conditions. We use a number of controls and measures to minimise undue concentration of exposure in our two client segments. These include portfolio and counterparty limits, approval and review controls.

The Group monitors concentrations of credit risk by sector. An analysis of concentrations of credit risk at the reporting date is shown below:

	31 December 2022		31 December 2021	
	FRw'000	%age	FRw'000	%age
Large Corporate	911,274,882	75.1%	818,045,459	76.4%
SMEs	137,272,914	11.3%	131,345,474	12.2%
Non-Business Activities	15,384,918	1.3%	7,920,000	0.7%
Retail Banking	150,204,369	12.4%	115,799,257	10.8%
Gross loans	**1,214,137,083**	**100.0%**	**1,073,110,190**	**100.0%**

4. Financial risk management (continued)

4.2. Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations from its financial liabilities. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group's treasury maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The daily liquidity position is monitored, and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions.

	31 December 2022	31 December 2021
At close of the year	42.9%	38.9%
Average for the year	44.7%	40.8%
Maximum for the year	49.5%	47.8%
Minimum for the year	39.7%	37.9%
Minimum statutory requirement	20.0%	20.0%

The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. Details of the reported Group's ratio of net liquid assets to deposits from customers at the reporting date and during the reporting year were as follows:

4. Financial risk management (continued)

4.2. Liquidity risk (continued)

The table below summarizes the Group's liquidity risk as at 31 December 2021 and 31 December 2022, categorized into relevant maturity rankings based on undiscounted contractual cash flows.

Assets	Total carrying amount FRw'000	0 - 3 months FRw'000	3 – 12 months FRw'000	1 - 5 years FRw'000	Over 5 years FRw'000	Total FRw'000
Cash in hand	21,757,316	21,757,316	-	-	-	21,757,316
Balances with the National Bank of Rwanda	328,750,207	295,331,816	15,637,983	19,326,530	-	330,296,329
Cash balances with other banks	48,979,707	48,979,707	-	-	-	48,979,707
Investments at amortized cost	216,899,036	30,838,434	21,524,613	135,452,330	31,252,649	219,068,026
Investment in corporate bond	12,069,536	-	-	13,119,061	-	13,119,061
Investment in specialised fund	12,605,141	12,605,141	-	-	-	12,605,141
Loans and advances to customers	1,134,512,318	147,961,483	33,907,754	290,702,946	675,176,113	1,147,748,296
Insurance-related assets	5,518,539	-	-	6,520,013	-	6,520,013
Other assets	19,374,250	9,223,609	4,001,625	7,264,905	-	20,490,139
Total assets	**1,800,466,050**	**566,697,506**	**75,071,975**	**472,385,786**	**706,428,762**	**1,820,584,028**
Liabilities						
Due to banks	280,588,198	178,723,674	71,197,865	33,119,993	-	283,041,532
Other customer deposits	1,075,188,572	952,458,832	99,074,711	15,958,833	9,448,149	1,076,940,525
Dividends payable	30,704,511	-	30,704,511	-	-	30,704,511
Insurance liabilities	8,162,379	8,162,379	-	-	-	8,162,379
Other liabilities	29,848,038	21,530,342	832,613	8,083,889	-	30,446,845
Long-term Finance	102,718,352	158,771	3,649,076	39,152,160	67,671,187	110,631,193
Lease liabilities	1,787,992	265,856	797,567	724,570	-	1,787,992
At 31 December 2022	**1,528,998,042**	**1,161,299,854**	**206,256,343**	**97,039,445**	**77,119,335**	**1,541,714,976**
Bank Guarantee	347,846,967	37,538,051	45,554,962	32,572,526	232,181,428	347,846,967
Loan commitments	46,082,353	18,069,711	15,245,545	6,552,545	6,214,552	46,082,353
Liquidity Gap December 2022	**271,468,008**	**(594,602,348)**	**(131,184,368)**	**375,346,341**	**629,309,427**	**278,869,052**

4. Financial risk management (continued)

4.2. Liquidity risk (continued)

ASSETS	Gross Carrying amount FRw'000	0 - 3 months FRw'000	3 – 12 months FRw'000	1 - 5 years FRw'000	Over 5 years FRw'000	Total FRw'000
Cash in hand	21,723,165	21,723,165	-	-	-	21,723,165
Balances with the National Bank of Rwanda	231,758,146	231,758,146	-	-	-	231,758,146
Cash balances with other banks	77,839,613	77,839,613	-	-	-	77,839,613
At amortised cost investments	164,115,134	69,023,065	91,645,123	12,175,058	11,289,710	184,132,956
Investment in corporate bond	12,703,795	1,096,669	-	18,734,979	-	19,831,648
Investment in specialised fund	7,814,784	-	-	-	16,751,684	16,751,684
Loans and advances to customers	990,267,321	55,573,707	134,489,277	765,841,351	280,028,667	1,235,933,002
Insurance-related assets	6,517,668	6,517,668	-	-	-	6,517,668
Other assets	25,810,132	9,165,020	1,433,319	5,134,320	-	15,732,659
Total assets	**1,538,549,758**	**472,697,053**	**227,567,719**	**801,885,708**	**308,070,061**	**1,810,220,541**
Liabilities						
Due to banks	190,223,687	98,973,896	49,036,080	57,369,312	-	205,379,288
Other customer deposits	974,494,626	900,225,206	50,935,957	26,369,738	13,297,099	990,828,000
Dividends payable	26,928,781	-	26,928,781	-	-	26,928,781
Insurance liabilities	9,445,233	9,445,233	-	-	-	9,445,233
Other liabilities	35,470,426	-	-	39,567,214	-	39,567,214
Lease liabilities	2,069,256	-	-	2,587,080	-	2,587,080
Long-term finance	56,026,996	1,282,737	1,815,523	27,275,075	36,834,059	67,207,394
At 31 December 2021	**1,294,659,005**	**1,009,927,072**	**128,716,341**	**153,168,419**	**50,131,158**	**1,341,942,990**
Off balance sheet items						
Bank guarantee	176,433,311	46,473,911	43,843,756	32,639,354	53,476,290	176,433,311
Loan commitments	50,067,000	26,181,700	8,600,700	9,700,889	5,583,711	50,067,000
Liquidity Gap December 2021	**243,890,753**	**(537,230,019)**	**98,851,378**	**648,717,289**	**257,938,903**	**468,277,551**

4. Financial risk management (continued)
4.2. Liquidity risk (continued)
b) Derivative financial instruments

31 December 2022	3 – 12 months FRw'000	1 - 5 years FRw'000	Over 5 years FRw'000	Total FRw'000
Assets				
SWAP Receivables	21,851,328	17,780,408	-	39,631,736
Liabilities				
SWAP Payables	19,984,321	19,647,415	-	39,631,736

31 December 2021	3 – 12 months FRw'000	1 - 5 years FRw'000	Over 5 years FRw'000	Total FRw'000
Assets				
SWAP Receivables	2,173,850	11,821,997	3,095,724	17,091,571
Liabilities				
SWAP Payables	2,173,850	11,821,997	3,095,724	17,091,571

In managing its liquidity mismatch, the Group has three sources of funding available namely its natural cash flow, investment securities assets and capacity to borrow additional funds. The Bank subsidiary borrows from wholesale markets or other financial institutions long-term loans to cover for the short-term maturity gap. In addition, the analysis distinguishes between liquidity held to deal with normal conditions and additional liquidity held as a reserve for unforeseeable disruptions.

4.2.1. Currency risk

The Group takes on exposure to effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Board sets limits on the level of exposure by currency and in total for both overnight and intra-day positions which are monitored daily and hedging strategies used to ensure that positions are maintained within the established limits.

Transactions in foreign currency are recorded at the rate in effect at the date of the transaction. The Group translates monetary assets and liabilities denominated in foreign currencies at the rate of exchange in effect at the reporting date. The Group records all gains or losses on changes in currency exchange rates in profit or loss.

The table below summarises the foreign currency exposure for the Group as at 31 December 2022 and 31 December 2021:

	31 December 2022 FRw'000	31 December 2021 FRw'000
Assets in foreign currencies	475,514,894	456,663,051
Liabilities in foreign currencies	(481,681,397)	(468,728,960)
Net foreign currency exposure at the end of the year	(6,166,503)	(12,065,909)

4. Financial risk management (continued)

4.2. Liquidity risk (continued)

b) Derivative financial instruments (continued)

4.2.1. Currency risk (continued)

The following table demonstrates the sensitivity to a reasonably possible change in the below mentioned exchange rates of major transaction currencies, with all other variables held constant, of the Group's profit before tax (due to changes in the fair value of monetary assets and liabilities).

Currency	Increase/decrease in exchange rate	Effect on profit before tax 31 December 2022 FRw'000	Effect on profit before tax 31 December 2021 FRw'000
USD	+5%	(623,172)	(219,977)
	-5%	623,172	219,977
GBP	+5%	293,730	(24,235)
	-5%	(293,730)	24,235
EUR	+5%	(12,075)	(371,888)
	-5%	12,075	371,888

4.3. Market Risk (continued)

4.3.1. Currency risk(continued)

The various foreign currencies to which the Group is exposed as at 31 December 2022 are summarised below. All figures are in thousands of Rwandan francs (FRw'000):

Assets	USD	Euro	GBP	Other foreign currencies	Total
Cash, deposits and advances to banks	230,837,404	24,988,454	1,334,616	1,432,820	258,593,294
Loans and advances to customers	154,520,527	-74,176	321	(45)	154,446,627
Other assets, property and investments	16,478,115	2,864,477	282,894	(69,573)	19,555,913
Swap	42,988,680	-	-	-	42,988,680
At 31 December 2022	**444,824,726**	**27,778,755**	**1,617,831**	**1,363,202**	**475,584,514**
Liabilities					
Deposits from banks	100,400,814	386,941	318,044	-	101,105,799
Deposits from customers	340,673,088	22,819,521	1,095,950	621,890	365,210,449
Other liabilities	(206,603)	-1,302,306	445,333	7,850	(1,055,726)
Long-term finance	16,420,878	-	-	-	16,420,878
At 31 December 2022	**457,288,177**	**21,904,156**	**1,859,327**	**629,740**	**481,681,400**
Net currency exposure	**(12,463,451)**	**5,874,599**	**(241,496)**	**733,462**	**(6,096,886)**

4. Financial risk management (continued)

4.3. Market Risk (continued)

4.3.1. Currency risk (continued)

The various foreign currencies to which the Group was exposed to as at 31 December 2021 are summarised below. All figures are in thousands of Rwandan francs (FRw'000:

Assets	USD	Euro	GBP	Other foreign currencies	Total
Cash, deposits and advances to banks	168,907,887	32,330,103	8,961,030	1,115,898	211,314,918
Loans and advances to customers	132,012,111	6,199	(283)	255	132,018,282
Other assets, property and investments	47,763,636	(1,139,128)	(12,606)	-	46,611,902
Swap	66,717,949	-	-	-	66,717,949
At 31 December 2021	**415,401,583**	**31,197,174**	**8,948,141**	**1,116,153**	**456,663,051**
Liabilities					
Deposits from banks	86,618,740	10,473,546	(250,097)	(33)	96,842,156
Deposits from customers	282,998,314	23,970,249	9,413,005	426,276	316,807,844
Other liabilities	36,043,167	4,191,144	269,940	433,805	40,938,056
Long-term finance	14,140,906	-	-	-	14,140,906
At 31 December 2021	**419,801,127**	**38,634,939**	**9,432,848**	**860,048**	**468,728,962**
Net currency exposure	**(4,399,544)**	**(7,437,765)**	**(484,707)**	**256,105**	**(12,065,911)**

4.3.2. Interest rate risk

Interest rate is the risk that the future cash flows of financial instruments will fluctuate because of changes in the market interest rates. Interest margin may increase as a result of such changes but may reduce losses in the event that unexpected movement arises. The Group closely monitors interest rate movements and seeks to limit its exposure by managing the interest rate and maturity structure of assets and liabilities carried on the statement of financial position.

Sensitivity analysis interest rate risk

Except for some borrowings that are tagged to LIBOR, all financial instruments entered into by the Group are at fixed rates and therefore not prone to interest rate fluctuations. The impact of fluctuations in the LIBOR (London Interbank Rate) is not expected to have a significant effect on the results of the Group.

		Effect on profit before tax	
Currency	Increase/ decrease in LIBOR rate	31 December 2022 FRw'000	31 December 2021 FRw'000
USD	+/-0.23%	(28,666)	(10,119)
EUR	+/-0.27%	15,861	(20,082)

4. Financial risk management (continued)

4.3. Market Risk (continued)

4.3.1. Currency risk (continued)

Sensitivity analysis interest rate risk (continued)

The following is an analysis of the Group's sensitivity to an increase or decrease in market interest rates, assuming no asymmetrical movement in yield curves and a constant financial position:

Balance as at 31 December 2022	Weighted interest rate	FRw'000	+/- 100bp FRw'000
Effect on Interest income			
Balances and placements with other banks	3.9%	218,734,730	2,187,347
Treasury bills and bonds	12.0%	12,841,778	128,418
Loans and advances – Net	14.0%	1,136,937,356	11,369,374
Total assets/increase		**1,368,513,864**	**13,685,139**
Effect on Interest expense			
Balances and placements due to banks	2.9%	263,687,669	2,636,877
Customer deposits	11.0%	431,130,664	4,311,307
Long-Term Finance	5.9%	102,718,352	1,027,184
Total liabilities/increase		**797,536,686**	**7,975,367**
Effect on profit			**5,709,772**

Balance as at 31 December 2021	Weighted interest rate	FRw'000	+/- 100bp FRw'000
Effect on Interest income			
Balances and placements with other banks	1.9%	75,467,884	754,679
Treasury bills and bonds	8.3%	177,802,428	1,778,024
Loans and advances – Net	15.8%	990,267,321	9,902,673
Total assets/increase		**1,243,537,633**	**12,435,376**
Effect on Interest expense			
Balances and placements due to banks	5.6%	117,683,500	1,176,835
Customer deposits	9.4%	307,690,774	3,076,908
Long-Term Finance	6.2%	56,026,996	560,270
Total liabilities/increase		**481,401,270**	**4.814.013**
Effect on profit			**7,621,364**

4. Financial risk management (continued)

4.4. Market Risk (continued)

4.3.3. Interest rate risk

The table below summarizes the interest rate risk of the Group as at 31 December 2022:

	Weighted interest rate	On demand FRw'000	Less than 3 months FRw'000	3-12 months FRw'000	1 to 5 year FRw'000	Over 5 years FRw'000	Total FRw'000
Assets							
Balances and placements with other banks	3.9%	43,319,605	-	-	-	-	43,319,605
Held to maturity investments	12.0%	-	37,094,398	134,111,218	30,943,216	16,585,898	218,734,730
Investment in corporate bond	9.4%	-	6,187,500	-	5,604,037	-	11,791,537
Investment in specialized fund	9.6%	-	1,050,241	-	-	-	1,050,241
Loans and advances – net	14.0%	-	146,255,172	33,516,725	287,350,524	669,814,934	1,136,937,355
Total Assets		**43,319,605**	**190,587,311**	**167,627,943**	**323,897,777**	**686,400,832**	**1,411,833,468**
Liabilities							
Balance and placements due to other banks	2.9%	86,810,986	5,333,898	153,702,333	17,840,452	-	263,687,669
Customer deposits	11.0%	299,658,652	9,985,940	98,174,776	14,642,475	8,668,822	431,130,664
Long-term finance	5.9%	-	148,338	17,259,667	78,543,975	6,766,373	102,718,352
Total liabilities		**386,469,638**	**15,468,176**	**269,136,776**	**111,026,902**	**15,435,195**	**797,536,685**
Total interest sensitivity gap		**(343,150,033)**	**175,119,135**	**(101,508,833)**	**212,870,875**	**670,965,637**	**614,296,783**

4. Financial risk management (continued)

4.4. Market Risk (continued)

4.3.3. Interest rate risk (continued)

The table below summarizes the interest rate risk of the Group as at 31 December 2021:

	Weighted interest rate	On demand FRw'000	Less than 3 months FRw'000	3-12 months FRw'000	1 to 5 year FRw'000	Over 5 years FRw'000	Total FRw'000
ASSETS							
Balances and placements with other banks	1.9%	75,467,884	-	-	-	-	75,467,884
Held to maturity investments	10.5%	-	67,974,900	83,313,748	7,559,753	5,266,732	164,115,133
Investment in corporate bond	9.1%	-	1,070,847	-	11,632,948	-	12,703,795
Investment in specialized fund	7.4%	7,814,784	-	-	-	-	7,814,784
Loans and advances – net	15.8%	-	52,825,948	117,973,050	629,189,599	190,278,724	990,267,321
Total Assets		**83,282,668**	**121,871,695**	**201,286,798**	**648,382,300**	**195,545,456**	**1,250,368,917**
Liabilities							
Balance and placements due to other banks	5.60%	16,108,143	6,500,000	50,125,000	44,950,357	-	117,683,500
Customer deposits	9.40%	184,289,617	45,229,341	48,510,435	20,661,380	9,000,000	307,690,773
Long-term finance	6.20%	-	1,252,534	1,650,475	23,641,603	29,482,384	56,026,996
Total liabilities		**200,397,760**	**52,981,875**	**100,285,910**	**89,253,340**	**38,482,384**	**481,401,269**
Total interest sensitivity gap		**(117,115,092)**	**68,889,820**	**101,000,888**	**559,128,960**	**157,063,072**	**768,967,648**

4. Financial risk management (continued)

4.5. Capital management

The primary objective of the Group's capital management is to ensure that the Group, Bank and Insurance subsidiaries comply with capital requirements and maintain healthy capital ratios in order to support its business and to maximise shareholders' value.

The Group maintains an actively managed capital base to cover risks inherent in the businesses. The adequacy of the Group's capital is monitored using, among other measures, the rules and ratios established by the National Bank of Rwanda. The National Bank of Rwanda sets and monitors capital requirements for the banking and insurance industries.

In implementing current capital requirements, the National Bank of Rwanda requires the Group to maintain a prescribed ratio of total capital to total risk-weighted assets for its banking business and maintaining adequate capital and solvency for the insurance business.

The Group's bank subsidiary regulatory capital is analysed into two tiers:

- Core Capital (Tier 1) capital, which includes ordinary share capital, share premium, retained earnings, after deductions for investments in financial institutions, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes; and
- Supplementary Capital (Tier 2) includes the regulatory reserve.

Various limits are applied to elements of the capital base.

The Group policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Group recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

The Group Insurance subsidiary capital:

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the Statement of financial position are:

- to comply with the capital requirements as set out in the Insurance Regulations;
- to comply with regulatory solvency requirements as set out in the Insurance Regulations;
- to safeguard the Company's ability to continue as a going concern, so that it can continue to provide returns to shareholders and benefits for other stakeholders; and
- To provide an adequate return to shareholders by pricing insurance and investment contracts commensurately with the level of risk.

The Insurance Law (Law No. 05/2009 of 29/07/2009 on licensing and other requirements for carrying insurance business in Rwanda) requires separation of the life and non-life insurance businesses into separate companies and each of the companies to hold a minimum level of paid-up capital of FRw 1 billion.

General insurance businesses are required to maintain a solvency margin (admitted assets less admitted liabilities) equivalent to the higher of FRw 500 million or 20% of the net premium income during the preceding financial year.

The capital and regulatory solvency thresholds were effective from July 2011 and the company was therefore required to comply with them for the period ended 31 December 2022. During the year the Group held the minimum capital required to meet the solvency margins.

The Group's paid-up Capital at the end of 2022 is presented on note 4.5.2.

4. Financial risk management (continued)

4.5. Capital management (continued)

The table below summarises the solvency margin of the Company at 31 December 2022 and 31 December 2022 :

Financial Assets and Liabilities measurements

	Amortized Cost 2022 FRw'000	Amortized Cost 2021 FRw'000
Assets		
Cash balances	21,757,316	21,723,165
Balance with national bank of Rwanda	328,750,207	231,758,146
Balances and placements with other banks	48,979,707	77,839,613
Held to maturity investments	216,899,036	164,115,134
Investment in corporate bond	12,069,536	12,703,795
Investment in specialized fund	12,605,141	7,814,784
Loans and advances to customers	1,134,512,318	990,267,321
Total Assets	**1,775,573,261**	**1,506,221,958**
Liabilities		
Balance and placements due to other banks	280,588,198	190,223,687
Customer deposits	1,075,188,572	974,494,626
Long-term finance	102,718,352	56,026,996
Total liabilities	**1,458,495,122**	**1,220,745,309**

4. Financial risk management (continued)
4.5. Capital management (continued)

	31 December 2022	31 December 2021
(i) Admitted assets	18,402,684	15,170,402
(ii) Admitted liabilities	12,120,276	12,223,536
Solvency margin	6,282,408	2,946,866
Required margin	1,887,886	1,501,216
Excess	4,394,522	1,445,650
Solvency Coverage Ratio	**332.80%**	**196%**

The Group's capital position was as follows:

	31 December 2022 FRw'000	31 December 2021 FRw'000
Core Capital (Tier 1):		
Ordinary share capital	9,185,147	9,045,474
Share premium	79,953,617	76,573,491
Investment of non-controlling interests	3,498,314	2,668,423
Retained earnings and reserves	213,339,285	182,169,121
Statutory credit risk reserves	(2,321,973)	(2,321,973)
Regulatory adjustments	(21,144,068)	(19,789,222)
Total	**282,510,322**	**248,345,314**
Domestic Important Bank	(2,260,083)	(1,986,763)
Supplementary Capital (Tier 2): 25% of revaluation reserve	3,274,998	3,274,998
Total qualifying capital	**283,525,237**	**249,633,549**
Total Credit RWA	1,255,771,867	1.019.086.314
Total Market RWA	45,780,221	44.024.903
Total Operational RWA	119,579,630	120,874,581
Total Risk weighted assets	**1,421,131,718**	**1,183,985,798**
Regulatory reserve	15.0%	15.0%
Capital ratios:		
Total qualifying capital expressed as percentage of total risk-weighted assets	20.0%	21.1%
Total tier 1 capital expressed as a percentage of total risk-weighted assets	19.9%	21.0%

4. Financial risk management (continued)

4.5. Capital management (continued)

The table below summarises the regulatory capital requirements and capital maintained by BK General Insurance:

Capital management	Capital		Solvency	
	2022	2021	2022	2021
	FRw'000	FRw'000	FRw'000	FRw'000
Regulatory requirement	3,000,000	3,000,000	1,887,886	1,501,216
Maintained by company	3,000,000	3,000,000	6,282,408	2,946,866

4. Insurance risk management

The Group's activities expose it to a variety of risks, including its portfolio of risks covered and perils insured. The Group's overall risk management programme focuses on the identification and management of risks and seeks to minimise potential adverse effects on its financial performance, by use of underwriting guidelines and capacity limits, reinsurance planning, credit policy governing the acceptance of clients, and defined criteria for the approval of intermediaries and reinsurers. The Group has policies in place to ensure that insurance is sold to customers with an appropriate claim and credit history. The risk exposure is mitigated by diversification across a large portfolio of insurance contracts in different product classes which are fire, marine, motor, accident, bonds and aviation. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements. The Group purchases reinsurance as part of its risks mitigation programme. Reinsurance ceded is placed on both a proportional and non–proportional basis. The majority of proportional reinsurance is quota–share reinsurance which is taken out to reduce the overall exposure of the company to certain classes of business. Non–proportional reinsurance is primarily excess–of–loss reinsurance designed to mitigate the company's net exposure to catastrophe losses. Retention limits for the excess–of–loss reinsurance vary by product line.

The Group manages the insurance risk in the manner briefly outlined below:

The risk under any one insurance contract is the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of insurance, risk is random and therefore unpredictable. Risks must be evitable. Inevitable makes it certain hence not insurable.

For a portfolio of insurance contracts where the theory of probability is applied to pricing and provisioning, the principal risk that the Group faces under its insurance contracts is that the actual claims and payments exceed the carrying amount of the insurance liabilities. This could occur if the frequency or severity of claims is greater than estimated. Insurance events are random, and the actual number and number of claims and benefits will vary from year to year from the level established using statistical techniques.

Experience shows that the larger the portfolio of similar insurance contracts, the smaller the relative variability about the expected outcome will be. In addition, a more diversified portfolio is less likely to be affected across the board by a change in any subset of the portfolio. The Group has its insurance underwriting strategy to diversify the type of insurance risks accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome.

Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk, geographical location, the nature of industry covered and likelihood of a catastrophe.

Insurance Risk

The Group issues contracts that transfer insurance risk. The risk under any one insurance contract is the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of an insurance contract, this risk is random and therefore unpredictable.

4. Insurance risk management (continued)

Insurance Risk (continued)

Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk, geographical location and type of industry covered.

Claims are payable on claims occurrence basis.

The Group is liable for all insured events that occurred during the term of the contract, even if the loss is discovered after the end of the contract term. As a result, liability claims are settled over a long period of time and a larger element of the claims provision relates to incurred but not reported claims (IBNR).

For certain contracts, the Group has limited the number of claims that can be paid in any policy year or introduced a maximum amount payable for claims in any policy year. The Group also has the right to re-price the risk at renewal. It also has the ability to impose deductibles and reject fraudulent claims.

Reinsurance is used to manage insurance risk. This does not, however, discharge the Group's liability as primary insurer. If a reinsurer fails to pay a claim for any reason, the Group remains liable for the payment to the policyholder. The creditworthiness of reinsurers is considered on an annual basis by reviewing their financial strength prior to finalisation of any contract.

The Group reinsurance placement policy assesses the creditworthiness of all reinsurers and intermediaries by reviewing credit grades provided by rating agencies and other publicly available financial information.

Technical provision

Gross claims reported, claims handling expenses liability and the liability for claims incurred but not reported (IBNR) are net of expected recoveries from salvages.

The Group uses the most reliable technique to estimate the ultimate cost of claims including IBNR provision. Management has determined that the estimate is adequate for purposes of covering the risk and will ensure the Group will remain profitable in the future. As such management does not review claims development (i.e. actual claims compared with previous estimates) to manage its insurance risk.

Reinsurance risk

In common with other insurance companies, in order to minimize financial exposure arising from large insurance claims, the Group, in the normal course of business, enters into arrangements with other parties for reinsurance purposes. Such reinsurance arrangements provide for greater diversification of business, allow management to control exposure to potential losses arising from large risks, and provide additional capacity for growth. A significant portion of the reinsurance is effected under excess of loss reinsurance contracts. To minimise its exposure to significant losses from reinsurer insolvencies, the Group evaluates the financial condition of its reinsurers and monitors concentrations of credit risk arising from similar geographic regions, activities or economic characteristic of the reinsurers. Reinsurance contracts do not relieve the Group from its obligations to cedants and as a result the Group remains liable for the portion of outstanding claims reinsured to the extent that the reinsurer fails to meet the obligations under the reinsurance agreements.

6. Segment reporting

The Group's main business comprises of the following reportable segments:

Retail banking – incorporating banking services such as customer current accounts, savings and fixed deposits to individuals. Retail lending are mainly consumer loans and mortgages-based lending. Mortgages – incorporating the provision of mortgage finance.

Corporate banking – incorporating banking services such as current accounts, fixed deposits, overdrafts, loans and other credit facilities both in local and foreign currencies.

Treasury - Funding and centralised risk management activities through borrowings, issues of debt securities and investing in liquid assets such as short-term placements and corporate and government debt securities.

Central cost - The segment relates to costs not specifically attributed to the key revenue generating segments or subsidiaries.

Non-Bank subsidiaries: incorporating results of BK General Insurance, BK Capital and BK TecHouse.

The table below shows analysis of the breakdown for segmental assets, liabilities, income and expenses.

6. Segment reporting (continued)

Statement of Profit or Loss and Other Comprehensive Income

	Corporate Banking FRw'000	Retail Banking FRw'000	Central Treasury FRw'000	Unallocated Costs FRw'000	Non-Bank Subsidiaries FRw'000	Total FRw'000
Interest income	139,889,662	19,921,479	26,107,161	-	1,530,511	187,448,813
Interest expense	(15,268,303)	(5,677,595)	(30,007,295)	-	1,280,156	(49,673,037)
Net interest income	**124,621,359**	**14,243,884**	**(3,900,134)**	**-**	**2,810,667**	**137,775,776**
Net non-interest income	4,666,617	21,647,387	-	-	2,046,971	28,360,975
Foreign exchange income	-	-	13,504,051	-	25,471	13,529,522
Net premium income	-	-	-	-	11,581,822	11,581,822
Premium ceded to reinsurance	-	-	-	-	(3,744,871)	(3,744,871)
Net impairment on loans and advances	(4,954,155)	(5,049,449)	-	-	(3,275)	(10,006,879)
Insurance claims	-	-	-	-	(3,247,645)	(3,247,645)
Total operating expenses	(17,114,542)	(8,557,271)	(855,727)	(52,123,428)	(7,142,955)	(85,793,923)
Profit before income tax	**107,219,279**	**22,284,551**	**8,748,190**	**(52,123,428)**	**2,326,185**	**88,454,777**
Income tax expense	(32,615,484)	(6,685,365)	(2,624,457)	15,637,028	(2,442,189)	(28,730,466)
Profit after income tax	**74,603,795**	**15,599,186**	**6,123,733**	**(36,486,400)**	**(116,004)**	**59,724,310**
For the period ended 31 December 2021						
Interest income	139,425,244	18,424,133	17,424,024		1,299,134	176,572,535
Interest expense	(12,387,617)	(4.606.398)	(24,487,306)		1.180.144	(40.301.177)
Net interest income	**127,037,627**	**13,817,734**	**(7,063,282)**		**2,479,278**	**136,271,358**
Net non-interest income	5.001.038	15.119.505		-	1,937,310	22,057,853
Foreign exchange income	-	-	11,751,527	-	-	11,751,527
Net premium income	-	-	-	-	10,140,525	10,140,525
Premium ceded to reinsurance	-	-	-	-	(2,694,984)	(2,694,984)
Net impairment on loans and advances	(29,466,024)	(3,296,948)	(1,300,689)	-	(5,093)	(34,068,753)
Insurance claims	-	-	-	-	(3,359,441)	(3,359,441)
Total operating expenses	(12,605,928)	(6,302,964)	(630,296)	(40,994,307)	(2,683,922)	(63,217,417)
Profit before income tax	89,966,713	19,337,328	2,757,261	(40,994,307)	5,813,674	76,880,668
Income tax expense	(27,876,217)	(5,801,198)	(827,178)	12,298,292	(2,779,396)	(24,985,698)
Profit after income tax	**62,090,496**	**13,536,129**	**1,930,082**	**(28,696,015)**	**3,034,278**	**51,894,970**

6. Segment reporting (continued)

Statement of Financial Position

	Corporate banking FRw'000	Retail banking FRw'000	Central treasury FRw'000	BK subsidiaries FRw'000	Total FRw'000
As at 31 December 2022					
Gross loans& advances to customers	1,063,932,714	150,204,369	-	-	1,214,137,082
Cash in hand	-	-	-	21,757,316	21,757,316
Balances with central bank	-	-	328,750,207	328,750,207	657,500,413
Due from banks	-	-	42,791,552	6,188,155	48,979,707
At amortised cost investments	-	-	206,218,114	10,680,922	216,899,036
Investment in corporate bond	-	-	11,791,537	278,000	12,069,536
Investment in specialised bond	-	-	1,050,241	1,304,382	2,354,623
Deposits and balances from customers	448,614,380	226,094,741	400,479,451	-	1,075,188,572
Due to Banks			280,588,198	-	280,588,198
Number of customers	**22,558**	**457,763**	**425**		**480,746**
Current account	**33,026**	**537,204**	**689**		**570,919**

	Corporate banking FRw'000	Retail banking FRw'000	Central treasury FRw'000	BK subsidiaries FRw'000	Total FRw'000
As at 31 December 2021					
Gross loans& advances to customers	957,310,933	115,799,257	-	-	1,073,110,19
Cash in hand	-	-	-	21,723,165	21,723,165
Balances with central bank	-	-	-	231,758,146	231,758,146
Cash balances with other banks	-	-	72,103,280	5,736,332	77,839,613
At amortised cost investments	-	-	156,996,661	7,118,473	164,115,134
Investment in corporate bond	-	-	11,720,295	983,500	12,703,795
Investment in specialised bond	-	-	1,014,943	214,473	1,229,417
Deposits and balances from customers	553,000,000	264,300,000	157,194,626	-	974,494,626
Due to Banks	-	-	190,223,687	-	190,223,687
Number of customers	**30,148**	**319,087**	**4,749**		**353,984**
	39,914	**362,872**	**10,083**		**412,869**

Property, plant and equipment, intangible assets, other assets and liabilities have not been allocated to the reportable segments as they are deemed to contribute to the overall performance of the Group rather than a particular segment.

6. Segment reporting (continued)

Statement of Financial Position

The Group does not suffer concentration risk and there is no single customer who contributes more than 15% of the revenue.

The Group's geographical coverage is within all provinces of Rwanda. There were no intersegment transfers during the year.

7. Interest income

	31 December 2022 FRw'000	31 December 2021 FRw'000
Interest on overdrawn accounts	13,229,005	11,798,639
Interest on Treasury loans	7,144,097	9,070,134
Interest on equipment loans	108,068,085	101,289,896
Interest on consumer loans	10,973,632	8,912,572
Interest on mortgage loans	17,825,505	25,032,964
Other interest on loans to clients	2,570,818	1,745,172
Interest on deposits with banks	2,798,532	1,583,180
Interest received from reverse repos	2,328,741	1,705,171
Interest on investments in government securities	22,510,398	15,434,807
	187,448,813	**176,572,535**

8. Interest expense

	31 December 2022 FRw'000	31 December 2021 FRw'000
Interest on Customer Term deposit	23,587,263	21,707,347
Interest on Current Accounts	14,195,449	6,475,509
Interest on Saving Accounts	2,941,448	2,476,526
Interest on Long term Credit Lines	4,653,683	3,719,625
Interest on Transactions with other banks	4,295,194	5,922,170
	49,673,037	**40,301,177**

9. Net fees and commission income

Fees and commission income	31 December 2022 FRw'000	31 December 2021 FRw'000
Commissions on operations of accounts	2,458,126	2,767,707
Commissions on payment facilities	8,299,939	6,808,069
Commissions on loan services	5,768,085	3,895,557
Commissions received from financing commitments	3,311,518	2,227,129
Commissions received from guarantees commitments	1,851,889	539,827
Income from transactions with other banks	59,724	207,378
Other fees from services	7,418,146	5,379,282
	29,167,427	**21,824,949**
Fees and commission expense		
Commissions on credit services	(21,410)	(282,406)
Commissions on payment facilities	(2,322,523)	(1,451,176)
commissions on other transactions with banks	(550,190)	(231,942)
	(2,894,123)	**(1,965,524)**
Net fees and commission	**26,273,304**	**19,859,425**

The fee and commission income of the Bank is earned at a point in time and over time in compliance with IFRS 15. The breakdown is analysed below.

Year ended 31 December 2022:

Fees and commission income earned from the services that are provided over time:

	Corporate Banking FRw'000	Retail Banking FRw'000	Other FRw'000	Total FRw'000
Commissions on payment facility	6,639,951	1,659,988	-	8,299,939
Commission on loans services	4,614,468	1,153,617	-	5,768,085
Subtotal	**11,254,419**	**2,813,605**	**-**	**14,068,024**

Fees and commission income earned from the services that are provided at point in time:

	Corporate Banking FRw'000	Retail Banking FRw'000	Other FRw'000	Total FRw'000
Commissions on operations of accounts	1,966,501	491,625	-	2,458,126
Commissions received from financing commitments	2,649,214	662,304	-	3,311,518
Commissions received from guarantees commitments	1,481,512	370,377	-	1,851,889
Income from transactions with other banks	47,779	11,945	-	59,724
Other fees from services	5,851,720	1,462,930	103,496	7,418,146
Subtotal	**11,996,726**	**2,999,181**	**103,496**	**15,099,403**
Total	**23,251,145**	**5,812,786**	**103,496**	**29,167,427**

9. Net fees and commission income (continued)

Year ended 31 December 2021:

Fees and commission income earned from the services that are provided over time:

	Corporate Banking FRw'000	Retail Banking FRw'000	Other FRw'000	Total FRw'000
Commissions on payment facility	5,446,455	1,361,614	-	6,808,069
Commission on loans services	3,116,446	779,111	-	3,895,557
Subtotal	**8,562,901**	**2,140,725**	**-**	**10,703,626**

Fees and commission income earned from the services that are provided at point in time:

	Corporate Banking FRw'000	Retail Banking FRw'000	Other FRw'000	Total FRw'000
Commissions on operations of accounts	2,214,166	553,541	-	**2,767,707**
Commissions received from financing commitments	1,781,703	445,426	-	2,227,129
Commissions received from guarantees commitments	431,862	107,965	-	539,827
Income from transactions with other banks	165,902	41,476	-	207,378
Other fees from services	4,303,426	1,075,856	-	5,379,282
	8,897,059	**2,224,264**	**-**	**11,121,323**
Total	**17,459,960**	**4,364,989**	**-**	**21,824,949**

10. Foreign exchange related income

	31 December 2022 FRw'000	31 December 2021 FRw'000
Net forex trading	10,051,982	8,324,384
Forex commissions	3,420,336	3,354,962
Other forex revenues	57,204	100,215
	13,529,522	**11,779,561**

11. Insurance premiums received

31 December 2022	Motor	Fire	Guarantee	Engineering	Liability	Accident & health	Transport	Miscellaneous	Total
Gross written premium	6,412,084	1,448,198	549,061	815,298	161,628	58,222	135,367	1,477,264	11,057,122
Unearned premium reserve b/f	3,965,518	454,034	114,416	265,066	58,602	30,305	12,485	1,995	4,902,421
Unearned premium reserve c/f	(2,801,776)	(637,771)	(274,298)	(315,941)	(95,926)	(27,283)	(14,379)	(7,852)	(4,175,226)
Gross earned premiums	**7,575,826**	**1,264,461**	**389,179**	**764,423**	**124,304**	**61,244**	**133,473**	**1,471,407**	**11,784,317**
Reinsurance portfolio premium reserves b/f	(324,621)	(201,342)	(71,999)	(166,799)	(50,097)	(19,703)	(11,570)	(1,796)	(847,927)
Reinsurance portfolio premium reserve c/f	359,550	273,122	174,941	202,878	47,268	1,911	12,454	7,641	1,079,765
Premium ceded to reinsurance	34,929	71,780	102,942	36,079	(2,829)	(17,792)	884	5,845	231,838
Net insurance earned premium	**7,610,755**	**1,336,241**	**492,121**	**800,502**	**121,475**	**43,452**	**134,358**	**1,477,252**	**12,016,155**
Intergroup eliminations	(45,718)	(65,613)	(99)	(254,668)	(3,000)	(65,156)	(79)		(434,333)
Gross earned after intercompany elimination	**7,565,037**	**1,270,628**	**492,022**	**545,834**	**118,475**	**(21,704)**	**134,278**	**1,477,252**	**11,581,822**
Premiums ceded to treaties & facultative reinsures	(813,175)	(557,898)	(355,770)	(523,534)	(203,934)	(4,078)	(120,446)	(629,078)	(3,207,913)
Premiums ceded to co-insurance	(9,682.)	(63,262)	(17,503)	-	(10,501)	-	(12,098)	(423,912)	(536,958)
Premium ceded to reinsurance	**(822,857)**	**(621,160)**	**(373,273)**	**(523,534)**	**(214,435)**	**(4,078)**	**(132,544)**	**(1,052,990)**	**(3,744,871)**
31 December 20221									
Gross written premium	9,068,527	1,158,417	350,816	796,100	132,384	60,670	50,116	517,387	12,134,417
Unearned premium reserve b/f	3,306,629	263,681	93,189	229,807	50,129	18,040	7,816	14,538	3,983,827
Unearned premium reserve c/f	(4,568,574)	(579,983)	(119,799)	(323,481)	(70,094)	(33,246)	(12,210)	(216,225)	(5,923,612)
Gross earned premiums	7,806,582	842,115	324,206	702,426	112,419	45,464	45,720	315,700	10,194,632
Reinsurance portfolio premium reserves b/f	(359,716)	(134,958)	(27,288)	(200,514)	(32,840)	(11,001)	(4,765)	(8,865)	(779,946)
Reinsurance portfolio premium reserve c/f	397,537	201,342	71,999	166,799	26,996	19,703	11,570	155,120	1,051,066
Premium ceded to reinsurance	**37,821**	**66,384**	**44,711**	**(33,715)**	**5,844**	**8,702**	**6,806**	**146,255**	**271,119**
Net insurance earned premium	7,844,403	908,500	368,915	668,710	106,574	54,167	52,528	461,954	10,465,751
Intergroup eliminations	(50,816)	(82,248)	(10)	(116,772)	(3,824)			(71,557)	(325,226)
Gross earned after intercompany elimination	**7,793,587**	**826,252**	**368,905**	**551,938**	**102,750**	**54,167**	**52,528**	**390,397**	**10,140,525**
Premiums ceded to treaties & facultative reinsures	(706,122)	(435,281)	(290,890)	(493,916)	(58,095)	(44,161)	(44,074)	(174,261)	(2,246,801)
Premiums ceded to co-insurance	(200,000)	(60,529)	-	(10,049)	(2,884)	-	(2,370)	(172,351)	(448,183)
Premium ceded to reinsurance	**(906,122)**	**(495,810)**	**(290,890)**	**(503,965)**	**(60,979)**	**(44,161)**	**(46,444)**	**346,612**	**(2,694,984)**

12. Other operating income

	31 December 2022 FRw'000	31 December 2021 FRw'000
Bank of Kigali Plc		
Sublease rental income	24,746	95,241
Gain on asset disposal	91,020	-
Other non-banking income	45,203	153,416
	160,969	**248,657**
BK Holding Company		
Income from lease	2,694,275	2,693,580
Dividend income	40,450	-
Other income	95,347	-
Sale of fixed asset	161,636	-
Elimination of intercompany sales	(3,718,026)	(3,228,746)
	(726,318)	**(535,166)**
BK General Insurance Ltd		
Brokers' commissions	248,853	649,199
Investment income	-	-
Intercompany rental income	-	-
	248,853	**649,199**
BK TecHouse Ltd		
Gross sales	2,080,890	1,792,948
Cost of sales	(607,028)	(557,930)
	1,473,862	**1,235,018**
BK Capital		
Brokerage commissions	930,305	571,399
Advisory service	-	1,287
	930,305	**572,686**
Other operating income	**2,087,671**	**2,170,394**

13. Credit impairment losses

	31 December 2022 FRw'000	31 December 2021 FRw'000
Expected credit loss on loans and advances	12,473,598	36,415,840
Expected credit loss on off balance sheet items	291,859	289,307
Expected credit loss on cash balances with other banks	123,794	-
Expected credit loss on investment securities	165,444	1,011,381
Bad debts recovered during the year*	(3,047,816)	(3,647,776)
	10,006,879	**34,068,752**

** Bad debts recovered during the year relates to the recoveries from the credit impaired financial assets in the year. The decrease in the credit impairment losses in the current year compared to the prior year is as a result of the credit impairment improvement as a result of the post-covid recovery in 2022.*

14. Insurance benefits and claims paid

31 December 2022	Motor FRw'000	Fire FRw'000	Guarantee FRw'000	Engineering FRw'000	Liability FRw'000	Accident & Health FRw'000	Transport FRw'000	Miscellaneous FRw'000	Total FRw'000
Gross claims paid & benefits	4,110,454	166,841	27,399	71,479	7,179	12,713	1,088	-	4,397,152
Outstanding claims reserve b/f	(2,384,386)	(644)	(6,291)	(98,049)	(10,277)	(35,541)	-	-	(2,535,188)
Outstanding claims reserve c/f	2,578,169	10,161	4,891	196,382	12,477	36,655	-	-	2,838,734
Incurred but not report (IBNR) b/f	(371,437)	(65,433)	(22,061)	(54,950)	(8,101)	(4,031)	(3,221)	(8,445)	(537,679)
Incurred but rot report (IBNR) c/f	466,159	59,750	6,552	35,499	9,258	4,742	13,867	6,004	601,831
Subrogation Recoveries	(435,797)	-	-	-	-	-	-	-	(435,797)
Net claims payable	**3,963,162**	**170,675**	**10,490**	**150,361**	**10,536**	**14,538**	**11,734**	**(2,441)**	**4,329,055**
Reinsurance in claims paid	(819,689)	(104,707)	(24,659)	(43,573)	-	-	(753)	-	(993,381)
Coinsurance in claim paid	(68,639)	-	-	-	-	-	-	-	(68,639)
Reinsurance portfolio claims reserve b/f	594,195	240	1,289	65,680	1,858	2,679	-	-	665,941
Reinsurance portfolio claims reserve c/f	(573,203)	(589)	(4,402)	(153,447)	(9,963)	(2,235)	-	-	(743,839)
Incurred but not report (IBNR) b/f	92,563	23,776	4,796	36,794	1,465	304	123	7,600	167,421
Incurred but rot report (IBNR) c/f	(101,657)	(19,021)	(3,908)	27,493	(5,544)	(220)	(532)	(5,524)	(108,913)
Amount recoverable from reinsurers	**(876,430)**	**(100,301)**	**(26,884)**	**(67,053)**	**(12,184)**	**528**	**(1,162)**	**2,076**	**(1,081,410)**
Net group claims	**3,086,732**	**70,374**	**(16,394)**	**83,308**	**(1,648)**	**15,066**	**10,572**	**(365)**	**3,247,645**

31 December 2021	Motor FRw'000	Fire FRw'000	Guarantee FRw'000	Engineering FRw'000	Liability FRw'000	Accident & Health FRw'000	Transport FRw'000	Miscellaneous FRw'000	Total FRw'000
Gross claims paid & benefits	3,936,568	265,502	363	70,168	36,082	492	393	7,200	4,316,767
Outstanding claims reserve b/f	(1,881,862)	(201,702)	-	(129,417)	-	(31,984)	-	-	(2,244,966)
Outstanding claims reserve c/f	2,384,386	644	6,291	98,049	10,277	35,541	-	50,195	2,585,383
Incurred but not report (IBNR) b/f	(244,278)	(26,376)	(6,040)	(5,879)	(9,597)	(7,060)	(382)	-	(299,612)
Incurred but rot report (IBNR) c/f	278,874	41,657	17,265	18,159	6,636	3,727	3,098	2,206	371,622
Net claims payable	**4,473,688**	**79,725**	**17,879**	**51,080**	**43,398**	**716**	**3,109**	**59,601**	**4,729,196**
Claims recoveries from treaties & facultative reinsurance	(1,401,229)	-	-	-	-	-	-	-	(1,401.229)
Reinsurance portfolio claims reserve b/f	491,130	176,500		74,961	-	-	-	-	742,591
Reinsurance portfolio claims reserve c/f	(594,195)	(240)	(1,289)	(65,680	(1,858)	(2,679)	-	(45,176)	(711,117)
Amount recoverable from reinsurers	**(1,504,294)**	**176,260**	**(1,289)**	**9,281**	**(1,858)**	**(2,679)**	**-**	**(45,176)**	**(1,369,756)**
Net group claims	**2,969,394**	**255,985**	**16,590**	**60,361**	**41,540**	**(1,962)**	**3,109**	**14,425**	**3,359,441**

15. Operating expenses

	31 December 2022 FRw'000	31 December 2021 FRw'000
i) Employee benefits expense		
Salaries and wages	28,550,758	27,792,088
Medical expenses	1,210,418	1,238,091
Pension scheme contributions	1,793,327	1,419,696
Other benefits	3,484,913	883,144
	35,039,416	**31,333,019**
ii) Depreciation and amortisation		
Depreciation of property and equipment (Note 27)	4,637,801	3,743,864
Depreciation on right to use assets	1,035,511	829,679
Amortisation of intangible assets (Note 28)	2,865,224	1,969,547
	8,538,536	**6,543,090**
iii) Administration and general expenses		
Directors' remuneration	875,243	861,119
Audit fees	106,057	129,948
Rent, repairs and maintenance	1,589,115	1,499,277
Utilities	660,333	743,626
Postage, photocopying and printing	1,219,630	353,566
Travel and accommodation expenses	1,447,056	443,930
Security and cash in transit costs	1,701,141	1,545,301
Insurance	85,070	-
Marketing and publicity	2,566,850	972,461
Statutory fees	1,184,872	1,203,305
Legal and consultancy fees	2,311,963	2,249,030
Unclaimed Input taxes	5,459,683	2,419,146
Telephone and internet costs	5,023,527	5,556,099
Charitable donation	974,530	822,057
Account maintenance costs	44,859	82,357
Provision for doubtful receivables	6,845,754	-
Credit and debit card costs	7,862,791	4,468,453
Fees on import and export	1,268,069	-
Other general expenses**	768,217	1,085,165
	41,994,760	**25,153,532**
iv) Interest on lease liabilities *	**221,212**	**187,777**

**The Group has presented interest expense on the lease liability separately from the depreciation charge for the right of-use asset. Interest expense on the lease liability is a component of finance costs, which are presented separately in the statement of Comprehensive Income.*

**Other general expenses relate to filing and storage expenses, sports and entertainment, SMS banking charges, district taxes and other miscellaneous costs.*

16. Income tax expense

The income tax charge on the Group's profit differs from the theoretical amount that would arise using the basic tax rates as follows:

	Effective Rate	31 December 2022 FRw'000	Effective Rate	31 December 2021 FRw'000
Income tax charge				
Current income tax		29,812,766		28,439,205
Deferred income tax credit		(1,102,905)		(3,444,037)
Provisions for prior years re-assessment		20,605		(9,470)
	32.5%	**28,730,466**	**32.5%**	**24,985,698**
Accounting profit before income tax		**88,454,776**		**76,880,668**
Tax calculated at tax rate of 30%	30.0%	26,536,433	30.0%	23,064,200
Tax effects on non-taxable items:				
IFRS 9 - Loan Loss Provision	0.4%	333,063	4.8%	3,660,898
IFRS 9 - Government securities	0.1%	48,362	0.1%	68,121
Provision for doubtful receivables	2.3%	2,063,976	0.0%	-
Depreciation and amortisation	(0.1%)	(69,835)	1.0%	(731,939)
IFRS 16 Lease adjustments	(0.1%)	(77,966)	1.1%	813,285
Staff complementary pension	0.2%	195,603	0.0%	1,140
Staff bonus provision	(0.5%)	(483,843)	1.6%	1,253,929
Other non-deductible expenses	0.2%	184,673	(4.1%)	309,571
Total tax effects on non-taxable items	**2.5%**	**2,194,033**	**2.5%**	**5,375,005**
Current income tax charge		**28,730,466**		**24,985,698**

17. Current income tax

	31 December 2022 FRw'000	31 December 2021 FRw'000
At 1 January	10,013,864	3,276,474
Tax paid during the year	(33,866,550)	(21,700,464)
Tax charge for the year	29,812,766	28,439,205
Prior year understatement	(40,046)	(1,351)
At 31 December	**5,920,034**	**10,013,864**

The Group's average tax charge was 32.5% (2021: 32.5%)

**The other non-deductible expenses relate foreign travel expenses, capital allowances and provisions.*

18. Earnings per share

	31 December 2022	31 December 2021
Profit for the year attributable to equity shareholders – FRw'000	59,724,310	51,894,970
Weighted average number of shares	918,514,704	904,547,404
Earnings per share:		
Basic and diluted earnings per share – FRw	65.0	57.4

Basic earnings per share is calculated on the profit attributable to ordinary shareholders of FRw 59.7 billion (2021: FRw 51.8 billion) and on the weighted average number of ordinary shares outstanding during the year of 918,514,704 (2021: 904,547,404 shares).

19. Analysis of cash and cash equivalents

Cash and cash equivalents included in the statement of cash flow comprise the following statement of financial position accounts:

	31 December 2022 FRw'000	31 December 2021 FRw'000
(a) Cash in hand		
Cash in foreign currency	10,339,556	6,516,055
Cash in local currency	11,417,760	15,207,110
	21,757,316	**21,723,165**
(b) Balances with National Bank of Rwanda		
Restricted balances (Cash Reserve Ratio)	67,788,839	46,588,733
Unrestricted balances	260,961,368	185,169,413
	328,750,207	**231,758,146**

The Cash Reserve Ratio is non-interest earning and is based on the value of deposits as adjusted per the National Bank of Rwanda requirements, at 31 December 2022, the Cash Reserve Ratio requirement was 5% (2021:4%) of all deposits amounting to FRw 1,356 billion (2021: FRw 1,164 billion). Mandatory cash reserve ratio is not available for use in the Group's day-to-day operations.

The unrestricted balances include Cash balances with other banks available to be used in daily bank operations.

Cash and cash equivalents included in the statement of cash flows comprise the following statement of financial position accounts:

	31 December 2022 FRw'000	31 December 2021 FRw'000
(c) Cash and Cash Equivalent		
Cash in hand (Note 19a)	21,757,316	21,723,165
Unrestricted balances (Note (19b)	260,961,368	185,169,413
Cash balances with from banks (Note 20)	48,979,707	77,839,613
Due to banks (Note 29)	(178,723,673)	(97,822,287)
Unrealized exchange gains	(7,205,571)	(3,077,524)
	145,769,147	**183,832,380**

20. Cash balances with other banks

	31 December 2022 FRw'000	31 December 2021 FRw'000
Placements with local banks	10,996,714	14,768,894
Placements with foreign banks	38,152,669	63,116,601
Expected credit losses (note 4.1.7.1)	(169,676)	(45,882)
	48,979,707	**77,839,613**

The credit ratings of the financial institutions where the Group's placements are held are shown below, where individual bank ratings were not available, the parent bank's rating or country ratings have been adopted, in order of preference:

	31 December 2022		31 December 2021	
Credit Ratings	Balance FRw'000	ECL FRw'000	Balance FRw'000	ECL FRw'000
A	8,790,103	(5,274)	3,050,505	(1,801)
A-			10,422,464	
A+	27,444,199	(16,467)	27,454,518	(28,380)
AA	107,983	(138)	-	(20)
B	-	- -	- -	- -
B+	7,142,536	(147,638)	32,917,453	(15,684)
BB-	5,664,562	(160)	4,040,555	-
	49,149,383	**(169,676)**	**77,885,495**	**(45,882)**

The weighted average effective interest rate on placements and balances with other banks at 31 December 2022 was 3.9% (2021: 0.5%).

21. Investment securities

a) Investment securities	31 December 2022 FRw'000 Amortised cost	31 December 2021 FRw'000 Amortised cost
Treasury bills	154,740,469	130,277,917
Treasury bonds	36,659,976	29,162,936
Other government security	26,675,416	5,552,704
Expected credit losses	(1,176,825)	(878,423)
Total	**216,899,036**	**164,115,134**
Maturing between 3-12 months	170,546,747	116,389,821
Maturing between 1-5 years	30,943,216	12,651,384
Maturing between >5 years	16,585,898	35,952,352
Expected credit losses	(1,176,825)	(878,423)
	216,899,036	**164,115,134**

21. Investment securities (continued)

The change in the carrying amount of government and other securities held to maturity is as shown below:

	31 December 2022			
	Treasury bills FRw'000	Treasury bonds FRw'000	Other government securities FRw'000	Total FRw'000
1 January 2022	110,895,903	41,498,937	11,720,294	164,115,134
Additions	424,202,992	24,561,660	20,668,861	469,433,513
Maturities	(380,677,483)	(29,234,486)	(5,560,817)	(415,472,786)
Expected credit loss	(857,769)	(166,135)	(152,921)	(1,176,825)
31 December 2022	**153,563,643**	**36,659,976**	**26,675,417**	**216,899,036**

	31 December 2022			
	Treasury bills FRw'000	Treasury bonds FRw'000	Other government securities FRw'000	Total FRw'000
1 January 2021	101,037,848	30,714,777	10,269,289	142,021,914
Additions	391,313,454	11,242,013	1,591,535	404,147,002
Maturities	(380,747,901)	(294,500)		(381,042,401)
Expected credit loss	(707,498)	(163,353)	(140,530)	(1,011,381)
31 December 2021	**110,895,903**	**41,498,937**	**11,720,294**	**164,115,134**

	31 December 2022 FRw'000	31 December 2021 FRw'000
Movement in the expected credit loss on – investment securities		
At 1 January	1,011,381	784,310
Charge for the year	165,444	227,071
At 31 December	**1,176,825**	**1,011,381**

Treasury bills and bonds are debt securities issued by the Government of the Republic of Rwanda. The bills are categorised as amounts carried at amortised cost. Other government security is a six-year investment bond with coupon rate of 12.4% per annum payable quarterly on outstanding amount with a maturity date of 30 September 2028, and EURO Bond with maturity of 9 years that will be matured as at 09th August 2031.

The weighted average effective interest rate on government securities held to maturity at 31 December 2022 was 12.5 % (2021: 10.1 %).

21. Investment securities (continued)

	31 December 2022 FRw'000	31 December 2021 FRw'000
b) Investment in Corporate bond		
Maturing between 0-3 years	5,604,036	8,006,658
Maturing between 3-5 years	6,465,500	4,697,137
	12,069,536	**12,703,795**
Opening investment	12,703,795	12,166,178
Additional investments	585,000	650,000
Accrued Interests	486,789	1,066,339
Repayments received	(1,702,091)	(1,178,722)
	12,069,536	**12,703,795**
c) Investment in specialized Fund (Aguka fund)		
Opening investment	7,814,784	1,200,000
Additional investments	5,000,000	6,564,526
Accrued Interests	405,141	50,258
Interests received	(614,784)	-
	12,605,141	**7,814,784**
d) Investments in equity instruments		
Development Bank of Rwanda (BRD)	96,975	96,975
Magerwa Limited	5,000	5,000
Investment in Swift	2,970	2,970
Rswitch (SIMTEL)	116,480	116,480
Impairment	(221,425)	(221,425)
	-	**-**

Investments in equity instruments relate to unquoted entities, they are recorded at fair value through other comprehensive income.

22. Loans and advances to customers

	31 December 2022 FRw'000	31 December 2021 FRw'000
(a) Corporate loans and advances		
Corporate	917,423,898	820,280,672
Small and medium enterprises	137,272,914	131,345,473
Non-profit entities	15,384,918	7,920,000
Total corporate loans	**1,070,081,730**	**959,546,145**
Discount on economic refinancing loans*	(6,149,016)	(2,235,213)
Adjusted Corporate Loans	**1,063,932,714**	**957,310,932**
(b) Retail loans and advances		
Gross retail loans	155,119,010	120,074,651
Discount on staff loans	(4,914,642)	(4,275,393)
Total retail loan book	**150,204,368**	**115,799,258**
Total gross loans	**1,214,137,082**	**1,073,110,190**
Loss allowance/credit impairment provision - corporate	(63,566,875)	(70,825,571)
Loss allowance/credit impairment provision - retail	(16,057,889)	(12,017,298)
Total expected credit losses/credit impairment provision	**(79,624,764)**	**(82,842,869)**
Net Loans and advances to customers	**1,134,512,318**	**990,267,321**

	31 December 2022 FRw'000	31 December 2021 FRw'000
(b) Guarantees and commitments		
Corporate	225,780,483	162,412,270
Small and medium enterprises	25,637,960	13,564,730
Non-profit entities	96,209,414	997,065
Retail Banking	219,110	-
Total guarantees and commitments	**347,846,967**	**176,974,065**
Loss allowance	(832,613)	(540,754)
	347,014,354	**176,433,311**
(c) Movement in the loss allowance balance- loans and advances		
At 1 January	82,842,869	76,435,790
Increase in loss allowance in the year	12,473,598	36,415,840
Loans written off during the year	(15,691,703)	(30,008,761)
As at 31 December	**79,624,764**	**82,842,869**

22. Loans and advances to customers (continued)

	31 December 2022 FRw'000	31 December 2021 FRw'000
Maturing within 1 month	131,325,309	13,108,116
Maturing after 1 month, but before 3 months	14,929,863	39,717,831
Maturing after 3 months, but within 1 year	33,516,725	117,973,050
Maturing after 1 year, but within 5 years	287,350,524	629,189,599
Maturing after 5 years	667,389,897	273,121,594
	1,134,512,318	**1,073,110,190**

	31 December 2022 FRw'000	31 December 2021 FRw'000
(d) Sectoral analysis of Gross Loans and advances to customers		
Private sector and individuals	608,766,332	798,501,130
Government and parastatals	525,745,986	274,609,060
	1,134,512,318	**1,073,110,190**

The weighted average effective interest rate on gross loans and advances as at 31 December 2022 was 14.0% (31 December 2021:

15. 8%). As at 31 December, the ageing analysis of past due but not impaired loans and advances is as follows:

	31 December 2022 FRw'000	31 December 2021 FRw'000
(d) Sectoral analysis of Gross Loans and advances to customers		
Private sector and individuals	608,766,332	798,501,130
Government and parastatals	525,745,986	274,609,060
	1,134,512,318	**1,073,110,190**

*Discount on economic recovery financing relates to the discount given to customers in economic sectors mostly affected by the pandemic COVID 19. These sectors are Hospitality, transport and SMEs. This represents the difference between the market rate and the contractual rate of the facility. The movement in the Discount on economic recovery loans is detailed below;

	31 December 2022 FRw'000	31 December 2021 FRw'000
ERF loan valuation at start of year	2,245,045	4,197,265
Fair value on new additional loans	3,903,971	-
Decrease in the ERF valuation	-	(1,952,220)
ERF loan valuation at end of year	**6,149,016**	**2,245,045**

23. Insurance -related assets

	31 December 2022 FRw'000	31 December 2021 FRw'000
Receivables arising out of direct insurance arrangements	3,089,479	4,283,478
Reinsurer's share of insurance liabilities	2,425,757	1,941,860
Receivables arising out of coinsurance & subrogation arrangements	152,308	379,501
Impairment loss on premium debtors	(149,005)	(87,171)
Total	**5,518,539**	**6,517,668**

The Insurance-related assets approximate their carrying value amounts due to the short-term maturities of these instruments.

24. Other assets

	31 December 2022 FRw'000	31 December 2021 FRw'000
Clearing accounts	5,851,831	7,826,970
Prepayments	4,903,191	5,458,018
Economic recovery loan valuation (Note 22)	6,149,016	3,512,395
Migration written off account	-	7,750,103
Other receivables	4,650,803	2,895,390
Expected credit loss	(2,180,591)	(1,632,744)
	19,374,250	**25,810,132**
Other assets		
Non-Financial other assets	4,903,191	5,969,142
Financial other assets	16,651,650	21,473,734
Expected credit loss	(2,180,591)	(1,632,744)
	19,374,250	**25,810,132**

Clearing accounts are temporary and transitory accounts pending compensation house clearing including cheques in transit to other banks. Other receivables are current and non-interest bearing and are generally between 30 to 90 days.

Other receivables relate to input VAT, debtors account in transit, internal account balances, accrued revenue and deposits.

25. Deferred income tax

The following table shows deferred tax recognized in the statement of financial position and changes recorded in the income tax expense:

	31 December 2022 FRw'000	31 December 2021 FRw'000
At 01 January 2022	(9,546,653)	(6,102,616)
Charge to profit or loss account	(1,102,905)	(3,444,037)
At 31 December 2022	**(10,649,558)**	**(9,546,653)**

The following table shows deferred tax recognized in the statement of financial position and changes recorded in the income tax expense:

	At 31 December 2022 FRw'000	Charge/ (credit) to profit or loss FRw'000	Charged to OCI FRw'000	At 31 December 2021 FRw'000
Deferred tax liabilities				
Revaluation Property, plant and equipment	5,614,237	-	-	5,614,237
Property, plant and equipment	2,573,138	1,129,141	-	3,702,279
	8,187,375	**1,129,141**	**-**	**9,316,516**
Deferred tax (assets)				
Provision for expected credit losses	(9,644,747)	(333,063)	-	(9,977,810)
Other temporary differences*	(8,089,281)	(1,898,983)	-	(9,988,264)
	(17,734,028)	**(2,232,046)**	**-**	**(19,966,074)**
	(9,546,653)	**(1,102,905)**	**-**	**(10,649,558)**

	At 1 January 2021 FRw'000	Charge/ (credit) to profit or loss FRw'000	Charged to OCI FRw'000	At 31 December 2021 FRw'000
Deferred tax liabilities				
Revaluation Property, plant and equipment	5,614,237	-	-	5,614,237
Property, plant and equipment	(216,338)	2,789,476	-	2,573,138
	5,397,899	**2,789,476**	**-**	**8,187,375**
Deferred tax (assets)				
Provision for expected credit losses	(5,983,846)	(3,660,898)	-	(9,644,747)
Other temporary differences*	(5,516,666)	(2,572,615)	-	(8,089,281)
	(11,500,512)	**(6,233,513)**	**-**	**(17,734,028**
	(6,102,616)	**(3,444,037)**	**-**	**(9,546,653)**

**Other temporary differences – These are the movement in other provisions and accruals year on year and the difference has been charged to deferred tax. These accruals include staff bonus provision, staff loan valuations, leave accruals, provision for cards, customer refunds, provision for legal cases and other remittance provision.*

26. Right of use assets

	31 December 2022 FRw'000	31 December 2021 FRw'000
As at 1 January 2021	1,659,359	2,489,038
Additions	1,136,708	-
Depreciation expense	(1,035,510)	(829,679)
	1,760,557	**1,659,359**

Right of use assets relate to leases for the branch network and ATM space.

The below is the reconciliation of the cost and accumulated depreciation on right of use assets;

	31 December 2022 FRw'000	31 December 2021 FRw'000
Cost		
At 1 January	4,148,397	4,148,397
Additions	1,136,708	-
At 31 December	**5,285,105**	**4,148,397**
Depreciation		
At 1 January	2,489,038	1,659,359
Charge for year	1,035,510	829,679
At 31 December	**3,524,548**	**2,489,038**
Net Carrying amount	**1,760,557**	**1,659,359**

27. Assets classified as held for sale

These accounts relate to non- current assets held for sale in accordance with IFRS 5 that were transferred from Property, plant and equipment, since the company has the plan to realize the carrying amount principally through a sale transaction instead of continuing use.

	31 December 2022 FRw'000	31 December 2021 FRw'000
Musanze Old Branch	466,145	466,145
Kiyovu Residential house	-	98,533
Nyagatare Cyamazima House	-	70,000
Nyagatare Residential House	100,000	100,000
	566,145	**734,678**

The assets held for sale held in the prior year (Kiyovu Residential House and Nyagatare Cyamazima House) were sold at the value in which they were carried on in the financial statements at the start of the year. The assets held for sale that have not been sold in Musanze (Musanze Old Branch) and Nyagatare (Nyagatare Residential House) occurred as a result of the potential buyers backing down from the sale process on the penultimate moment in the year under review. These assets still meet the requirements of IFRS 5 to be classified as assets held for sale as the Group has the intention to sell.

The houses are part of the non-banking segment of the Group.

28 (I). Property and equipment

31 December 2022	Land and Buildings FRw'000	Computer and IT Equipment FRw'000	Motor vehicles FRw'000	Furniture and Fittings FRw'000	Work in Progress FRw'000	Total FRw'000
COST/VALUATION						
At 1 January 2022	20,375,503	8,725,249	2,279,131	2,583,299	966,555	34,929,737
Additions	-	3,593,712	312,232	567,948	612,772	5,086,664
Disposal	-	-	(299,595)	-	-	(299,595)
Write off	-	(6,350)	-	(2,231)	-	(8,581)
At 31 December 2022	**20,375,503**	**12,312,611**	**2,291,768**	**3,149,016**	**1,579,327**	**39,708,225**
DEPRECIATION						
At 1 January 2022	577,625	1,956,522	1,850,102	936,738	-	5,320,987
Charge for the year	1,321,566	2,666,034	200,606	449,595	-	4,637,801
On disposal	-	-	(299,595)	-	-	(299,595)
Write off	-	(6,350)	-	(2,231)	-	(8,581)
At 31 December 2022	**1,899,191**	**4,616,206**	**1,751,113**	**1,384,102**	**-**	**9,650,612**
CARRYING AMOUNT	**18,476,312**	**7,696,405**	**540,655**	**1,764,914**	**1,579,327**	**30,057,613**

28 (I). Property and equipment (continued)

31 December 2021	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000	FRw'000
COST/VALUATION						
At 1 January 2021	20,375,502	6,232,219	2,123,220	2,149,133	313,200	31,193,274
Additions	-	2,493,030	252,966	434,166	653,355	3,833,517
Reclassification	-	-	(97,054)	-	-	(97,054)
At 31 December 2021	**20,375,502**	**8,725,249**	**2,279,132**	**2,583,299**	**966,555**	**34,929,737**
Depreciation	(15)	115,715	1,734,524	(140,543)	-	1,709,680
At 1 January 2021	577,625	1,840,807	212,632	1,077,297	-	3,708,361
Charge for the year	-	-	(97,054)	-	-	(97,054)
At 31 December 2021	**577,610**	**1,956,522**	**1,850,102**	**936,753**	**-**	**5,320,987**
Carrying amount	**19,797,892**	**6,768,727**	**429,030**	**1,646,546**	**966,555**	**29,608,750**

28 (I). Property and equipment (continued)

Land and Buildings were revalued by the directors in 2020 based on the estimated market value, The revaluation was carried out by Architectural & Urban Solutions ARCHUS.

Fair value measurement	Date of valuation	Total	Significant unobservable inputs (Level 3)
		FRw'000	FRw'000
Buildings	**2020**	**20,375,503**	**20,375,503**

Revaluation was based on open market value; in arriving at the valuation figures the following principles have been assumed and applied.

- A willing buyer and willing seller both of whom are fully informed about the property and not acting out of compulsion,
- That to the date of valuation, a reasonable period of time would be allowed to properly market the property taking into account the nature of the property, the state of the market and allowing sufficient time for the agreement price, terms and completion of the sale.
- That the state of the market, levels of values and other circumstances were on any earlier assumed date of exchange of contracts, the same as on the date of valuation
- That no account would be taken of any bid by a purchaser with special interest.

The following tables provide the fair value measurement hierarchy of the revalued land and buildings

		Fair value measurements at 31 December using		
	Total amount	Quoted prices in active market Level 1	Significant observable inputs Level 2	Significant unobservable inputs Level 3
	FRw'000	FRw'000	FRw'000	FRw'000
31 December 2022	**20,375,503**	-	-	**20,375,503**
		-		
31 December 2021	**20,375,503**	-	-	**20,375,503**

The fair value of the property has been determined on a market value basis in accordance with the methods and standards of cost estimation and analysis as set by the Institute of Rwanda Property Valuers (IRPV) and the International Valuation Standards Council, the valuations were performed by Uwezeyimana Straton, an accredited independent valuer with a recognized and relevant professional qualification with recent experience in the category of the investment property being valued.

The valuation was based on the mean of the cost-based approach and income approach in which the estimates are as follows:

	Property	
	31 December 2021	31 December 2021
The parity USD/FRw is estimated to 7% in 2022	10%	7%
The estimated occupancy time	Fourteen	Fifteen years term
Discount rate	10%	10%

28 (I). Property and equipment (continued)

The relationship of the unobservable inputs to the fair value is as follows:

If the parity USD/FRw used was higher/lower by 500 basis points, the fair value of land and buildings would be higher/lower by FRw 20,000,000.

If the estimated occupancy time was higher/lower by 5 years, the fair value of land and buildings would be higher/lower by FRw 139,000,000.

If the estimated discount rate was higher/lower by 500 basis points, the fair value of land and buildings would be lower/higher by FRw 39,000,000.

**Work in progress relates to the Primary Data centre and Recovery site costs that have not been capitalised. The project is yet to be commissioned. These are prepayments made to E-fellows for items that have not been received.*

28 (II). Intangible assets

	31 December 2022 FRw'000	31 December 2021 FRw'000
COST		
At 1 January	15,383,329	11,604,383
Additions	3,085,949	3,778,946
At period end	**18,469,278**	**15,383,329**
AMORTISATION		
At 1 January	5,109,544	3,139,997
Amortisation	2,865,224	1,969,547
At period end	**7,974,768**	**5,109,544**
Net book value	**10,494,510**	**10,273,785**

Intangible assets relate to the Group's core banking platform and computer software in use, key additions in the current year relate to the implementation of NUODB.

29. Due to banks

	31 December 2022 FRw'000	31 December 202021 FRw'000
Deposits and balances from other Banks	156,874,545	78,074,297
Term treasury borrowings	123,713,653	112,149,390
	280,588,198	**190,223,687**
Maturing as follows:		
Payable within 3 months	**178,723,673**	**78,074,297**
Payable after 3 months	101,864,525	112,149,390
Total	**280,588,198**	**190,223,687**

The weighted average effective interest rate on deposits and balances from other banks as at 31 December 2022 was 7.8% (2021: 7.5%).

30. Deposits and balances from customers

	31 December 2022 FRw'000	31 December 2021 FRw'000
Current accounts	780,423,274	659,331,625
Fixed deposit accounts	233,784,663	268,183,685
Savings accounts	41,117,117	39,507,088
Collateral and other deposits	19,863,518	7,472,228
	1,075,188,572	**974,494,626**

31. Dividends payable

	31 December 2022 FRw'000	31 December 2021 FRw'000
At 1 January	26,928,781	13,286,327
Dividends paid during the year	(26,086,425)	(12,305,031)
Dividend declared	29,862,155	25,947,485
At 31 December	**30,704,511**	**26,928,781**
Dividend per share	**65.0**	**57.8**

During the Annual General Meeting held on 17th June 2022, the Shareholders approved a dividend pay-out of 50 % of the Group's audited IFRS-based net income in respect of the year 2022.

32. Insurance contract liabilities

	31 December 2022 FRw'000	31 December 2021 FRw'000
Claims reported and loss adjustment expenses	2,908,449	5,072,782
Claims incurred but not reported (IBNR)	672,110	551,299
Provision for unearned premium	4,581,820	3,821,152
	8,162,379	**9,445,233**

32. Insurance contract liabilities (continued)

Claims development schedule

Gross claims

Accident year	2018 Frw'000	2019 Frw'000	2020 Frw'000	2021 Frw'000	2022 Frw'000
At end of claim year	1,726,170	3,081,307	3,650,382	4,388,358	4,829,243
One year later	50,698	104,103	165,652	-	-
Two years later	-	270	-	-	-
Three years later	-	-	-	-	-
Gross claims incurred	1,776,868	3,185,680	3,816,034	4,388,358	4,829,243
Gross IBNR	-	-	40,420	510,879	637,420
Ultimate gross claims projected	1,776,868	3,185,680	3,856,454	4,899,237	5,466,663

Net claims

Accident year	2018 Frw'000	2019 Frw'000	2020 Frw'000	2021 Frw'000	2022 Frw'000
At end of claim year	1,221,461	2,180,374	2,583,060	3,105,262	3,257,825
One year later	35,875	73,665	117,218	-	-
Two years later	-	191	-	-	-
Three years later	-	-	-	-	-
Gross claims incurred	1,257,336	2,254,230	2,700,278	3,105,262	3,257,825
Gross IBNR	-	-	28,602	361,505	433,264
Ultimate gross claims projected	1,257,336	2,254,230	2,728,880	3,466,767	3,691,089

Insurance contract liabilities are made up of the outstanding claims provision (reported claims and incurred but not reported ("IBNR") claims) and the provision for unearned premium.

- The valuation of these liabilities relies on the accuracy of claims data and the assumption that future claims development will follow a similar pattern to past claims development experience. While the provision for unearned premium represents the portion of the premium for uncovered days since the premium is received in advance.
- The magnitude of the insurance contract liabilities balance (RFW 8,162,399,000) in relation to total liabilities of (RFW 11,304,320,000).

During the period from Jan 2022 to Dec 2022, there has been no change in the assumption.

32. Insurance contract liabilities (continued)

Claims development schedule (continued)

The following tables disclose the concentration of casualty insurance liabilities by class and by the maximum insured loss limit included in the terms of the policy. The amounts are the carrying amount of the insurance liabilities (gross and net of reinsurance) arising from casualty insurance contracts.

		Maximum Insured Loss			
Class		0-500m Frw'000	500m-1000m Frw'000	Above1000m Frw'000	Total Frw'000
Motor	Gross	51,073,677	14,125,864	1,143,019,594	1,208,219,135
	Net	40,858,942	13,905,332	1,142,537,816	1,197,302,090
Fire	Gross	306,633,278	87,635,323	593,084,948	987,353,549
	Net	193,023,694	70,108,259	402,830,792	665,962,746
Bonds	Gross	10,432,059	2,274,771	1,102,113	13,808,943
	Net	9,388,853	2,047,294	991,902	12,428,049
Other classes	Gross	68,745,970	19,774,214	434,881,254	523,401,438
	Net	54,996,776	6,070,701	271,688,796	332,756,273
Total	**Gross**	**436,884,984**	**123,810,172**	**2,172,087,909**	**2,732,783,065**
	Net	**298,268,265**	**92,131,586**	**1,818,049,306**	**2,208,449,157**

33. Other liabilities

	31 December 2022 FRw'000	31 December 2021 FRw'000
Clearing accounts	58,353	10,196,584
Deferred revenue	7,485,082	4,466,994
Economic recovery grant valuation	5,971,737	5,105,020
Expected credit losses on off balance sheet items	832,613	540,753
Other payables*	6,816,001	5,725,389
Accrued expenses	8,684,252	9,435,686
	29,848,038	**35,470,426**

Other payables relate to accruals of payroll liabilities, cash overage, trade accounts payable and unexpended grants received. It also includes the provision for contingent liabilities arising from legal cases that have crystallized to a liability or whose probability of crystallizing is highly probable.

34. Lease liabilities

	31 December 2022 FRw'000	31 December 2021 FRw'000
As at 1 January	2,069,256	2,669,914
Additions of lease rentals	1,136,708	-
Interest expense	221,212	187,777
Less:		
Payment of interest on lease liabilities	(221,212)	(187,777)
Payment of principal portion of lease liabilities	(1,417,972)	(600,658)
	1,787,992	**2,069,256**

35. Long term finance

	1 January 2022 FRw'000	Additional drawdown FRw'000	Accrued interest FRw'000	Interest expense FRw'000	Revaluation loss FRw'000	Principal repayments FRw'000	Interest repayments FRw'000	31 December 2022 FRw'000
EIB Loan (8,01% - 11,4%)	33,083,311	40,280,000	-	3,188,291		(8,518,204)	(2,624,160)	65,409,238
AFD Loan (Libor +3,74% pa)	14,140,685	4,973,222	-	863,232	1,079,041	(3,965,416)	(750,237)	16,340,527
BRD-KFW EGF(8% p,a)	8,803,000	12,205,835	-	602,160		(40,399)	(602,009)	20,968,587
Total	**56,026,996**	**57,459,057**	**-**	**4,653,683**	**1,079,041**	**(12,524,019)**	**(3,976,406)**	**102,718,352**

	1 Jan 2021 FRw'000	Additional drawdown FRw'000	Accrued interest FRw'000	Interest expense FRw'000	Revaluation loss FRw'000	Principal repayments FRw'000	Interest repayments FRw'000	31 December 2021 FRw'000
EIB Loan (8,01% - 11,4%)	38,484,890	-	-	3,075,982		(5,356,010)	4,413,985	31,790,877
AFD Loan (Libor +3,74% pa)	16,185,899	-	-	593,289	448,397	(1,157,482)	(636,984)	15,433,119
AFDB loan (Libor +4.15%p.a)	1,495,127	-	-	10,866	7,660	(1,479,958)	(33,694)	-
OFID Loan (Libor +4,0% pa)	2,121,132	-	-	15,214	-	(2,136,346)	(15,214)	-
SBM -USD 10M (+4,5%libor)	831	-	-	(831)	-	-	-	-
BRD-KFW EGF(8% p,a)	6,653,000	2,150,000	-		-	-	-	8,803,000
Total	**64,940,879**	**2,150,000**	**5,486**	**3,694,520**	**456,057**	**(10,129,796)**	**(5,084,664)**	**56,026,996**

i. In 2019 Bank of Kigali Plc signed two loan agreement with European Investment Bank (EIB) for a credit of EUR 30 million. The EIB facility was fully drawn down on the 2nd of January 2020 and the repayment terms are in Rwandan Francs. During the year, Bank of Kigali Plc signed a contract with European Investment Bank (EIB) for a credit of EUR 40 million and the repayment terms are in Rwandan Francs, as at 31st December 2022 the loan was fully drawdown.

ii. Agence Francaise de Development (AFD) disbursed USD 20 million. As at 31 December 2020, Bank of Kigali plc had drawn down USD 15.1m from the AFD line for a 7-year term.

iii. The Bank was compliant on all financial covenants on the long-term finance. During the year, Bank of Kigali Plc signed a contract with Agence Francaise de Development (AFD) disbursed for a credit of USD 4 million. Remediation work on the USD LIBOR exposures will commence in advance of the discontinuation date of 30 June 2023. As at 31 December 2022, the USD LIBOR exposures which had not been transitioned was valued at US$ 13.9 million dollars.

BRD-KFW signed two loans of RWF 1 Billion and RWF 5 Billion maturing on 30/09/2027 and 30/06/2023 respectively and a line of Credit of Rwf 2.1 Billion on the 14th June 2021. During the year, Bank of Kigali Plc signed 4 contracts with BRD for a credit of Frw 70 million, Frw 2 billion, Frw 2 billion and 6.1 billion.

36. Capital & reserves

(i) Share Capital

	31 December 2022		31 December 2021	
	Shares	FRw' 000	Shares	FRw'000
Authorised share capital of FRw 10 each	1,050,460,000	10,504,600	1,050,460,000	10,504,600
Issued and fully paid up				
At 1 January	904,547,404	9,045,474	896,759,200	8,967,592
New issued	13,967,304	139,673	7,788,204	77,882
At 31 December	**918,514,708**	**9,185,147**	**904,547,404**	**9,045,474**

(ii) Share premium

These reserves arose when the shares of the Group were issued at a price higher than the nominal (par) value, these will be applied towards capital in future,

	31 December 2022 FRw'000	31 December 2021 FRw'000
At 1 January	76,573,491	76,573,491
DRIP Shares issued	3,380,126	-
At 31 December	**79,953,617**	**76,573,491**

(iii) Revaluation reserve

	31 December 2022 FRw'000	31 December 2021 FRw'000
Buildings	13,099,994	13,099,994
	13,099,994	**13,099,994**

Revaluation reserves represents the periodic revaluation of freehold land and buildings, the carrying amount of these assets is adjusted to the revaluations, Revaluation surpluses are not distributable.

(iv) Retained earnings

	31 December 2022 FRw'000	31 December 2021 FRw'000
Opening balance	181,990,759	156,494,803
DRIP Shares issued	(5,711)	-
Profit attributable to parent	58,894,419	51,077,753
Statutory loan loss reserve	-	(42,921)
Dividends declared	(29,862,155)	(25,538,876)
	211,017,312	**181,990,759**

36. Capital & reserves (continued)
(v) Statutory reserves

	31 December 2022 FRw'000	31 December 2021 FRw'000
Statutory credit reserve	2,321,973	2,321,973
	2,321,973	**2,321,973**

The statutory credit risk reserve represents excess of regulatory expected credit losses over IFRS excess of regulatory expected credit losses over IFRS determined credit losses.

37. Maturity analysis of assets and liabilities
The table below shows an analysis of assets analysed according to when they are expected to be recovered or settled as at reporting date:

At 31 December 2022	Less than 12 months FRw'000	Over 12 months FRw'000	Total FRw'000
ASSETS			
Cash in hand	21,757,316	-	21,757,316
Balances with the National Bank of Rwanda	328,750,207	-	328,750,207
Balances held with other financial institutions	48,979,707	-	48,979,707
Held to maturity investments	51,844,601	165,054,435	216,899,036
Investment in corporate bond	5,604,036	6,465,500	12,069,536
Investment in specialized fund	12,605,141	-	12,605,141
Loans and advances to customers	179,771,897	954,740,421	1,134,512,318
Insurance-related assets	5,518,539	-	5,518,539
Deferred income tax asset	-	10,649,558	10,649,558
Assets held for sale	566,145	-	566,145
Other assets	13,225,234	6,149,016	19,374,250
Right to use assets	1,760,557		1,760,557
Intangible assets	-	10,494,510	10,494,510
Property and equipment	-	30,057,613	30,057,613
Total Assets	**670,383,380**	**1,183,611,053**	**1,853,994,433**

37. Maturity analysis of assets and liabilities (continued)

At 31 December 2021	Less than 12 months FRw'000	Over 12 months FRw'000	Total FRw'000
ASSETS			
Cash in hand	21,723,165	-	21,723,165
Balances with the National Bank of Rwanda	231,758,146	-	231,758,146
Balances held with other financial institutions	77,839,613	-	77,839,613
Held to maturity investments	151,288,649	12,826,485	164,115,134
Investment in corporate bond	1,070,847	11,632,948	12,703,795
Investment in specialized fund	-	7,814,784	7,814,784
Loans and advances to customers	172,066,348	818,200,971	990,267,319
Insurance-related assets	6,517,668	-	6,517,668
Deferred income tax asset	-	9,546,653	9,546,653
Assets held for sale	734,678	-	734,678
Other assets	22,297,738	3,512,394	25,810,132
Right to use assets	1,563,356	96,005	1,659,361
Intangible assets	-	10,273,785	10,273,785
Property and equipment	-	29,608,750	29,608,750
Total Assets	**686,860,208**	**903,512,775**	**1,590,372,983**

The table below shows an analysis of liabilities analysed according to when they are expected to be recovered or settled as at 31 December 2022:

At 31 December 2022	Less than 12 months FRw'000	Over 12 months FRw'000	Total FRw'000
Liabilities			
Balances and placements due to other Banking institutions	249,921,538	30,666,660	280,588,198
Customer deposits	1,051,877,275	23,311,297	1,075,188,572
Current income tax	5,920,034		5,920,034
Dividends payable	30,704,511		30,704,511
Insurance Liabilities	8,162,379		8,162,379
Other liabilities	22,362,956	7,485,082	29,848,038
Lease liabilities	1,063,422	724,570	1,787,992
Long-term Finance	3,807,846	98,910,506	102,718,352
Shareholders' funds		319,076,357	319,076,357
Total Assets	**1,373,819,961**	**480,174,472**	**1,853,994,433**

37. Maturity analysis of assets and liabilities (continued)

At 31 December 2021	Less than 12 months FRw'000	Over 12 months FRw'000	Total FRw'000
Liabilities			
Balances and placements due to other Banking institutions	145,270,845	44,952,842	190,223,687
Customer deposits	944,833,246	29,661,380	974,494,626
Current income tax	10,013,864		10,013,864
Dividends payable		26,928,781	26,928,781
Insurance Liabilities	9,445,233		9,445,233
Other liabilities	35,470,426		35,470,426
Lease liabilities		2,069,256	2,069,256
Long-term Finance	2,903,010	53,123,986	56,026,996
Shareholders' funds		285,700,114	285,700,114
Total Assets	**1,147,936,624**	**442,436,359**	**1,590,372,983**

38. Fair value

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities carried at amortised cost as at 31 December 2022:

31 December 2022	Carrying amount FRw'000	Quoted prices in active markets (Level 1) FRw'000	Significant observable inputs (Level 2) FRw'000
Assets			
Balances with the National Bank of Rwanda	328,750,207	328,750,207	-
Cash balances with other banks	48,979,707	-	48,979,707
Held to maturity investments	216,899,036	-	216,899,036
Investment in corporate bond	12,069,536	-	12,069,536
Investment in specialized fund	12,605,141	-	12,605,141
Loans and advances to customers	1,134,512,318	-	1,134,512,318
Insurance-related assets	5,518,539	-	5,518,539
Other assets	19,374,250	-	19,374,250
Total assets	**1,778,708,734**	**328,750,207**	**1,449,958,527**
Liabilities			
Due to banks	280,588,198	280,588,198	-
Deposits and balances from customers	1,075,188,572	-	1,075,188,572
Dividends	30,704,511	-	30,704,511
Insurance liabilities	8,162,379	-	8,162,379
Other liabilities	29,848,038	-	29,848,038
Long-term finance	102,718,352	-	102,718,352
Total liabilities	**1,527,210,050**	**280,588,198**	**1,246,621,852**

38. Fair value (continued)

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities carried at amortised cost as at 31 December 2021:

31 December 2021	Carrying amount FRw'000	Quoted prices in active markets FRw'000	Significant observable inputs (Level 2) FRw'000
Assets			
Balances with the National Bank of Rwanda	231,758,146	231,758,146	
Cash balances with other banks	77,839,613	-	77,839,613
Held to maturity investments	164,115,134	-	164,115,134
Investment in corporate bond	12,703,795	-	12,703,795
Investment in specialized fund	7,814,784	-	7,814,784
Loans and advances to customers	990,267,321	-	990,267,321
Insurance-related assets	6,517,668	-	6,517,668
Other assets	26,544,810	-	26,544,810
Total assets	**1,517,561,271**	**231,758,146**	**1,285,803,125**
Liabilities			
Due to banks	190,223,687	190,223,687	-
Deposits and balances from customers	974,494,626	-	974,494,626
Dividends	26,928,781	-	26,928,781
Insurance liabilities	9,445,233	-	9,445,233
Other liabilities	35,470,426	-	35,470,426
Long-term finance	56,026,996	-	56,026,996
Total liabilities	**1,292,589,749**	**190,223,687**	**1,102,366,062**

Valuation Techniques

The financial instruments include Government Securities, Cash balances with other Banks, Loans and Advances and other assets, Due to Banks, Deposits, other liabilities and Long term finance.

These instruments are held at amortised cost. When active market prices are not available, the Group uses discounted cash flow models with observable market inputs of similar instruments to estimate future index levels and extrapolating yields outside the range of active market trading, in which instances the Group classifies those securities as Level 2. The Group uses discounted cash flow models with observable market inputs of similar instruments and bond prices The Group classifies those securities as Level 2. The Group does not have Level 3 government securities where valuation inputs would be unobservable.

39. Contingent liabilities and commitments

Legal claims

Litigation is a common occurrence in the financial services industry due to the nature of the business undertaken. The Group has formal controls and policies for managing legal claims. Once professional advice has been obtained and the amount of loss reasonably estimated, the Group makes adjustments to account for any adverse effects which the claims may have on its financial standing.

39. Contingent liabilities and commitments (continued)

Legal claims (continued)

At period end, BK Group Plc is party to various legal proceedings for a total amount of FRw 9.7 Billion (2021: FRw 6.4 Billion). Having assessed the legal advice received, the directors are of the opinion that these legal proceedings will not give rise to significant liabilities; however, the amount assessed to be loss to the Group has been fully provided for in these financial statements.

Commitments

As at 31 December 2022, the Group had contractual commitments of FRw 4.6 Billion that mainly relates to acquisition of servers and storage, Data center and splunk Enterprise Licence (2021: FRw 3.9 Billion) relating to transformation program to migrate to new core banking system.

40. Related parties disclosures

Government of Rwanda being the majority shareholder through Rwanda Social Security Board and Agaciro Development Fund, based on the exemption under accounting standards, limited transactions and balances with government and government related parties have not been disclosed,

i) Remuneration of key management personnel of the Group

	31 December 2022 FRw'000	31 December 2021 FRw'000
Remuneration of key management personnel of the group	875,243	861,119

ii) Directors Remuneration

31 December 2022	Directors fees and allowances FRw'000	Loans FRw'000	ESOP Shares
Marc Holtzman (Chairman)	317,463	-	810,000
Liliane Kyatengwa	22,775	-	111,000
Alline Akintore Kabbatende	15,969	-	70,000
Reuben Karemera	44,581	142,088	250,000
Regis Rugemanshuro	12,436	234,178	148,100
	413,224	**376,266**	**1,389,100**

31 December 2021	Directors fees and allowances FRw'000	Loans FRw'000	ESOP Shares
Marc Holtzman (Chairman)	333,224	-	810,000

Non-executive directors do not receive pension entitlements from the Group, in 2022, Directors for the Group served for the Bank Subsidiary's Board and committee meetings.

40. Related parties disclosures (continued)

iii)Transaction with key management personnel of Bank of Kigali Plc

Bank of Kigali Plc enters into transactions, arrangements and agreements involving directors, senior management and their related party concerns in the ordinary course of business at commercial interest and commission rates,

The following table provides the total amount of transactions, which have been entered into with related parties for the relevant financial year.

	31 December 2022		
	Maximum balance during FRw'000	Balance as at 31 December FRw'000	Income/ Expense FRw'000
Residential mortgages	1,377,321	1,348,972	106,200
Credit cards and other loans	2,116,525	2,116,525	54,915
Deposits	677,208	514,838	8,458

	31 December 2021		
	Maximum balance during FRw'000	Balance as at 31 December FRw'000	Income/ Expense FRw'000
Residential mortgages	421,236	421,236	165,343
Credit cards and other loans	26,099	26,099	2,304
Deposits	123,587	123,587	5,460

The amounts above relate to key management personnel of the Bank.

iv) Transaction with other related parties

In addition to transactions with key management, the Group enters into transactions with entities with significant influence over the Group, the following table shows the outstanding deposits and investment in securities balance and the corresponding interest during the period.

Investment in securities	31-Dec-22		31-Dec-21	
	Balance as at FRw '000	Interest from FRw '000	Balance as at FRw '000	Interest from FRw '000
Government T-bills and bonds	216,899,036	22,510,398	164,115,134	15,434,807

Deposits from major shareholders	31-Dec-22		31-Dec-21	
	Balance as at FRw '000	Interest paid to FRw '000	Balance as at FRw '000	Interest paid to FRw '000
Rwanda Social Security Board	76,981,364	3,667,890	159,960,172	4,527,874
Agaciro Development Board	15,270,086	1,204,041	13,194,929	718,103
Total Balances	**92,251,450**	**4,871,931**	**173,155,101**	**5,245,977**

There have been no guarantees provided or received for any related party receivables or payable.

41. Reclassification of prior period amounts

Prior amounts have been reclassified to conform to the changes in presentation in the current year to allow for comparability. The reclassifications are described as follows:

a) Reclassification relating to the statement of profit or loss and other comprehensive income

i) Statement of cash flow

In the current year, there are certain items that have been classified differently compared to the prior year. The prior year numbers have been aligned to match with the current year presentation. These items are as below;

- Lease liabilities have been reclassified from changes in working capital into Financing activities;
- Tax paid has been moved from changes in working capital to below the operating activities to arrive at the net operating activities;
- Interest paid on long term borrowings has been reclassified from Financing activities into net operating activities;
- Non-cash items that were initially included in the cash flow have been reclassified and added back to cash flow from operating activities;
- Investment securities, corporate bond and specialized fund have been presented gross to indicate the additional investment and the receipt from these investments.

Please refer to the schedule below for disclosure of movement in the cash flow.

41. Reclassification of prior period amounts (continued)

a) Reclassification relating to the statement of profit or loss and other comprehensive income (continued)

ii)Statement of cash flow

		Previously reported FRw '000'	Reclassification FRw '000'	Reclassified FRw '000'
Cash flows from operating activities				
Profit before income tax		76,880,668	-	76,880,668
Adjusted for:				
Depreciation of property and equipment	20	3,708,364	-	3,708,364
Depreciation on right of use assets	19	829,679	-	829,679
Amortization of intangible assets	21	1,969,547	-	1,969,547
Gain or loss of property and equipment		-	-	-
Interest incurred and revaluation loss on long-term financing	27	4,150,577	-	4,150,577
Finance costs		187,777		187,777
Credit impairment on investments			1,011,381	1,011,381
Changes in expected credit losses and other credit impairment charges	10	34,068,753	(1,011,381)	33,057,372
Accrued interest income		-	1,116,596	(1,116,596)
Cash flows before changes in working capital		**121,795,365**	**(1,116,596)**	**120,678,769**
Changes in working capital				
Increase in loans and advances	16(a)	(173,236,264)	(1,011,381)	(174,247,645)
Increase on Insurance-related assets		(3,789,286)	-	(3,789,286)
Increase in other assets	18	(8,186,439)	-	(8,186,439)
Increase in cash reserve requirement	13(b)	238,050	-	238,050
Increase in deposits and balances from customers	23	183,683,366	-	183,683,366
Increase in due to banks	22	9,189,843	-	9,189,843
Increase in insurance liabilities		2,732,045	-	2,732,045
Increase in other liabilities	25	3,062,251	-	3,062,251
Income tax paid *	12	(21,700,464)	21,700,464	-
		113,788,467	**19,572,487**	**133,360,954**
Income tax paid *	12		(21,700,464)	(21,700,464)
Payment of interest portion on lease liabilities			(187,777)	(187,777)
Repayment of interests on long-term finance*	27	-	(5,084,664)	(5,084,664)
Net cash generated from operating activities		**113,788,467**	**(7,400,418)**	**106,388,049**
Investing Activities				
Purchase of property and equipment	20	(3,833,517)	-	(3,833,517)
Purchase of intangible assets	19	(3,778,945)	-	(3,778,945)
Investment securities*		(22,093,219)	22,093,219	-
Additions in investment in securities*	15(a)	-	(404,147,002)	(404,147,002)
Receipts on investment maturities*	15(a)	-	384,181,760	384,181,760
Corporate bond*		(537,617)	537,617	-
Additions in corporate bond*	15(b)	-	(650,000)	(650,000)
Receipts in corporate bond*	15(b)	-	112,383	112,383
Investment in specialized fund*		(6,597,930)	-	(6,597,930)
Receipts in specialised fund*		-	-	-
Proceed from sale of property and equipment		-	-	-
Net cash flows from investing activities		**(36,841,228)**	**2,127,977**	**(34,713,251)**
Financing Activities				
Dividends paid	24	(12,305,031)	-	(12,305,031)
Drawdown of long-term finance	27(a)	2,150,000	-	2,150,000
Repayment of principal on long-term finance	27(a)	(15,214,460)	-	(15,214,460)
Repayment of interest on long-term finance*		-	5,084,664	5,084,664
Interest payment of lease liabilities*	26	(187,777)	187,777	-
Principal payment of lease liabilities*		(600,658)	-	(600,658)
Net cash flows from financing activities		**(26,157,926)**	**5,272,441**	**(20,885,485)**
Net increase / (decrease) in cash and cash equivalents		50,789,313	-	50,789,313
Net foreign exchange difference		2,730,389	-	2,730,389
Cash and cash equivalents at 1 January	13(c)	130,312,678	-	130,312,678
Cash and cash equivalents at 31 December		**183,832,380**	**-**	**183,832,380**

42. Subsidiaries

Bank of Kigali Plc

The Bank was incorporated at the end of 2017 following reorganisation of the former bank into a holding company. It is a wholly owned subsidiary of the Group. Its principal place of office is in the BK Group PLC head office. It offers corporate and retail banking services.

BK General Insurance Company Limited

The Group incorporated a wholly owned subsidiary, BK General Insurance Company Limited on the 16 September 2015. Its principal place of office is in the BK Group PLC head office, the company offers Non-Life Insurance Services. The value of the investment at cost less impairment is FRw 5,000,000,000, During the year, Swan Group bought a 30% stake in BK General Insurance Ltd with BK Group owning 70%.

BK Capital Limited

The Group incorporated a wholly owned subsidiary, BK Securities Ltd on the 10 December 2013. In 2018, this has been incorporated into BK Capital Ltd, its principal place of office is in the BK Group PLC head office, The main activity of the Company is to hold assets for Custody clients, as well offering of brokerage and advisory services. The issued and paid-up capital is FRw 1,200,000,000.

BK Tec-House Limited

The Group incorporated a wholly owned subsidiary, BK Tec-House Ltd on the 10 August 2015. Its principal place of office is in the BK Group PLC head office, the company offers Internet and digital Services to customers.

Non-controlling interests (NCI)

Set out below is summarised financial information for BK General Insurance Company Limited that are material to the group, the amounts disclosed are before inter-company eliminations.

Summarised Statement of financial position

	31 December 2022 FRw'000	31 December 2021 FRw'000
Total assets	23,995,283	21,687,643
Total liabilities	(11,304,043)	(11,762,705)
Net assets	**12,691,240**	**9,924,938**

Summarised statement of profit or loss and other comprehensive income

	31 December 2022 FRw'000	31 December 2021 FRw'000
Net premium income	8,152,620	8,621,597
Profit for the year	2,766,303	2,740,456
Other comprehensive income	-	-
Total comprehensive income	**2,766,303**	**2,740,456**

42. Subsidiaries (continued)

Summarised statement of cash flows

	31 December 2022 FRw'000	31 December 2021 FRw'000
Cash flows from operating activities	2,099,229	618,093
Cash flows utilised in investing activities	(3,606,695)	169,716
Cash flows from financing activities	(204,339)	100,011
Net (decrease)/increase in cash and cash equivalents	**(1,711,805)**	**887,820**

42. Share based payments

Employee Option Plan

In 2018, the Group issued shares equal to 7,200,000 under the Employee Share Ownership Plan "ESOP" that was subscribed for by Directors and Employees. Under the ESOP scheme, directors and employees have the option to acquire additional number of shares after the vesting period (3 years) and before end of November 2022.

The Board in October 2018 approved the establishment of the BK Group Employee Option Plan. The Employee Option Plan is designed to provide long-term incentives for directors and eligible employees to deliver long-term shareholder returns. Under the plan, participants are granted options, which only vest if certain performance standards are met. Participation in the plan is at the board's discretion and no individual has a contractual right to participate in the plan or to receive any guaranteed benefits.

Each beneficiary shall be entitled to purchase from the Company, from the listing date of the new shares up to the third anniversary (the "Vesting Date") and thereafter, entitled to buy options under the scheme not later than the fifth anniversary from the listing date, for the cash consideration equal to the Offer Price and payable in full. On the fifth anniversary, as part of the Group's executive management retention scheme, the executive management team shall be entitled to bonus shares equivalent to 50% of their individual holding under the scheme, if the Group's share price shall have doubled by the final year of the scheme.

The beneficiaries shall continue to serve as Directors or be employed by the Company, as the case may be, until the vesting date. The Board shall have the final discretion in the allotment, operations and vesting of the ESOP shares.

All eligible Employee are entitled to purchase the ESOP shares from the ESOP for 100% of the purchase price and have the option to either pay the full amount upfront by cash or otherwise through deductions as set up and managed by the HR department.

Options are granted carry no dividend or voting rights, when exercisable, each option is convertible into one ordinary share, The exercise price of options is based on the weighted average price at which the company's shares are traded on the Rwanda Stock Exchange and Cross-listed in the Nairobi Securities during the week up to and including the date of the grant.

The fair value of options granted under the BK Group Plc Employee Option Plan is recognised as an employee benefits expense, with a corresponding increase in equity, the total amount to be expensed is determined by reference to the fair value of the options granted based on the performance of the shares.

The total expense is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied. At the end of each period, the entity revises its estimates of the number of options that are expected to vest based on the non-market vesting and service conditions. It recognises the impact of the revision to original estimates, if any, in profit or loss, with a corresponding adjustment to equity.

42. Share based payments (continued)

Employee Option Plan (continued)

When the options are exercised, the entity transfers the appropriate number of shares to the employee. The proceeds received, net of any directly attributable transaction costs, are credited directly to equity.

	31 December 2022		31 December 2021	
	Av exercise price per share option (FRw)	Number of options	Av exercise price per share option (FRw)	Number of options
As at 1 Jan	270	5,639,300	270	5,804,900
Granted during the year	-	-	-	-
Exercised during the year	270	(1,742,300)	270	(165,000)
Forfeited during the year	-	-	-	-
As at 31 December	**270**	**3,897,000**	**270**	**5,639,300**
Vested and exercisable as at 31 Dec	-	-	-	-

No options expired during the period covered by the above tables.
Share options outstanding at the end of the year have the following expiry date and exercise prices;

Grant date	Expiry date	Share options
November 2018	October 2023	3,897,000

The assessed fair value at grant date of options granted during the year ended 31 December 2022 was nil per option (2021 – was nil).

On the grant date, the fair value of the shares was the offer price at the listing date.

43. Post period end events

Except as disclosed in the notes to the financial statements, there are no events after the reporting date that require disclosure in or adjustments to the financial statements as at the date of this report.

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BK GROUP PLC